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HKDA Brief

Hong Kong digital-asset rules for a bank's head of compliance

Volume 2

Business and opportunities

Part F, sixteen business lines, six case studies, a Hong Kong, Singapore and Dubai comparison, the timeline and the glossary.

For general information only. Not legal or regulatory advice. Always check the official source.

Official sources: Hong Kong Monetary Authority (HKMA), Securities and Futures Commission (SFC), Financial Services and the Treasury Bureau (FSTB), the Legislative Council and other Hong Kong government bodies.

How to read this edition

This is a printed copy of HKDA Brief, a private learning site. It reflects official publications up to **25 September 2026**. It does not update. Before you rely on any point, check the official source and the live site.

Notes

Every fact carries a small number. The number points to a note at the end of the chapter. The note gives the publisher, the document, its date, the exact paragraph or page, and the web address.

The words that carry legal weight

must / required	The law or a binding rule requires it.
should / expects	The regulator expects it. It is guidance rather than law.
may	It is allowed, not required.
proposes / would	A proposal. It is not law yet.
stated target	A plan or date the government or a regulator has announced. It is not a forecast by this guide.

Status labels

In force	The rule applies now.
Issued, not yet in force	Published, but it starts later.
Consultation	The regulator is asking for views. Nothing is final.
Conclusions published	The consultation is finished and the policy is set, but the law may not be made yet.
Bill	A draft law is before the Legislative Council (LegCo).
Pilot	A trial with selected firms.
Exploratory	Regulators are studying the idea. No rule or live service yet.
Stated target	An announced plan or date.
Superseded	Replaced by a newer document. Kept for history.

Non-official sources (Business section only)

A note that starts with **[Industry estimate]**, **[Company filing]**, **[International official]** or **[Foreign regulator]** is not an official Hong Kong source. Industry figures are estimates, not facts. Company figures are quoted without comment.

Other marks

CONCEPT	A plain explanation of how a business works in general. It is not a fact about Hong Kong.
(illustrative)	A round, made-up number used to show how something works. It is not an estimate.
Analysis — not official	A shaded box that gives a way to think about a question. It asks one question, explains how to think about it, lists what the answer depends on and the official signposts to watch, and says what it is not. It is not a forecast and not advice.

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PART F

Business and opportunities

How the business works: where the money is, what regulation costs, who does what, timing, running the business and the path to chief operating officer (COO).

PART F · MODULE F1

F1 Where the money is

This module maps where a bank can earn money from digital assets in Hong Kong. After reading, you can walk a Chief Executive Officer (CEO) through the seven stages of the value chain and say who pays at each one. The value chain is the path an asset takes, from being created to being managed for a client. You can name all 16 business lines on this site, with the bank's role and the status of the rules. You can also tell an official market figure apart from an industry estimate.

In 60 seconds

Money in digital assets follows seven stages: issue, distribute, trade, hold, settle and pay, finance, and advise and manage. At each stage someone pays a fee, a spread or interest. A spread is the gap between a buying price and a selling price. CONCEPT

On this site, 11 of the 16 business lines have rules already in force. Banks registered with the Securities and Futures Commission (SFC) may offer virtual asset (VA) dealing, such as trades in bitcoin. The SFC and the Hong Kong Monetary Authority (HKMA) require them to work only with SFC-licensed platforms. ¹ The HKMA expects a bank to discuss VA custody plans with it first. It also expects the bank to show that it meets HKMA custody standards. ² Three lines are still pilots. EnsembleTX (the HKMA's tokenised-deposit pilot) is to run throughout 2026. ³

Official figures give a sense of scale. The 11 VA spot exchange-traded funds (ETFs) had a total market value of US\$451 million at end-June 2026. ⁴ An exchange-traded fund (ETF) is a fund whose units trade on a stock exchange. Hong Kong's asset and wealth management business held HK\$42,202 billion at end-2025. ⁵

Key facts

Market signals from official sources

- The SFC's list showed 13 licensed VA trading platforms at its 29 May 2026 update. ⁶
- A money market fund invests in short-term, low-risk debt. A tokenised fund is one whose units are recorded as digital tokens on a shared ledger. CONCEPT
- Tokenised retail money market funds authorised by the SFC held HK\$8.66 billion at end-2025. ⁷
- At end-June 2026, 15 tokenised retail products held HK\$10.3 billion in their tokenised classes (the units issued as tokens), up 280% in a year. ⁸
- The 2026 Policy Address says digital bonds issued in Hong Kong made up nearly 50% of the global market in 2025 and the first half of 2026. ⁹
- The Government's November 2025 digital green bond raised about HK\$10 billion. Orders passed HK\$130 billion. ¹⁰
- The Hong Kong Mortgage Corporation (HKMC) priced about HK\$12 billion of digital bonds in June 2026. ¹¹
- In April 2026 the HKMA licensed two stablecoin issuers from 36 first-batch applicants. ¹² A stablecoin is a token built to hold a steady value against a currency.
- On 28 April 2026 both licensed issuers confirmed they had not yet issued regulated stablecoins. ¹³
- The total assets of Hong Kong's private banking and private wealth management business rose 24% to HK\$12,945 billion at end-2025. ¹⁴
- The Central Moneymarkets Unit (CMU) is Hong Kong's central securities depository. It holds and settles securities such as bonds. Its assets under custody were about HK\$5 trillion at end-September 2025. ¹⁵
- Exchange Fund Bills are short-term debt papers issued for Hong Kong's Exchange Fund. CONCEPT The Policy Address says they total more than HK\$1.3 trillion. It also says the HKMA will test tokenised versions by the end of 2026. ¹⁶
- In an HKMA stock-take run in January 2025 and published in July 2025, 45% of respondents had adopted distributed ledger technology (DLT), up from 30% in 2022. ¹⁷ DLT is a shared digital record, such as a blockchain.

Fees the rules already touch

- Hong Kong banks on mBridge set their own payment fees. mBridge is a shared platform for cross-border payments in central bank digital money. They base them on operating costs and commercial factors. ¹⁸
- The Digital Bond Grant Scheme (DBGS) covers half of an issuer's eligible costs for a digital bond issue. The cap is HK\$1.25 million, or HK\$2.5 million if all extra conditions are met. ¹⁹
- The Stablecoins Ordinance says a licensed stablecoin issuer must not pay interest to holders. ²⁰

Capital rules

- The Basel Committee on Banking Supervision sets global bank capital standards. CONCEPT
- The HKMA put the Basel standards on banks' crypto-asset exposures into effect in Hong Kong on 1 January 2026. It did this by changing three sets of rules: the Banking (Capital), Banking (Disclosure) and Banking (Exposure Limits) Rules. ²¹

Industry view

These are estimates or firms' own reported figures. Most are global. None is an official Hong Kong statistic. The brackets after each figure give its scope (global, Hong Kong, or a firm's whole group) and its type (a reported figure or an estimate).

- **Stablecoins.** The Bank for International Settlements (BIS), a body owned by central banks, put the total market value of stablecoins at about US\$320 billion at end-May 2026. This is from its 2026 Annual Economic Report (global, reported estimate).²²
- **Tokenised money funds.** A November 2025 BIS staff bulletin put tokenised money market funds on public blockchains at almost US\$9 billion by end-October 2025. This is a global, reported estimate.²³
- **Tokenised bonds.** A July 2025 BIS staff bulletin counted about US\$8 billion of tokenised bonds issued up to then (global, reported estimate).²⁴
- **Trading take rates.** HashKey Holdings Limited (HashKey), a Hong Kong-listed platform group, reported 2025 revenue of HK\$522.8 million from its trading services segment (group, reported).²⁵ Its 2025 trading volume for those services was HK\$590.8 billion (group, reported).²⁵ A take rate is fee income as a share of trading volume. CONCEPT We worked out the take rate ourselves from those two figures: HK\$522.8 million of revenue on HK\$590.8 billion of volume is about 0.09%. HashKey does not publish this ratio. It is our own sum, not an estimate by any publisher.
- **Custody.** OSL Group Limited (OSL), also Hong Kong-listed, reported custody income of about HK\$16.1 million for 2025 in its 2025 annual report (group, reported).²⁶
- **Fund fees.** Bosera Asset Management (International) issued a Hong Kong prospectus in March 2026. It states a current management fee of 0.60% a year for its bitcoin ETF's listed units (HK, reported).²⁷ China Asset Management (Hong Kong)'s April 2026 key facts document says its ether ETF pays up to 1% of net asset value (NAV) a year for custody and administration (HK, reported).²⁸ NAV is the value of a fund's assets minus its debts.
- **Staking.** HashKey's 2025 results report a staking "monetization rate" of 0.2%, on average staked assets of HK\$22.4 billion (group, reported). This is HashKey's own measure. The results do not say how it is calculated.²⁹
- **Payments.** The Financial Stability Board (FSB), a global standard setter, put the 2025 global average cost of sending a US\$200 remittance at 6.5% of the amount. This is from its October 2025 progress report (global, reported estimate).³⁰

How it works commercially

The value chain and who pays

The table is a general map of where fees arise. It gives no figures. The margin a bank earns on money is its net interest margin: the gap between what it earns on money and what it pays for it. CONCEPT

Stage	What happens	Who pays the bank	Main business lines
Issue	A token, bond or deposit is created on a ledger	The issuer pays arranging and platform fees	Digital bonds; tokenised deposits; stablecoin roles
Distribute	Products reach clients	The client pays a commission, or the product maker shares its fee	VA distribution; tokenised funds; ETF roles
Trade	Assets change hands	The client pays a commission or a spread	VA dealing; ETF roles
Hold	Assets and keys are kept safe	The client or fund pays a yearly fee on value held	Custody; staking
Settle and pay	Money moves between parties	The payer pays a fee or a foreign exchange (FX) spread; the bank also earns a margin on balances it holds	Cross-border payments; banking the industry
Finance	The bank lends against assets	The borrower pays interest above the bank's own cost of funds	VA financing; collateral; trade finance
Advise and manage	The bank gives advice or runs portfolios	The client pays advice, management or performance fees	Advice and asset management

Every business line in one list

Each line has its own page with facts, levers and an analysis box.

- **Virtual-asset dealing.** Stages: Trade. Role: Broker that deals for clients. Status: In force. Banks deal only through SFC-licensed platforms.¹
- **Virtual-asset distribution and brokerage.** Stages: Distribute, Trade. Role: Distributor; broker through a licensed platform; stablecoin offeror. Status: In force. The SFC–HKMA joint circular (a notice to firms from both regulators) covers VA-related products that intermediaries sell. Intermediaries are licensed or registered firms, such as brokers and banks.³¹
- **Roles in virtual-asset ETFs.** Stages: Distribute, Trade, Hold. Role: Participating dealer (a firm that creates and redeems ETF units); custodian or sub-custodian; distributor; trading counterparty. Status: In force. The trustee of an SFC-authorized VA fund should hand VA custody only to certain types of firm. These include a bank that meets the HKMA's custody standards.³²
- **Virtual-asset custody.** Stages: Hold, Settle and pay. Role: Custodian; custodian that funds and other firms appoint to hold assets for them. Status: In force. The HKMA expects a bank to discuss its custody plans with the HKMA in advance.²
- **Staking services.** Stages: Hold. Role: Custodian that stakes client VAs; staking provider to brokers and funds. Status: In force. Staking means locking up tokens to help run a blockchain in return for rewards. CONCEPT In September 2025 the SFC and the HKMA said they are now prepared to let intermediaries offer staking to clients.³³
- **Virtual-asset financing and margin.** Stages: Finance, Trade. Role: Lender to its own dealing clients. Status: In force. A bank may lend for VA dealing based on the client's finances and the collateral the client posts.³⁴

- **Collateral and tokenised financing.** Stages: Finance, Hold, Settle and pay. Role: Lender; repo counterparty; collateral agent; custodian of pledged assets. Status: In force. A repo is a sale of securities with an agreement to buy them back. A haircut is a discount a lender applies to the value of collateral. CONCEPT The HKMA may revise the VA collateral haircut after giving banks notice. ³⁵
- **Stablecoin roles for banks.** Stages: Issue, Distribute, Trade, Hold, Settle and pay, Finance. Role: Issuer; reserve bank and custodian; distributor and dealer; lender that takes coins as collateral. Status: In force. The HKMA requires licensed issuers to place their reserve assets with banks in Hong Kong. ³⁶
- **Tokenised deposits and payments.** Stages: Issue, Settle and pay. Role: Issuer; settlement bank; payment provider. Status: Pilot. EnsembleTX started the pilot phase in November 2025. ³⁷
- **Tokenised funds and money market fund settlement.** Stages: Distribute, Trade, Hold, Settle and pay. Role: Distributor; connecting broker; settlement bank; custodian. Status: In force. The SFC allows primary dealing (buying new units from the fund and selling units back to it) in tokenised SFC-authorised products. ³⁸
- **Digital bonds: arranging and custody.** Stages: Issue, Distribute, Hold, Settle and pay. Role: Arranger; distributor; custodian for investors; investor. Status: In force. Existing securities rules continue to apply to tokenised securities. ³⁹
- **Cross-border payments, FX and mBridge.** Stages: Settle and pay. Role: Payment bank; FX provider; wallet top-up bank; settlement bank. Status: Pilot. The HKMA is testing central bank digital currency (CBDC) networks, tokenised deposits and linked fast payment systems. ⁴⁰
- **Trade finance and electronic bills of lading.** Stages: Finance, Settle and pay. Role: Trade financier; payment bank; data user; pilot participant. Status: Exploratory. The HKMA is to study trade-finance uses of tokenised deposits with the Mainland, with pilot deals by end-2026. ⁴¹
- **Infrastructure as a service.** Stages: Issue, Hold, Settle and pay. Role: Platform operator; technology provider; settlement bank; custodian for other firms. Status: Pilot. EnsembleTX is to move step by step to round-the-clock settlement in tokenised central bank money. ³
- **Banking the digital-asset industry.** Stages: Hold, Settle and pay. Role: Account bank; client-money bank; reserve bank and custodian; payment provider. Status: In force. The HKMA expects banks to discuss new digital-asset activities before launch. ⁴²
- **Advice and asset management under the new regimes.** Stages: Advise and manage. Role: Adviser; discretionary portfolio manager; fund manager. Status: Conclusions published. The Government and the SFC have not yet set a start date. ⁴³ Licensed and registered firms already giving these services are to get a faster approval process. ⁴⁴

In total, 11 lines are In force, three are Pilot, one is Exploratory and one has Conclusions published.

ANALYSIS — NOT OFFICIAL

Question: Which stages of the value chain could our bank serve with licences and systems it already has?

How to think about it:

- At which stages does the bank already hold the permission it needs? VA dealing through licensed platforms is one example ¹.
- At which stages does a new regime or a pilot come first? The planned bill for VA dealing and custody is one example ⁴⁵.
- Which lines share one client group and one system? Custody, staking and ETF roles are one possible group.
- Separate fee income from balance income, since each depends on different drivers. CONCEPT

What it depends on: the bank's current licences; client demand; the start dates of new regimes; how pilots turn into live services.

Official signposts: the planned VA bill ⁴⁵; EnsembleTX's move to 24/7 operation ⁴⁶; the SFC platform list ⁴⁷.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- Digital bonds issued in Hong Kong made up nearly 50% of the global market from 2025 to mid-2026. ⁹
- Tokenised retail products held HK\$10.3 billion at end-June 2026. ⁸

To the CCO

- We may deal in virtual assets only through SFC-licensed platforms. ¹
- The HKMA expects talks before any new digital-asset activity starts. ⁴²

To business heads

- Licensed stablecoin issuers are required to place reserve assets with banks in Hong Kong. ³⁶
- The DBGS covers half of an issuer's eligible costs, up to HK\$2.5 million per issue. ¹⁹

To Risk / CRO

- The HKMA may change the VA collateral haircut after notice.³⁵
- The Basel crypto-asset capital standards have applied to Hong Kong banks since 1 January 2026.²¹

Common misunderstandings

- **Myth:** Industry market sizes are official Hong Kong data. **Fact:** Most are global estimates by firms or international bodies. This page labels each one.
- **Myth:** A listed platform's take rate is a market price. **Fact:** It is one group's revenue divided by its volume. Scope and period differ by firm. CONCEPT
- **Myth:** Stablecoins are already live in Hong Kong. **Fact:** On 28 April 2026 both licensed issuers said they had not yet issued any.¹³
- **Myth:** Every line on this page is a live business today. **Fact:** Three are pilots and one is exploratory. EnsembleTX, for example, is a pilot running through 2026.³

Official documents to read first

1. **Joint circular on intermediaries' virtual asset-related activities** — SFC and HKMA, 22 December 2023. Read paras 5 and 17-20. <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=23EC66>
2. **SFC Quarterly Report, April-June 2026** — SFC, 26 August 2026. Read the Highlights and p.31. <https://www.sfc.hk/-/media/EN/files/COM/QR-Reports/202604-06/E-SFC-QR4-6.pdf?rev=182fe897bb1f4b1591f202de12feaf0d>
3. **The Chief Executive's 2026 Policy Address** — Government, 16 September 2026. Read paras 35, 49-51 and 99. https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
4. **Strategic Review of Business Models amid Digital Transformation** — HKMA, 9 March 2026. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260309-1-EN/20260309-1-EN.pdf>
5. **Robust development of the regulated stablecoin ecosystem in Hong Kong** — HKMA, 10 April 2026. <https://www.hkma.gov.hk/eng/news-and-media/insight/2026/04/20260410/>
6. **Asset and Wealth Management Activities Survey 2025** — SFC, 2 July 2026. Read Section I. <https://www.sfc.hk/-/media/EN/files/COM/Reports-and-surveys/AWMAS-report-English.pdf?rev=355c352ea18b409f8bef3388ae259d7f>

Open questions

- Regulators publish no figures for bank revenue, fees or client numbers in any digital-asset line.
- No official source gives fee levels for bank VA custody, dealing or staking in Hong Kong.
- The sources reviewed include no official list of banks registered with the SFC for VA dealing or distribution.
- Industry benchmarks are mostly global or group-wide. No reliable Hong Kong-only figure was found for tokenised deposits, trade finance or VA financing.
- The sources reviewed do not show whether regulated stablecoins were issued after 28 April 2026.

Related modules

F2, F3, F4, F5a, C1, C2, C3, C4, C5, C6, E2

Notes

1. HKMA, SFC. *Joint circular on intermediaries' virtual asset-related activities*, 22 December 2023. Para 17. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=23EC66>
2. HKMA. *Updated Guidance on Provision of Custodial Services for Digital Assets*, 27 May 2026. Implementation, p.2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20260527-6-EN>
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4. SFC. *Quarterly Report April-June 2026*, 26 August 2026. P.31. <https://www.sfc.hk/-/media/EN/files/COM/QR-Reports/202604-06/E-SFC-QR4-6.pdf>
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6. SFC. *Lists of virtual asset trading platforms*, 29 May 2026. Licensed platforms table; Last update line. <https://www.sfc.hk/en/Welcome-to-the-Fintech-Contact-Point/Virtual-assets/Virtual-asset-trading-platforms-operators/Lists-of-virtual-asset-trading-platforms>
7. SFC. *Strategic innovation drives growth of Hong Kong's listing and digital asset markets: SFC Quarterly Report*, 19 March 2026. Para 4 and Note 3. <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR43>
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13. HKMA. *Beware of tokens purported to be associated with licensed stablecoin issuers*, 28 April 2026. Paras 2-3. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/04/20260428-5/>
14. SFC. *Asset and Wealth Management Activities Survey 2025*, 2 July 2026. Para 5. <https://www.sfc.hk/-/media/EN/files/COM/Reports-and-surveys/AWMAS-report-English.pdf>
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F2 How regulation writes the P&L

A P&L (profit and loss statement) shows what a business earns and what it spends. After reading, you can trace the main cost lines of a digital-asset business back to the rule that sets them. You can explain to a Chief Financial Officer (CFO) why the same client asset can cost very different amounts of capital, liquidity and staff time.

In 60 seconds

Capital comes first. The Basel Committee on Banking Supervision (BCBS) is the global body that writes bank capital standards. The Hong Kong Monetary Authority (HKMA) brought the Basel cryptoasset standard into force in Hong Kong on 1 January 2026. It amended its capital, disclosure and exposure-limits rules to do so. ¹ Group 2b, the group for cryptoassets that fail the other tests, carries a 1,250% risk weight. ² A risk weight scales how much capital a bank holds against an asset. The minimum total capital ratio is 8%. ³ So 1,250% times 8% is 100%: at the minimum, the bank holds capital equal to the whole exposure.

Liquidity comes second. The HKMA sets how tokenised deposits and stablecoins count in its liquidity tests. ⁴ A stablecoin is a token built to keep a steady value against a currency. A bank that issues a stablecoin redeemable within the 30-day test period must generally assume all of it flows out. ⁵

Custody brings liability. The HKMA expects a bank custodian to be liable to clients for loss of their digital assets from an incident attributable to the bank. ⁶ Licences bring fixed costs. Non-bank firms face minimum capital. ^{7,8} There are licence fees. ⁹ A registered bank needs named senior managers for each activity. ¹⁰ A bill for the Crypto-Asset Reporting Framework (CARF), a global tax-reporting standard, was introduced into the Legislative Council (LegCo) on 3 June 2026. ¹¹

Key facts

Capital

- Every cryptoasset exposure sits in Group 1a (tokenised traditional assets), Group 1b (stablecoins with an effective stabilisation mechanism) or Group 2 (the rest). ¹² A stabilisation mechanism is the way a coin keeps its value steady.
- Group 1a exposures in the banking book generally follow the capital rules for the underlying traditional asset. ¹³
- A Group 2 asset moves to Group 2a only if it meets all three tests for recognising hedges (offsetting positions). In Group 2a, limited hedging counts towards capital. ¹⁴ One test is an average market capitalisation of at least HK\$78 billion over the previous year. ¹⁴ Group 2 assets that get no hedging recognition are Group 2b. ¹⁵
- Group 2b exposures take a 1,250% risk weight. ² This conservative treatment generally also covers credit valuation adjustment (CVA) risk, the risk of loss from a trading counterparty's weaker credit. ¹⁶
- A bank must notify the HKMA before acquiring a new type of cryptoasset. It treats the asset as Group 2b until the HKMA agrees the bank's classification. ¹⁷
- The HKMA's disclosure notes describe a Group 2 exposure limit of 1% of Tier 1 capital (a bank's core capital). ¹⁸ A systemically important bank is one whose failure would harm the wider financial system. Only a bank designated as globally or domestically systemically important faces a capital add-on when its Group 2 exposure ratio exceeds the set limits. ¹⁹ For such a bank, the add-on covers Group 2 exposure between 1% and 2% of Tier 1 capital. ²⁰ Above 2%, such a bank reports a single risk-weighted amount that covers all its Group 2 exposures. ²¹
- A registered institution (RI) is a bank that the Securities and Futures Commission (SFC) has registered for securities business. The HKMA says an RI must treat a loan backed only by virtual asset (VA) collateral as a clean (unsecured) loan for capital. ²²

Liquidity

- The liquidity coverage ratio (LCR) tests whether a bank holds enough easy-to-sell assets for 30 days of stressed outflows. The net stable funding ratio (NSFR) tests whether long-term assets have stable funding. CONCEPT
- The HKMA's liquidity rules for cryptoassets below apply to category 1 institutions, the banks that the LCR applies to. ²³
- High-quality liquid assets (HQLA) are assets a bank can sell fast in a crisis. A cryptoasset counts as HQLA only if it is a Group 1a token of an eligible asset. ²⁴ It must also pass the usual HQLA tests. ²⁴
- A bank that issues tokenised deposits meeting set conditions may treat them as deposits or unsecured funding. Even then, they cannot count as stable retail deposits. ²⁵ If the bank cannot always identify the holders, it must treat them as other unsecured wholesale funding. ²⁵
- A bank holding another bank's tokenised deposits treats them like unsecured loans to financial institutions. ²⁶
- A bank holding a stablecoin generally counts no LCR inflow (0%) from it. Under the NSFR, it generally needs stable funding for 85% of the coin's value (an 85% required stable funding factor). ⁵ A bank issuing one must apply a 100% LCR outflow if holders can redeem within the LCR period. Lower rates may apply if the backing assets would qualify as HQLA. ⁵
- The HKMA may apply stricter liquidity treatment to a cryptoasset. ²⁷ The HKMA gives an example. A bank that issues a stablecoin, or is a major service provider to one, may need to pay for redemptions. It may need to do so even without a contract, to protect its reputation and business. ²⁸

- Stablecoin reserves may include bank deposits with terms of up to three months.²⁹ In June 2026 the Government said HKMA rules have issuers place reserve assets with banks in Hong Kong.³⁰
- The HKMA expects an issuer to manage the reserves' intraday liquidity, taking into account trading hours and early-withdrawal terms on deposits.³¹
- The 2026 Policy Address says the HKMA plans 24/7 operations for EnsembleTX (its tokenisation pilot) by around end-2026.³² It also plans settlement in central bank digital currency by then.³² The HKMA also plans tests of tokenised Exchange Fund Bills (short-term HKMA debt) by end-2026, to help banks use them round the clock.³³

Custody liability and insurance

- The HKMA expects a bank custodian to keep adequate financial resources for potential losses, which may include insurance.⁶ The May 2026 circular replaced the HKMA's February 2024 custody circular.³⁴
- The HKMA expects 98% of client VA holdings in cold storage, meaning keys kept offline.³⁵ It also expects security monitoring to run 24/7.³⁶
- For licensed trading platforms, the SFC expects an approved compensation arrangement covering 50% of client VA holdings in cold storage and 100% elsewhere.³⁷

Licence capital and fees

- A licensed trading platform must always hold HK\$5 million or more in paid-up capital.⁷ Its required liquid capital is at least HK\$3 million.³⁸
- Under the planned custodian regime, the SFC is to set baseline minimums for non-bank VA custodians only. These are HK\$10 million paid-up capital and HK\$3 million liquid capital.⁸ Banks are left out because HKMA capital requirements already apply to them.³⁹
- A licensed stablecoin issuer needs paid-up capital of at least HK\$25 million.⁴⁰ A bank licensee follows the Banking Ordinance instead.⁴¹
- Licence fees for VA dealing are to be set by reference to fees for Type 1 (securities dealing) under the securities law.⁴² For VA advice and management, the May 2026 conclusions set fees by reference to Types 4 and 9 (securities advice and asset management).⁴³ As at December 2025, each of those types cost an RI HK\$23,500 to apply and HK\$35,000 a year.⁹
- An RI needs at least two executive officers for each regulated activity, each approved in writing by the Monetary Authority (the HKMA's head, in the law's terms).¹⁰
- Banks already assessed by the HKMA for VA custody, and already providing it, are to get faster licensing under the custodian regime.⁴⁴

Compliance and technology

- The HKMA requires registered institutions to take into account the SFC's anti-money laundering (AML) guideline for VA matters.⁴⁵ Under that guideline, for a VA transfer of HK\$8,000 or more, the sending firm must obtain fuller sender and recipient details. It must pass them to the receiving firm securely and immediately.⁴⁶ This is known as the travel rule.
- The SFC expects internet brokers and SFC-licensed VA trading platforms to adopt phishing-resistant login and device binding by 8 July 2027.⁴⁷
- The HKMA doubled its AML on-site examinations of banks, from 14 in 2024 to 28 in 2025.⁴⁸
- On 9 March 2026 the HKMA said it expects every bank's board to oversee and endorse a strategic business plan within six months. The plan responds to distributed ledger technology (DLT) and other technology change.⁴⁹ The HKMA expects banks to discuss new digital-asset activities with it before launch.⁴⁹

Tax and accounting

- The Inland Revenue Department (IRD) says profits from selling digital assets held as long-term investments are not chargeable to profits tax. Whether an asset is capital or trading stock depends on the facts.⁵⁰
- Hong Kong-sourced profits from trading or exchanging cryptocurrency as a business are chargeable to profits tax.⁵¹
- The 2026-27 Budget said the Government would classify digital assets as qualifying investments for fund and family-office tax concessions.⁵² A bill widening those regimes was gazetted on 12 June 2026. It is a bill, not yet law.⁵³ In August 2026 it was still before a LegCo Bills Committee. If passed, it would apply from the 2025/26 year of assessment.⁵⁴
- The SFC reports that the Government confirmed the stamp duty waiver for transfers of Hong Kong-listed exchange-traded funds (ETFs) also covers tokenised ETFs.⁵⁵
- If passed, the CARF bill would start on 1 January 2027.⁵⁶ A Hong Kong reporting crypto-asset service provider would have to register with the Commissioner of Inland Revenue. The deadline would be 31 January of the year after it first meets the tests for a link to Hong Kong.⁵⁷ Failing to comply without reasonable excuse would be an offence punishable by a fine.⁵⁸
- Hong Kong-incorporated banks with cryptoasset exposures must publish a template every six months. It shows how their accounts classify and measure those exposures.⁵⁹

Industry view

- KPMG (an accounting and advisory firm) published its Hong Kong Banking Report 2026, with reported figures for surveyed Hong Kong banks. It found their average cost-to-income ratio fell from 42.1% to 41.9% in 2025.⁶⁰ The same report found staff

costs rose 6.7%.⁶⁰ A cost-to-income ratio is operating costs divided by operating income.

- Morgan McKinley (a recruitment firm) publishes a salary guide. Its 2026 Hong Kong guide (reported pay ranges) puts a head of compliance at a median of HK\$180,000 a month.⁶¹ Its range runs from HK\$130,000 to HK\$250,000.⁶¹
- A 2022 BCBS study (global, reported, 19 banks) found about half of banks' reported crypto exposures came from custody, wallet, insurance and similar services.⁶²
- Two 2026 Hong Kong fund documents are the source here (reported figures). One is from China Asset Management (Hong Kong), the other from Bosera Asset Management (International). Each sets the custodian and administrator fee at up to 1% a year of net asset value. That fee includes the VA sub-custodian.^{63,64} The Bosera prospectus says its sub-custodian will have cover at 50% for cold-storage client assets and 100% for hot-storage ones.⁶⁵
- The International Financial Reporting Standards (IFRS) Interpretations Committee (global standard-setter, 2019 agenda decision) said a cryptocurrency holding is not cash or a financial asset.⁶⁶ Such holdings fall under the inventory standard when held for sale in ordinary business, and otherwise under the intangible-asset standard.⁶⁷

How it works commercially

- **Capital cost.** A business line uses capital. The bank expects a return on it, often called a hurdle rate (the minimum return a project must beat). A higher risk weight means more capital, so the line must earn more to clear the hurdle. CONCEPT
- **Balance-sheet or fee business.** Holding a coin on the bank's own books uses capital. Holding it for a client in segregated custody mainly uses operations and liability cover. CONCEPT The HKMA expects client assets to be kept apart from the bank's own.⁶⁸
- **Funding value.** Funding that liquidity rules treat as stable is worth more to a bank than wholesale funding. CONCEPT
- **Net interest margin.** Net interest margin is the gap between what a bank earns on assets and pays on funding. Reserve deposits from a stablecoin issuer earn this gap for the bank that holds them. CONCEPT
- **Fixed and variable costs.** Key management, monitoring and licences cost roughly the same at low and high volume. Fees on trades or assets grow with volume. So scale decides whether a line covers its costs. CONCEPT

The business lines show these levers one by one. See Virtual-asset custody, Stablecoin roles for banks, Tokenised deposits and payments, Virtual-asset dealing and Virtual-asset financing and margin.

ANALYSIS — NOT OFFICIAL

Question: For a new digital-asset product, what does one extra unit of client business add to profit, after the costs the rules create?

How to think about it:

- Start with income per unit: a fee on assets held, a spread on trades, or a margin on deposits.
- Take off variable costs per unit: collecting and sending travel-rule data, blockchain monitoring, and any insurance priced on value held.
- Add the cost of the capital the unit uses, at the bank's hurdle rate. A unit on the bank's own books in Group 2b carries a 1,250% risk weight². The HKMA expects a unit held for a client in custody to be kept apart from the bank's own assets⁶⁹.
- Add the liquidity cost: funding that counts as wholesale is worth less than stable retail funding²⁵.
- Then compare the total contribution with the fixed cost of keys, staff, licences and named managers. A line with a small contribution per unit needs high volume to break even.

What it depends on: the asset's capital group; whether the bank owns the asset or only safekeeps it; volumes and fee levels; the hurdle rate; the final licensing rules.

Official signposts: HKMA classification decisions on new asset types¹⁷; the custodian bill and its start date⁷⁰; EnsembleTX moving to 24/7³²; progress of the CARF bill¹¹.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- Basel crypto capital rules have been in force in Hong Kong since 1 January 2026.¹
- The HKMA expected each board to endorse a strategic business plan within six months of 9 March 2026.⁴⁹

To the CCO

- We must notify the HKMA before we acquire any new type of cryptoasset.¹⁷
- Under the SFC's AML guideline, VA transfers of HK\$8,000 or more must carry fuller sender and recipient details.⁴⁶

To business heads

- Group 2b cryptoassets on our own books take a 1,250% risk weight.² The minimum total capital ratio is 8%.³ So $1,250\% \times 8\% = 100\%$: capital equals the exposure.

- The HKMA expects us, as custodian, to be liable for client asset losses from incidents attributable to us.⁶

To Risk / CRO

- An issued stablecoin redeemable within the LCR period means a 100% assumed outflow.⁵
- Tokenised deposits with unknown holders count as other unsecured wholesale funding.²⁵

Common misunderstandings

- **Myth:** Custody of client coins costs the same as holding coins ourselves. **Fact:** The 1,250% weight applies to Group 2b cryptoasset exposures.² For custody, the HKMA expects segregation, and liability backed by adequate financial resources.⁷¹
- **Myth:** Tokenised deposits are just deposits for liquidity. **Fact:** They cannot count as stable retail deposits. If the holders are unknown, they count as wholesale funding.²⁵
- **Myth:** Banks need the 50%/100% insurance cover. **Fact:** That is the SFC's expectation for trading platforms.³⁷ The HKMA's 2026 guidance for banks instead expects liability for losses, backed by adequate financial resources.⁶
- **Myth:** Crypto gains are always tax-free in Hong Kong. **Fact:** Gains on long-term investments are not chargeable to profits tax.⁵⁰ Hong Kong-sourced profits from a crypto trading business are taxed.⁵¹
- **Myth:** The fund tax concession for digital assets is already law. **Fact:** It is in a bill gazetted in June 2026.⁷² In August 2026 LegCo was still scrutinising it.⁵⁴

Official documents to read first

1. **Supervisory Policy Manual (SPM) module on liquidity risk, Annex 3** — HKMA, V.5, 19 December 2025. Read paras 1-9 for how tokens and stablecoins count in the LCR and NSFR. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251217-7-EN/LM-1.pdf>
2. **Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets** — HKMA, 27 May 2026. Read paras 6, 11, 14, 19 and 21-23 for liability, storage and monitoring. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-7-EN/20260527-7-EN.pdf>
3. **Consultation Conclusions on VA custodian services** — Financial Services and the Treasury Bureau (FSTB) and SFC, 24 December 2025. Read paras 41-42 and 51 for capital baselines and faster licensing. https://www.fstb.gov.hk/fsb/en/publication/consult/doc/Custodian_consultation_conclusion_e.pdf
4. **Guideline on Supervision of Licensed Stablecoin Issuers** — HKMA, 1 August 2025. Read paras 2.2-2.3, 5.1 and 6.4 for reserves, capital and liquidity. https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stablecoin_issuers_eng.pdf
5. **Departmental Interpretation and Practice Notes (DIPN) No. 39, on profits tax and digital assets** — IRD, March 2020. Read paras 41-52. <https://www.ird.gov.hk/eng/pdf/dipn39.pdf>
6. **CARF and Amended Common Reporting Standard (CRS) Bill 2026** — IRD, 22 May 2026. Read Clause 1 and ss.50M-50Q and 80R. [https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20\(Amendment\)%20\(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard\)%20Bill%202026\(eng\).pdf](https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20(Amendment)%20(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard)%20Bill%202026(eng).pdf)

Open questions

- The sources reviewed hold no final rules on the April 2026 Banking (Capital) Rules proposals.⁷³
- No official source gives the cost of insurance for VA custody in Hong Kong.
- The fund tax bill and the CARF bill had not passed as of 25 September 2026 in the sources reviewed.
- Final fee levels and start dates for the VA dealing, custodian, advisory and management regimes were not set in the sources reviewed. The Government and SFC said they would consider the dealing start date.⁷⁴
- No HKMA guidance on intraday liquidity for 24/7 tokenised settlement was found in the sources reviewed.

Related modules

D1, D2, D3, D5, C3, C4, C5, F1, F3, F5a

Notes

1. HKMA. *HKMA Annual Report 2025 - Banking Stability*, 30 April 2026. P.90. https://www.hkma.gov.hk/media/eng/publication-and-research/annual-report/2025/15_Banking_Stability.pdf
2. HKMA. *Annex 4: Standard Disclosure Templates and Tables*, 27 November 2025. Part XII CAE1 explanatory note, column (c), p.215. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251027-8-EN/20251027-8-EN.pdf>
3. HKMA. *CA-G-1 Overview of Capital Adequacy Regime for Locally Incorporated Authorized Institutions*, 19 December 2025. Para 2.1.2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20251217-1-EN>
4. HKMA. *Supervisory Policy Manual LM-1: Regulatory Framework for Supervision of Liquidity Risk*, 19 December 2025. Annex 3, paras 4-7. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251217-7-EN/LM-1.pdf>
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PART F · MODULE F3

F3 Market structure: who does what

A P&L (profit and loss statement) shows what a business earns and spends. This module maps the regulated firms in Hong Kong's digital-asset market and how each type earns money. After reading, you can name each firm type and say how many hold a licence, using official registers. You can explain where a bank can compete, supply or partner. You can also read listed firms' published figures without mistaking them for market shares.

In 60 seconds

Hong Kong licenses digital-asset firms by activity, such as running a trading platform or issuing stablecoins. ¹ The Securities and Futures Commission (SFC) licenses virtual asset trading platforms (VATPs), which are exchanges for crypto tokens. It listed 13 licensed platforms at end-June 2026, with six applications under review. ² The Hong Kong Monetary Authority (HKMA) licenses stablecoin issuers. A stablecoin is a token built to keep a steady value against a currency. The HKMA register, dated 23 April 2026, lists two licensed issuers. ³ The HKMA granted those two licences from 36 first-batch applicants. ⁴ A digital bank serves clients mainly online. ⁵ The HKMA listed eight digital banks at 31 August 2026. ⁶

Other firm types are still waiting for their own licence. Planned regimes for virtual asset (VA) dealers and custodians are at the conclusions stage: the final policy is published, but the law is not yet made. ^{7,8} So are regimes for VA advisers and managers. ⁹ On 24 June 2026 the Government said it will put one bill covering all four to the Legislative Council (LegCo) in 2026. ¹⁰ Some licensed firms are joint ventures. The HKMA names one licensed stablecoin issuer as a joint venture of three firms, one of them a bank. ¹¹

Key facts

Virtual asset trading platforms

- The SFC's list showed 13 licensed platforms and six applicants at its 29 May 2026 update. ¹² The SFC stresses that applicants are not licensed. ¹³
- At 30 June 2026 the SFC counted 159 licensees under Hong Kong's anti-money laundering ordinance (AMLO), Cap. 615, the law that licenses platforms. That is 13 licensed providers plus 146 licensed individuals. ¹⁴
- The first platform licence was granted in December 2020, for professional investors only. ¹⁵
- Since November 2025, licensed platforms may pool orders with overseas affiliates in a shared order book. ¹⁶ Affiliates may also act as market makers, meaning firms that quote buy and sell prices. ¹⁶
- A bank offering VA dealing may partner only with SFC-licensed platforms. It either introduces clients to the platform or uses an omnibus account (one pooled account for many clients). ¹⁷
- A licensed platform must keep at least HK\$5 million of paid-up capital. ¹⁸

Stablecoin issuers

- The register of 23 April 2026 lists Anchorpoint Financial Limited (FRS01) and The Hongkong and Shanghai Banking Corporation Limited (FRS02). Both licences took effect on 10 April 2026. ³
- The HKMA received first-batch applications from 36 entities by 30 September 2025. ¹⁹ It granted licences to two of them. ²⁰
- On 10 June 2026 the Government said that if more licences are granted, the total number will stay very limited. ²¹
- On 28 April 2026 both licensees confirmed they had not yet issued regulated stablecoins. ²²
- An issuer must not pay interest to holders. ²³ A licensed issuer needs paid-up capital of at least HK\$25 million. ²⁴ A bank licensee follows the Banking Ordinance instead. ²⁵

VA custodians

- Under the planned regime, platform-linked firms, banks and local banks' subsidiaries that safekeep client keys would need a licence or registration. ²⁶ The FSTB (Financial Services and the Treasury Bureau) and the SFC aim to put a bill to LegCo in 2026. ⁸
- Under the planned dealing regime, the SFC is to require VA dealers to use SFC-regulated custodians. ²⁷
- The SFC expects the trustee of an SFC-authorised VA fund to delegate custody only to three kinds of firm. These are a licensed platform, a bank (or a local bank's subsidiary) meeting HKMA custody standards, or another firm the SFC accepts. ²⁸

Tokenisation platforms

- The Central Moneymarkets Unit (CMU) is Hong Kong's central securities depository, a system that holds securities and settles trades in them. CMU OmniClear (CMU OmniClear Limited) runs it for the HKMA. It sits under a holding company, CMU OmniClear Holdings Limited. ²⁹ On 12 November 2025 the HKMA said Hong Kong Exchanges and Clearing Limited (HKEX) would buy newly issued shares for a 20% stake. ²⁹ Once the deal completed, the HKMA said, the Exchange Fund would own 80% of the holding company and HKEX 20%. ²⁹ The HKMA called the deal a joint venture. ²⁹
- The 2026 Policy Address says CMU OmniClear is to set up a digital asset platform in 2026 for issuing and settling digital bonds. ³⁰ It also says HKEX is building a multi-asset tokenisation platform on a blockchain. ³¹

- It says digital bonds issued in Hong Kong took nearly 50% of the global market over 2025 and the first half of 2026. ³²
- At end-June 2026, the SFC counted 15 tokenised retail products. Their tokenised classes had assets under management of HK\$10.3 billion. ³³

VA fund managers and advisers

- The SFC's terms and conditions for VA fund managers apply in two cases. One is a fund with a stated VA objective. The other is a fund that plans to put 10% or more of its gross assets into them. ³⁴
- The SFC counted 2,358 firms holding a Type 9 licence (asset management) at end-2025. The count covers all asset classes. ³⁵ It gives no separate count for VA managers.
- The 11 VA spot exchange-traded funds (ETFs) had a combined market value of US\$451 million at end-June 2026. ³⁶ Three of these ETFs may stake through licensed platforms. ³⁶
- The Government and the SFC have yet to set a start date for the advisory and management regimes. ³⁷

OTC dealers

- An over-the-counter (OTC) dealer trades directly with clients rather than on an exchange. CONCEPT
- The dealing regime is to cover anyone who, as a business, makes or offers deals to buy or sell virtual assets, in line with securities dealing. ³⁸ Payment firms offering conversion into or out of virtual assets may need a licence. ³⁹
- The Government and the SFC do not plan to treat existing VA dealers as licensed while they apply. ⁴⁰ The regime takes full effect on its start date. ⁴⁰ Licensed platforms, and SFC-licensed or SFC-registered firms that already deal in virtual assets, are to get faster approval. ⁴¹

Digital banks

- The HKMA listed eight digital banks at 31 August 2026, all incorporated in Hong Kong. ⁶
- A person holding more than 50% of a local bank should normally be a supervised bank or financial institution. Otherwise the HKMA expects the owner to hold the bank through a Hong Kong holding company that accepts supervisory conditions. ⁴² Banks may apply to own a digital bank. So may technology companies and other non-financial firms. ⁴²
- The HKMA would be concerned by a digital bank chasing market share with heavy early losses and no credible plan for profit. ⁴³
- By end-July 2024, six of the eight digital banks (then called virtual banks) were registered with the SFC for securities business. ⁴⁴ In August 2024 the HKMA said it would remove the rule that they mainly serve retail clients. It pointed to their growing links with digital-asset and Web3 firms. ⁴⁵

Joint ventures and partnerships

- On 10 April 2026 the HKMA described Anchorpoint as a joint venture. ¹¹ It named the three partners in this order: Standard Chartered Bank (Hong Kong) Limited, HKT (HKT Limited) and Animoca Brands Limited. ¹¹ The HKMA does not state the shareholdings. ¹¹
- EnsembleTX (the HKMA's pilot for settling tokenised deposits between banks) has annexes dated November 2025. They name seven Tokenised Deposit Banks and 13 other industry pioneers. ⁴⁶ The seven banks include Fusion Bank Limited ⁴⁷, which is on the HKMA's digital bank list. ⁶
- The Ensemble Sandbox list revised on 7 April 2025 shows banks in its trade theme. Technology firms there include Ant Digital Technologies and Microsoft Hong Kong Limited. ⁴⁸
- Project mBridge is a shared platform for cross-border payments in central bank digital currency. In June 2024 the HKMA was one of its project team members. ⁴⁹

Industry view

Each figure below is a firm's own reported number from its filing. The firms differ in scope and period, so the figures are not market shares.

- **HashKey Holdings Limited (HashKey)** (Hong Kong-listed; 2025 annual results, reported): group revenue of HK\$723.1 million. ⁵⁰ The segment HashKey calls "transaction facilitation services" brought HK\$522.8 million, asset management HK\$117.1 million and on-chain services HK\$83.2 million. ⁵⁰ Group trading volume was HK\$590.8 billion. ⁵⁰ The group also reports business outside Hong Kong. ⁵⁰
- **HashKey** (interim results to 30 June 2026, reported): revenue of HK\$342.5 million and trading volume of HK\$282.2 billion. ⁵¹
- **OSL Group Limited (OSL)** (Hong Kong-listed; 2025 annual report, reported): digital asset transaction services income of HK\$326.8 million. ⁵² Software-as-a-service income was HK\$133.1 million and custody income HK\$16.1 million. ⁵³ Transaction volume was HK\$201.2 billion. ⁵⁴ These are group figures. OSL reports income from Asia Pacific and Europe. ⁵⁵
- **Circle Internet Group** (US-listed stablecoin issuer, not on the HKMA register ³; fourth quarter of 2025, global, reported): reserve income of US\$733 million. ⁵⁶ Distribution, transaction and other costs were US\$461 million. ⁵⁶

How it works commercially

- **Trading platforms** earn a fee on each trade. The take rate is fee income divided by trading volume. Platforms may also earn from listing, custody and staking. CONCEPT

- **Stablecoin issuers** earn the return on the reserve assets behind their coins. They pay distributors and run costs out of that return. Income moves with interest rates and the value of coins in circulation. CONCEPT
- **Custodians** charge a yearly fee on the value of assets they hold. Their main costs are key security, monitoring, audit and liability cover. CONCEPT
- **Tokenisation platforms** charge issuers to create tokens and charge users to settle and service them. CONCEPT
- **Fund managers** charge a management fee on assets under management (AUM), the value of client money they run. Some funds also pay a performance fee. CONCEPT
- **OTC dealers** earn the spread, the gap between the price they buy at and the price they sell at. CONCEPT
- **Digital banks** earn net interest margin, the gap between what they earn on loans and pay on deposits, plus fees. CONCEPT
- A bank can meet each firm type in three roles: competitor, supplier or joint-venture partner. As a supplier, it offers accounts, custody or credit. CONCEPT The business lines Banking the digital-asset industry and Infrastructure as a service cover the supplier role.

ANALYSIS — NOT OFFICIAL

Question: For each firm type, is it a rival, a customer or a partner for our bank?

How to think about it:

- List each firm type and ask what it buys from banks: accounts, reserve deposits, custody, credit or settlement.
- Mark where rules create demand a bank could serve, such as dealers needing regulated custodians ²⁷ or issuers placing reserve assets with Hong Kong banks ⁵⁷.
- Mark where the bank needs a licensed partner, such as a licensed platform for VA dealing ¹⁷.
- Compare building a unit, partnering, or holding a stake through a joint venture. Use the joint ventures and partnerships that regulators have already described as examples.

What it depends on: how many firms hold each licence; when the new regimes start; the bank's own licences; how much risk from partners it accepts.

Official signposts: the SFC platform list ⁵⁸; the HKMA issuer register ³; the combined VA bill ¹⁰; the CMU OmniClear platform ³⁰.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- Hong Kong had 13 licensed trading platforms at end-June 2026. ² The HKMA register of 23 April 2026 lists two stablecoin issuers. ³
- One licensed issuer is a joint venture that includes Standard Chartered Bank (Hong Kong) Limited. ¹¹

To the CCO

- For VA dealing we may partner only with SFC-licensed platforms. ¹⁷
- The SFC says applicants on its list are not licensed. ¹³

To business heads

- Planned rules would make VA dealers use SFC-regulated custodians. ²⁷
- The HKMA requires licensed stablecoin issuers to place reserve assets with banks in Hong Kong. ⁵⁷

To Risk / CRO

- Licensed platforms may now pool orders with overseas affiliates. ¹⁶
- Neither licensed issuer had issued a regulated stablecoin as of 28 April 2026. ²²

Common misunderstandings

- **Myth:** Every name on the SFC platform list is licensed. **Fact:** The list has a separate section for applicants. The SFC says applicants are not licensed. ¹³
- **Myth:** VA custodians and OTC dealers already have their own licence. **Fact:** Both regimes are at the conclusions stage (policy final, law not yet made), with a bill targeted for 2026. ^{8,7}
- **Myth:** Only banks can own a digital bank. **Fact:** Technology companies and other non-financial firms may apply to own one. ⁴²
- **Myth:** A listed platform's revenue shows its market share. **Fact:** Each filing covers its own firm, scope and period. Its revenue is not a share of a market. CONCEPT

Official documents to read first

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Open questions

- The sources reviewed give no official count of firms holding SFC terms to manage VA portfolios.
- The sources reviewed include no list of the banks registered with the SFC for VA dealing, advice or distribution.
- Counts here are snapshots at the dates shown, such as 29 May, 30 June and 31 August 2026. Registers can change after those dates.
- The sources reviewed give no market shares, revenues or client numbers for individual platforms, issuers or banks.
- The sources reviewed do not show when regulated stablecoins were first issued, if at all, after 28 April 2026.

Related modules

A1, C1, C3, C4, C5, C7, E2, F1, F2, F4

Notes

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F4 Timing and scenarios

This module sets out what Hong Kong's regulators and Government have scheduled up to 2029. After reading, you can brief a board on the official pipeline with a source for every date. You can explain why industry market-size forecasts disagree, without backing any of them. You can also test a plan against three scenarios for 2030–35, and name the signposts to watch for each.

In 60 seconds

Most dated items in the official pipeline below fall in 2026. Fewer fall in 2027–29. The Government said it and the Securities and Futures Commission (SFC) would put one bill to the Legislative Council (LegCo) in 2026. It would cover virtual asset (VA) dealing, custody, advice and management. ¹ The start dates of those regimes are not yet set. ^{2,3,4} The Hong Kong Monetary Authority (HKMA) plans central bank digital currency settlement and 24/7 operation for EnsembleTX (its tokenised-deposit pilot) by around end-2026. ⁵

Dates after 2026 are fewer, and about half of them are stated targets rather than law. The SFC plans to switch on market and anti-money laundering (AML) surveillance tools in 2027. ⁶ A tax-reporting bill would bring in new crypto tax reporting from 1 January 2027, if LegCo passes it. ⁷

Industry forecasts of market size differ widely; the forecasts box below shows the spread. The official sources reviewed give no market-size forecast. The three scenarios below have no probabilities, and none is treated as the expected one.

Key facts

The official pipeline to 2029

Status words in the table:

- *Stated target*: a Government or regulator aim.
- *Bill*: a bill before LegCo, not yet law.
- *Expectation*: supervisory guidance.
- *Requirement*: binds the firms named.
- *Issuers' plans*: timing the Government reported from the issuers' own business plans.
- *Scheme term*: the period set in a scheme's own guideline.

Names in the table: HKEX means Hong Kong Exchanges and Clearing. CMU OmniClear operates the Central Moneymarkets Unit (CMU), Hong Kong's bond settlement system. FSTB means the Financial Services and the Treasury Bureau.

When	What is scheduled	Who	Status	Source
By 9 Sep 2026	Each bank's board endorses a strategic plan on digital change, within six months of 9 Mar 2026	HKMA	Expectation	⁸
Mid-2026 to second half of 2026	First regulated stablecoins launch, as the Government expected from the two issuers' plans	Government	Issuers' plans	⁹
2026	One bill for VA dealing, custody, advice and management goes to LegCo	Government + SFC	Stated target	¹
2026	CMU OmniClear sets up a digital asset platform for digital bonds	CMU OmniClear	Stated target	^{10,11}
2026	Real-money trades using e-HKD (a digital Hong Kong dollar) to pay for after-hours derivatives trading	HKEX with HKMA	Stated target	¹²
Second half of 2026	Next phase of the tokenised-bond legal review starts	FSTB + HKMA	Stated target	^{13,14}
Second half of 2026	SFC starts its digital-asset custody surveillance system	SFC	Stated target	⁶
Fourth quarter of 2026	SFC revises its codes to encourage new fund products	SFC	Stated target	¹⁵
By end-2026	Tests of tokenised Exchange Fund Bills	HKMA	Stated target	¹⁶
Around end-2026	EnsembleTX adds central bank money settlement and runs 24/7	HKMA	Stated target	⁵
By end-2026	Pilot trade-finance deals using tokenised deposits, with the Mainland	HKMA	Stated target	¹⁷
1 Jan 2027	Crypto-Asset Reporting Framework (CARF) duties start, if the bill passes	Government	Bill	^{7,18}
2027	SFC activates market and AML surveillance under CrypTech (its data project)	SFC	Stated target	⁶

When	What is scheduled	Who	Status	Source
2027	Pilot of loans backed by tokenised warehouse receipts (records of goods held in a warehouse), with designated banks	HKEX	Stated target	¹⁹
Mid-2027	The Trade Single Window (the Government's online platform for trade documents) links to the Commercial Data Interchange (CDI), so banks can use trade data	Government + HKMA	Stated target	²⁰
By 8 Jul 2027	Internet brokers and SFC-licensed VA trading platforms adopt phishing-resistant login and device binding (tying an account to a known device), within 12 months of the SFC's 9 Jul 2026 circular	SFC	Expectation	²¹
Nov 2027	The Digital Bond Grant Scheme's initial three-year period, which opened on 28 Nov 2024, ends	HKMA	Scheme term	²²
1 Jan 2028	Amended Common Reporting Standard (CRS) duties start, if the bill passes	Government	Bill	^{7,18}
By 2029	Customs and Excise Department launches its digital-asset and AML analytics systems (phase 2 of its AML data platform)	Customs	Stated target	²³

What is still undated

- The Government and the SFC do not plan to treat existing VA dealers as licensed while they apply. ²⁴ The regime takes full effect on its start date. ²⁴
- The start date is still to be decided. The Government and the SFC are to weigh its effect on existing dealers. ²
- The same two points apply to the custody regime ²⁵ and to the advisory and management regimes. ²⁶
- The Government said that if more stablecoin licences are granted, the total number will remain very limited. ²⁷

Industry view

This section holds the site's only forecasts. Read the box before quoting any number.

How to read market-size forecasts

Today's size depends on the definition. Real-world assets (RWA) are traditional assets, such as bonds or funds, recorded as tokens. On 26 September 2026 the data firm RWA.xyz showed US\$38.62 billion of freely transferable tokenised assets (global, reported). ²⁸ It showed a separate US\$358.07 billion of assets recorded on a ledger but not freely transferable as tokens (global, reported). ²⁹ Citi Institute, the research arm of the bank Citigroup, put the tokenised asset market at about US\$17 billion in 2026 (global, reported). ³⁰ That figure uses April 2026 data from DefiLlama (another data firm). ³¹

Forecasts for tokenised assets (global).

- McKinsey (a consultancy), June 2024: about US\$2 trillion of tokenised market value by 2030 (forecast). ³² The International Organization of Securities Commissions (IOSCO) repeated this figure in a 2025 report. ³² McKinsey's range is US\$1–4 trillion, and it leaves out cryptocurrencies and stablecoins. ³²
- Citi Institute (a bank's research arm), June 2026: US\$5.5 trillion of tokenised financial assets by 2030 in its central (base) case (forecast). ³⁰ Its low (bear) case is US\$2.7 trillion and its high (bull) case US\$8.2 trillion. ³⁰ Citi adds up five market segments, such as public bonds, public shares and private credit. For each segment, it assumes what share is tokenised. ³³
- Ripple (a crypto firm) and Boston Consulting Group (BCG), a consultancy, April 2025: tokenised real-world assets grow from about US\$0.6 trillion in 2025 to US\$18.9 trillion by 2033 (forecast). ³⁴ The study's other scenarios give US\$12.5 trillion and US\$23.4 trillion. ³⁴ The Global Financial Markets Association (GFMA), a trade body, repeated these figures in 2025. ³⁴
- Citi also lists other firms' 2030 forecasts. They run from US\$1.0–4.0 trillion (McKinsey) to US\$16.1 trillion (BCG with ADDX, a digital securities exchange). ³⁵
- Deloitte (a consultancy), April 2025: US\$4 trillion of tokenised real estate by 2035 (global forecast, real estate only). ³⁶

Forecasts for stablecoins (global).

- Citi Institute (a bank's research arm), September 2025: US\$1.9 trillion of stablecoins outstanding by 2030 in its central case (forecast). ³⁷ Its low case is US\$0.9 trillion and its high case US\$4.0 trillion. ³⁷
- J.P. Morgan Global Research (a bank's research arm), 2025: a stablecoin market of US\$500–750 billion in the coming years (forecast, no year given). ³⁸
- The Bank for International Settlements (BIS), 2026, cites in a footnote some industry forecasts of US\$2–4 trillion by 2030. It does not make its own forecast there. ³⁹

Why they differ.

- *Scope.* McKinsey's figure leaves out cryptocurrencies and stablecoins. ³² Citi's covers five segments. ³³ Deloitte's covers real estate only. ³⁶
- *Definition.* Counting only transferable tokens, or also assets recorded on a ledger, gives very different totals. ⁴⁰
- *Method.* Citi multiplies each market's size by an assumed tokenised share. ³³ Ripple and BCG's figures imply growth of over 50% a year. ³⁴ Deloitte's imply 27% a year. ³⁶

- *Sponsor.* Citi's report quotes the head of digital assets in its own Citi Services unit.⁴¹ Its disclosures say the firm may have interests different from the reader's.⁴² The GFMA figures come from a study co-written by Ripple, a crypto firm.³⁴ Deloitte's figure is part of its own yearly predictions series.⁴³

What official bodies say about them. The Financial Stability Board (FSB) said in 2024 that industry growth estimates vary widely and are poorly supported.⁴⁴ IOSCO says estimates vary across studies. It also says its report does not aim to encourage or endorse tokenisation.⁴⁵

How to use this box. A range from several sources tells you more than any single number. Each figure above names its publisher, year, scope and definition. This site does not endorse any forecast. CONCEPT

How it works commercially

A scenario is a story about the future used to test a plan. It is not a prediction. CONCEPT Each scenario below is named after the main force that shapes it. Each gets the same structure and the same weight. None is a base case, and none carries a probability.

ANALYSIS — NOT OFFICIAL

Question: Scenario 1, *Settlement moves onto ledgers*: what if tokenised deposits and central bank money become common for settlement by 2030–35?

How to think about it:

- Picture payments, fund trades and bond settlement running 24/7 on shared ledgers.
- A bank's income would rely more on deposit balances, settlement fees and running infrastructure for others. CONCEPT
- The skills in demand would be ledger operations, liquidity management around the clock and resilient systems. CONCEPT

What it depends on: pilot results turning into live services; links between platforms; clients' treasury needs; capital treatment of tokenised assets.

Official signposts: EnsembleTX's move to 24/7 and central bank money settlement⁵; the CMU OmniClear digital asset platform¹⁰; tokenised Exchange Fund Bill tests¹⁶.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: Scenario 2, *Investor products grow through licensed firms*: what if client demand for VA and tokenised products grows by 2030–35, with settlement mostly traditional?

How to think about it:

- Picture more clients buying VA funds, tokenised funds and stablecoins through licensed firms.
- A bank's income would rely more on distribution, dealing, custody and financing fees. CONCEPT
- The skills in demand would be suitability controls (checking a product fits the client), custody security and partner due diligence. CONCEPT

What it depends on: start dates of the new VA regimes; the product range regulators allow; client interest; fee pressure among providers.

Official signposts: the combined VA bill¹; tokenised gold and other real-world asset products on licensed platforms⁴⁶; stablecoin trading on licensed platforms⁴⁷.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: Scenario 3, *Demand stays narrow*: what if client use stays small and concentrated in a few services by 2030–35?

How to think about it:

- Picture a few specialist firms serving most clients, with banks as suppliers of accounts, reserves and custody.
- A bank's income would rely more on serving other firms, such as holding stablecoin reserves. CONCEPT
- The skills in demand would be cost control, outsourcing oversight and clear decisions on when to scale down. CONCEPT

What it depends on: client demand; capital costs; incidents or fraud that reduce trust; how many licences regulators grant.

Official signposts: the small number of stablecoin licences²⁷; how the cryptoasset capital rules in force since 1 January 2026 affect costs⁴⁸; the number of licensed trading platforms⁴⁹.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: Which capabilities appear in all three scenarios, and which official rule or plan does each connect to?

How to think about it:

- Secure key custody. Link: the HKMA sets expected standards for banks that hold client digital assets ⁵⁰.
- Monitoring blockchain transactions for money laundering. Link: the SFC plans its own AML surveillance tools for 2027 ⁶.
- Strong client login and device controls. Link: the SFC expects them of internet brokers and SFC-licensed VA trading platforms ²¹.
- A board-level plan for digital change. Link: the HKMA expects each bank's board to endorse one ⁸.
- A way to track rule changes by date, such as the pipeline table above. CONCEPT

What it depends on: the bank's size and client mix; which lines it runs; its partners; its budget.

Official signposts: the combined VA bill ¹; the CryptTech timetable ⁶; the phishing-resistant login deadline ²¹.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- The Government aims to put one bill for four VA regimes to LegCo in 2026. ¹
- The HKMA plans to run EnsembleTX 24/7, with settlement in central bank money, by around end-2026. ⁵

To the CCO

- The Government and the SFC do not plan to treat existing VA dealers as licensed while they apply. ²⁴ The regime takes full effect on its start date. ²⁴
- The SFC expects internet brokers and SFC-licensed VA trading platforms to adopt phishing-resistant login and device binding by 8 July 2027. ²¹

To business heads

- In June 2026 the Government said the first regulated stablecoins were expected to launch between mid-2026 and the second half of 2026, based on the issuers' plans. ⁹
- HKEX aims to pilot tokenised warehouse-receipt financing with designated banks in 2027. ¹⁹

To Risk / CRO

- The SFC plans AML surveillance under CryptTech in 2027. ⁶
- Crypto tax reporting would start on 1 January 2027 if the bill passes. ⁷

Common misunderstandings

- **Myth:** A Policy Address target is a legal deadline. **Fact:** Most items in the pipeline are stated targets. Only law or a regulator's requirement binds firms. CONCEPT
- **Myth:** The new dealing regime starts when the bill passes. **Fact:** The Government and the SFC will first consider when the regime should start. ²
- **Myth:** Industry forecasts agree on the market size. **Fact:** Published forecasts differ widely. The forecasts box in Industry view shows the spread and the reasons. CONCEPT
- **Myth:** One scenario here is the expected one. **Fact:** All three get equal weight. They are tools for testing plans. CONCEPT

Official documents to read first

1. **The Chief Executive's 2026 Policy Address** — Government, 16 September 2026. Read paras 35-36, 46, 49-51 and 97-99, and Annex item 209. https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
2. **LCQ11: Management of stablecoins** — Government, 24 June 2026. Read the opening and part (3). <https://www.info.gov.hk/gia/general/202606/24/P2026062400325.htm>
3. **Consultation conclusions on VA dealing** — FSTB and SFC, 24 December 2025. Read paras 31-36. <https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP12>
4. **The 2026-27 Budget speech** — Financial Secretary, 25 February 2026. Read paras 104-114. https://www.budget.gov.hk/2026/eng/pdf/e_budget_speech_2026-27.pdf
5. **CARF and amended CRS bill 2026** — Inland Revenue Department, 22 May 2026. Read clause 1. [https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20\(Amendment\)%20\(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard\)%20Bill%202026\(eng\).pdf](https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20(Amendment)%20(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard)%20Bill%202026(eng).pdf)

6. **FSTB and HKMA to further unlock potential of distributed ledger technology — HKMA**, 29 June 2026.
<https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/06/20260629-4/>

Open questions

- The sources reviewed give no start dates for the VA dealing, custody, advisory or management regimes.
- The sources reviewed give no official forecast of the size of Hong Kong's digital-asset or tokenisation market.
- Official targets after 2027 are few. The sources reviewed give no bank-relevant dates for 2030–35.
- The sources reviewed do not confirm whether regulated stablecoins launched in 2026.
- Whether the board strategic plans were endorsed on time is not public.

Related modules

E1, E3, F1, F2, F3, F5a, C4, C5, D1

Notes

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5. Government. *The Chief Executive's 2026 Policy Address*, 16 September 2026. Para 50. https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
6. Government. *The Chief Executive's 2026 Policy Address*, 16 September 2026. Para 51(iii). https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
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PART F · MODULE F5A

F5a Running the business: strategy and P&L

This module is about the top-level choices: which businesses to be in, how to price, where to put capital and when to stop. A P&L (profit and loss statement) shows what a business earns and spends. After reading, you can build a business case that a Chief Financial Officer (CFO) can test and a supervisor can follow. You can also name the approvals on the path of a launch, a partnership or an acquisition. Two regulators matter most: the Securities and Futures Commission (SFC) and the Hong Kong Monetary Authority (HKMA).

In 60 seconds

Strategy is now on the HKMA's agenda. On 9 March 2026 the HKMA asked every bank's board to oversee and endorse a formal strategic business plan within six months. ¹ The plan responds to distributed ledger technology (DLT), the shared-database technology behind tokens, and other technology change. ¹

Capital rules make it costly for a bank to own crypto itself. Cryptoassets in Group 2b, the group with the strictest capital treatment, take a 1,250% risk weight on the bank's own books. ² The HKMA brought these global crypto capital rules, set by the Basel Committee on Banking Supervision, into force on 1 January 2026. ³ Holding assets for clients is treated differently. Client assets sit in separate accounts, and the HKMA expects the bank to be liable for losses from incidents it causes. ⁴

A launch starts with a talk with the HKMA. The HKMA has expected banks to discuss a planned virtual-asset (VA) activity before launch since January 2022. ⁵ Buying a firm can need consent too. ⁶ A new controller of a Hong Kong-incorporated bank needs the Monetary Authority's approval. ⁷

The working relationship with regulators also matters. The Supervisory Incubator for DLT gives banks a dedicated HKMA team and optional live trials. ⁸ Banks already assessed for VA custody are to get a faster licensing path under the planned custodian regime. ⁹

Key facts

The board plan (9 March 2026 circular)

- The HKMA expects each bank's board to oversee and endorse a formal strategic business plan within six months of 9 March 2026. ¹
- The plan should look for chances to adapt products, revenue models, customer engagement, risk management and operations. ¹
- The plan may include small real-world trials through the Supervisory Incubator to test new business models. ¹

Launching a product

- Before launch, a bank should discuss any VA activity with the HKMA and get feedback on its risk controls. ⁵
- A registered institution (RI) is a bank the SFC has registered for securities business. An RI should tell the SFC and the HKMA before it starts or changes any VA activity. ¹⁰ That includes changes in the types of clients it serves. ¹⁰
- A bank should assess money-laundering and terrorist-financing risks before launching a new product, practice or technology. ¹¹
- A bank should not launch new products unless it is satisfied that its staff understand them and the rules that apply. ¹²
- A bank must notify the HKMA before acquiring a new type of cryptoasset. ¹³ It treats the asset as Group 2b, the group with the 1,250% risk weight, until the HKMA agrees another classification. ¹³
- If crypto risk management or capital falls short, the HKMA may consider capital add-ons, provisions or limits. ¹⁴

Stopping a product

- Under section 135 of the Securities and Futures Ordinance (SFO), an RI must give the SFC and the HKMA at least seven business days' notice before it stops a regulated activity. ¹⁵
- A licensed stablecoin issuer must have systems to wind down in an orderly way and honour redemptions. ¹⁶ Its business exit plan should cover how to sell reserve assets and pay holders. ¹⁶
- Anyone applying for a digital bank licence must give the HKMA an exit plan, for use if the business model fails. ¹⁷ The plan covers the triggers (events that start the exit), who can set them off and how depositors get repaid. ¹⁷

Growth and profitability

- The HKMA says it does not interfere with a digital bank's commercial decisions. ¹⁸ It would be concerned by heavy early losses taken to win market share without a credible path to profit. ¹⁸
- An HKMA study suggests taking DLT plans to the board with business cases, early budgets and milestones. ¹⁹ The study is research, not a rule. ¹⁹
- The same study says return calculations should count indirect costs, such as training. ²⁰

Buying, partnering and owners

- A Hong Kong-incorporated bank should not buy shares in a company worth 5% or more of its Tier 1 (core) capital without the Monetary Authority's written consent. ⁶ This 5% rule comes from Rule 23 of the Banking (Exposure Limits) Rules. ⁶ The same applies to setting up a company. ⁶
- Tokens that in substance give the economic benefits of owning shares count as shares for this test. ²¹
- For deals caught by that 5% rule, the HKMA expects banks to make contact early and send written notice with details of the deal. ²²
- It also expects at least one month's notice of other acquisitions with a significant effect. ²³ Examples include a significant move into a new line of business, or a fall in the capital ratio of about 0.5% or more. ²⁴
- A controller includes anyone who controls 10% or more of a bank's voting power. ²⁵ Under section 70 of the Banking Ordinance, the Monetary Authority approves controllers of a Hong Kong-incorporated bank. ⁷
- A would-be majority controller must set out clear, detailed plans for the bank. ²⁶ The HKMA looks for a long-term commitment and the ability to add capital. ²⁷
- A person needs the SFC's approval before becoming a substantial shareholder of a licensed corporation (LC), an SFC-licensed firm. ²⁸ A substantial shareholder generally holds more than 10% of shares or voting power. ²⁹
- Nobody may become a controller of a licensed stablecoin issuer except in the ways the Stablecoins Ordinance allows. ³⁰ The issuer should track its controllers and seek the Monetary Authority's consent as the Ordinance requires. ³⁰

The regulator relationship

- The Supervisory Incubator launched on 8 January 2025. ³¹ It offers one supervisory contact point, a dedicated HKMA team and optional live trials before full launch. ⁸
- The HKMA may give some supervisory flexibility to banks in the Incubator, judged case by case. ³² The bank must manage trial risks in line with the trial's scale and nature. ³²
- Where current rules get in the way of DLT without meaning to, the HKMA says it will consider adapting them. ³³
- The Financial Services and the Treasury Bureau (FSTB) names the Insurance Authority, the HKMA and the SFC among regulators that run sandboxes. ³⁴ These let firms test tokenisation and other uses and get feedback. ³⁴
- Taking part in the HKMA's stablecoin issuer sandbox was neither needed for a licence nor a promise of one. ³⁵
- EnsembleTX (the HKMA's pilot for real-value tokenised deposit settlement) runs throughout 2026. ³⁶ Its first uses are tokenised money market fund deals and real-time treasury management. ³⁷
- The HKMA plans settlement in central bank digital currency and 24/7 operation for EnsembleTX by around end-2026. ³⁸
- Under the planned VA dealing regime, licensed platforms, licensed corporations and registered institutions already dealing in virtual assets are to get a faster approval process. ³⁹ Banks already assessed for VA custody are to get the same under the custodian regime. ⁹
- The Government and the SFC do not plan to treat existing VA dealers, custodians, advisers or managers as licensed while they apply. ^{40,41,42} Each regime takes full effect on its start date. ^{40,41,42} The Government and the SFC encourage early contact with the SFC or the HKMA before applying. ⁴³

Industry view

- KPMG (an accounting and advisory firm) published its Hong Kong Banking Report in 2026. It reported that the average cost-to-income ratio of the Hong Kong banks it surveyed was 41.9% in 2025, down from 42.1% in 2024, based on their published results. ⁴⁴ A cost-to-income ratio is operating costs divided by operating income.
- In the same report's commentary (opinion, not a measured figure), KPMG said many local and regional banks remain in wait-and-see mode on digital assets. ⁴⁵ It said capability spending can look like cost before it shows value. ⁴⁵
- The same commentary says many banks start digital-asset projects from the ground up, in innovation or product teams, not from the top. ⁴⁶ KPMG sells advisory services to banks.
- KPMG LLP (US), another KPMG firm, published a qualitative case study on bitcoin custodians in 2024 (global, US focus). It gives no figures. It says custodian pricing varies widely. Models include set-up, transaction and maintenance fees, and fixed or asset-based annual fees. ⁴⁷
- OSL Group Limited (OSL), a Hong Kong-listed platform group, explains its fee bases in its 2025 annual report. It says its white-label platform fees are typically a base fee plus a charge based on the client platform's trading volume. ⁴⁸ A white-label platform is one that OSL runs and another firm offers under its own brand. OSL also earns custody and account maintenance fees, recorded month by month. ⁴⁸

How it works commercially

- **Business case.** A business case compares expected income with the full cost of running a line. That cost includes the capital and funding the line uses. It names the risks and the conditions for stopping. CONCEPT
- **Pricing.** Banks charge a fee on assets held, a spread on trades, a flat subscription, or a bundle. An asset-based fee grows with client balances. A flat fee is steady but may not keep up with rising volume. CONCEPT

- **Capital allocation.** Capital is scarce, so each line competes for it. A hurdle rate is the minimum return on capital a project must beat to get funded. Lines that use more capital must earn more to clear the same hurdle. CONCEPT
- **Contribution.** Contribution is income minus the costs that rise with volume. It pays for fixed costs such as key management, 24/7 monitoring and named managers. A line breaks even only when total contribution covers those fixed costs. CONCEPT
- **Stopping.** Money already spent (a sunk cost) cannot be recovered. So the standard finance test compares only future income with future costs, including the cost of an orderly exit. CONCEPT
- **Build, partner or buy.** Building gives control but takes time and fixed cost. Partnering is faster but adds vendor risk, and the bank shares the margin. Buying can add scale quickly but needs approvals and brings integration risk. CONCEPT

ANALYSIS — NOT OFFICIAL

Question: For VA custody, when does building in-house, partnering or buying make commercial sense for a bank?

How to think about it:

- Build: the bank owns the keys, controls and client relationship. It carries the full fixed cost of 24/7 monitoring and cold storage ⁴⁹.
- Partner: as a general principle, the bank may outsource VA custody only to three kinds of firm ⁵⁰. They are another bank or a local bank's subsidiary, an SFC-licensed platform, or an HKMA-licensed stablecoin issuer for its own coins with HKMA consent ⁵⁰. Responsibility stays with the bank ⁵¹.
- Buy: a stake worth 5% or more of Tier 1 capital needs HKMA consent ⁶. Buying into an SFC-licensed firm above 10% needs SFC approval ²⁸.
- The routes differ on time to launch, fixed cost, margin kept and control.

What it depends on: expected client balances; launch timing; in-house key skills; partner quality; the approvals a stake needs.

Official signposts: the planned custodian legislation and its faster path for assessed banks ⁹; HKMA outsourcing limits for custody ⁵⁰; board plans under the March 2026 circular ¹.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: What evidence would tell a bank to stop, pause or fix a digital-asset product?

How to think about it:

- Which stop tests were agreed at launch? Examples: client balances by a date, contribution per client, incident count (illustrative).
- How do future income and future costs compare, including exit costs and leaving aside money already spent?
- What does the exit involve? An RI must give seven business days' notice before it stops a regulated activity ¹⁵. How would client assets be returned or moved?
- Would a smaller scope keep most of the value?

What it depends on: client demand; fixed-cost base; the capital group of any assets held; partner contracts; reputational effects of exiting.

Official signposts: RI notice duties ⁵²; HKMA views on exit plans for new business models ¹⁷.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: How can a bank treat its regulator relationship as a business asset without confusing access with approval?

How to think about it:

- Early contact is already an expectation: the HKMA expects discussion before any VA launch ⁵.
- The Incubator lets a bank test controls in a live trial before scaling ⁸. Any flexibility is case by case ³².
- Taking part in a sandbox is not a promise of a licence ³⁵.
- The planned regimes offer faster approval to firms already assessed for custody or already dealing ^{9,39}.

What it depends on: the quality of risk controls; how clearly the bank explains its model; final laws.

Official signposts: start dates of the planned VA regimes ^{53,54}; EnsembleTX's move to 24/7 ³⁸.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- The HKMA expected our board to endorse a strategic plan within six months of 9 March 2026. ¹

- Under the planned custodian regime, banks already assessed for VA custody and already providing it are to get faster licensing.⁹

To the CCO

- We should discuss any new VA activity with the HKMA before launch.⁵
- As an RI, we give seven business days' notice before stopping a regulated activity.¹⁵

To business heads

- Group 2b cryptoassets on our own books take a 1,250% risk weight.²
- Buying a stake worth 5% or more of Tier 1 capital needs HKMA written consent.⁶

To Risk / CRO

- A new type of cryptoasset stays in Group 2b until the HKMA agrees otherwise.¹³
- The HKMA may consider capital add-ons or limits if our crypto risk management falls short.¹⁴

Common misunderstandings

- **Myth:** The Incubator is a licence shortcut. **Fact:** It gives supervisory feedback and optional live trials before full launch.⁸ Any flexibility is decided case by case.³²
- **Myth:** Existing VA firms count as licensed while they apply under the planned regimes. **Fact:** The Government and the SFC do not plan this for dealers or custodians.^{40,41} Some firms are to get a faster approval process instead.³⁹
- **Myth:** Only buying a bank needs HKMA consent. **Fact:** A Hong Kong-incorporated bank needs consent to buy a stake in a company worth 5% or more of its Tier 1 capital.⁶
- **Myth:** The March 2026 circular replaced the discuss-first expectation. **Fact:** The circular repeats it: banks should discuss new digital-asset activities before launch.¹
- **Myth:** Stopping a product is a purely internal decision. **Fact:** An RI must give advance notice before it stops a regulated activity.¹⁵

Official documents to read first

1. **Strategic Review of Business Models amid Digital Transformation** — HKMA, 9 March 2026. Read page 2. Its footnote 3 links the Incubator circular. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260309-1-EN/20260309-1-EN.pdf>
2. **Supervisory Policy Manual module on Major Acquisitions and Investments** — HKMA, November 2025. Read paras 1.1, 2.5 and 2.9. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-5-EN/CR-L-5.pdf>
3. **Guideline on Minimum Criteria for Authorization** — HKMA, 27 February 2026. Read paras 9 and 28-36 on controllers. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260226-1-EN/20260227-1-EN.pdf>
4. **Consultation Conclusions on regulating VA dealing** — FSTB and SFC, 24 December 2025. Read paras 31-36. <https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP12>
5. **Supervisory Policy Manual module on Classification of Cryptoassets** — HKMA, 27 November 2025. Read para 2.1.2 on new types of cryptoasset. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-15-EN/CRP-1.pdf>

Open questions

- The HKMA has not published a follow-up on the board plans due around 9 September 2026 in the sources reviewed.
- No official source gives hurdle rates, fee levels or margins for bank digital-asset lines in Hong Kong.
- No public list of Supervisory Incubator participants exists in the sources reviewed.
- Start dates for the planned VA dealing and custodian regimes are not set.^{53,54}
- No HKMA form or response time for pre-launch discussions was found.

Related modules

B2, B3, D1, C3, E2, F2, F3, F5b, F6. Business lines: Virtual-asset custody; Staking services; Tokenised deposits and payments.

Projects: Supervisory Incubator for DLT; Project Ensemble. Cases: Case 5: The board's strategic plan; Case 6: Stopping a product.

For general information only. Not legal or regulatory advice. Always check the official source.

Notes

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5. HKMA. *Regulatory approaches to Authorized Institutions' interface with Virtual Assets and Virtual Asset Service Providers*, 28 January 2022. AIs' VA-related proposals section, p.5. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20220128-1-EN>
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PART F · MODULE F5B

F5b Running the business: operations and control

This module is about day-to-day running: people, vendors, systems, incidents and exits. After reading, you can sketch a target operating model for a digital-asset line. A target operating model is the planned mix of teams, processes, systems and partners that delivers a service. You can also tie each part of it to the official rule that shapes it. The Hong Kong Monetary Authority (HKMA) supervises banks. The Securities and Futures Commission (SFC) sets conduct rules for securities and virtual-asset (VA) business.

In 60 seconds

Accountability comes first. A registered institution (RI) is a bank the SFC has registered for securities business. It needs at least two executive officers (EOs) for each regulated activity, each with HKMA consent. ¹ At least one must be available at all times. ²

Vendors do not take the risk away. As a general principle, a bank may outsource VA custody only to certain regulated firms. ³ Ultimate responsibility for outsourced custody stays with the bank. ⁴

Custody runs around the clock. The HKMA expects security monitoring 24/7, including holidays. ⁵ It also expects drills for emergency and business continuity scenarios. ⁶

Incidents have reporting duties. An RI should tell the SFC and the HKMA about a material failure of systems and controls. ⁷ The HKMA expects a custody bank to be liable to clients for losses from incidents it causes. ⁸

Exits need planning. An RI must give at least seven business days' notice before it stops a regulated activity. ⁹

Key facts

Target operating model and accountability

- A bank offering custody should set written roles, responsibilities and reporting lines. ¹⁰ It should also manage conflicts of interest across its activities and affiliates. ¹⁰
- It should give custody enough people and expertise for governance, operations and risk management. ¹¹
- An RI should name the person principally responsible for its whole business and for each key business or function. ¹² Changes should reach both regulators within 14 days. ¹³
- Where a function is outsourced, a member of the RI's own management should be named as responsible for it, not the outside provider. ¹⁴
- Under the Banking Ordinance, the people in charge of computer systems, compliance and internal audit count as managers. ¹⁵ A bank must notify the HKMA when it appoints them. ¹²
- Under the planned custodian regime, staff with direct access to private keys or authority to approve transfers are expected to need a licence, or to be registered as relevant individuals in a bank. ¹⁶ Private keys are the secret codes that move digital assets.

Vendors and outsourcing

- As a general principle, a bank may outsource VA custody only to three kinds of firm. ³ They are another bank or a local bank's subsidiary, an SFC-licensed platform, or an HKMA-licensed stablecoin issuer for its own coins with HKMA consent. ³
- Due diligence on a custody provider includes independent code review and the provider's software release process. ¹⁷ Ongoing reviews test its security, incident reporting and disaster recovery. ¹⁷
- The bank should have the technical skill to judge a provider's solution and spot any single point of failure. ¹⁸ A single point of failure is one part whose loss stops everything.
- Continuity plans should cover disruption at the custody provider, with regular end-to-end rehearsals. ¹⁹ The usual controls for traditional outsourcing still apply. ²⁰
- A bank should check that an outsourced provider is competent enough to meet the agreed service levels. ²¹ It should monitor the provider using staff with the right expertise. ²¹
- The HKMA has an outsourcing module in its Supervisory Policy Manual (SPM). It expects digital banks to discuss material outsourcing in advance and show they meet that module. ²²
- For outsourced distributed ledger technology (DLT) work, an HKMA study suggests vetting vendors at every stage and lining up backup vendors. ²³ The study is research, not a rule.
- A licensed stablecoin issuer should notify the HKMA promptly before starting a material third-party arrangement. ²⁴ Examples include reserve custody, coin distribution and critical technology services. ²⁴
- The SFC expects its licensed firms to strengthen oversight of third-party providers against cyberattacks that use artificial intelligence. ²⁵ This affects a bank if its group includes an SFC-licensed firm.

24/7 resilience

- A custody bank should test system changes before deployment. ⁵ Its monitoring should cover vendors, blockchain protocols, encryption and common software libraries. ²⁶
- Monitoring should also track major industry incidents and publicly known security weaknesses. ²⁷

- Where DLT supports critical functions, continuity plans should test cyberattacks, key loss or theft, and forks (splits of a blockchain).²⁸
- A licensed stablecoin issuer should set the minimum service it must keep during a disruption.²⁹ It should also set a maximum tolerable downtime and recovery targets for systems and data.²⁹
- The issuer should avoid relying too heavily on third parties for continuity support.³⁰
- The HKMA plans 24/7 operation for EnsembleTX (its tokenised deposit settlement pilot) by around end-2026.³¹

Incidents and crisis

- A custody bank should have written procedures to handle security alerts and incidents by severity level.³²
- An RI should tell both the SFC and the HKMA about any event caused by a material failure in its systems and controls.⁷ This applies even if the failure happened at a group entity outside Hong Kong.⁷
- Under the SFC Code of Conduct, an RI is expected to report any actual or suspected material breach to both regulators immediately.⁷
- SFC-licensed firms should promptly notify the SFC of material cyber incidents and attacks.³³ This matters if the bank's group has such a firm.
- For SFC-licensed internet brokers and VA service providers (not banks directly), the SFC expects hacking incidents to be reported to it immediately, with a root-cause review.³⁴ The SFC says it will hold such a firm accountable for client losses if it fails to stop large-scale unauthorised trades after hacking.³⁵
- A licensed stablecoin issuer should keep forensic evidence and review root causes after an incident.³⁶ Delaying redemptions beyond one business day needs the Monetary Authority's written consent.³⁷
- If staff incompetence causes significant losses or bad publicity, a bank should tell the HKMA in good time.³⁸

Product approval

- A bank should assess money-laundering and terrorist-financing risks before launching a new product, practice or technology.³⁹
- A bank should not launch a new product unless staff understand it, its market and its rules.⁴⁰
- Before launching custody, a bank should complete a full risk assessment under board and senior management oversight.⁴¹
- Before offering staking, a bank should have policies, systems and controls in place and discuss them with the HKMA.⁴² Staking means locking up tokens to help run a blockchain, for rewards.

Key performance indicators (KPIs) and board reporting

- A key performance indicator is a measure used to track results. The HKMA's DLT study suggests metrics such as task completion time, productivity and cost savings.⁴³
- The board and senior management should understand firm-wide risks, especially from new or complex activities such as crypto.⁴⁴
- Manager appraisals should not give undue weight to profit or market share.⁴⁵ They should also weigh compliance with internal rules.⁴⁵
- A licensed stablecoin issuer's board should approve its incident, continuity and exit plans.⁴⁶ Test results should go to the board and senior management.⁴⁷
- A custody bank should run independent audits of its systems, controls and compliance.⁵
- The HKMA finalised revised banking return templates for cryptoasset exposures in November 2025.⁴⁸

Wind-down

- An RI must give the SFC and the HKMA at least seven business days' notice before it stops a regulated activity.⁹
- A custody bank should hold client assets in separate accounts, beyond the reach of its creditors in insolvency.⁴⁹
- A bank offering staking should keep control of the means to unstake client assets, such as withdrawal keys.⁵⁰
- A licensed stablecoin issuer's exit plan should cover selling reserve assets, taking redemption claims and paying holders.⁵¹ It should also cover arrangements with third parties.⁵¹

Organisation and talent

- The board should set the direction for staff development.⁵² Senior management should propose talent plans with measurable targets, which the board reviews at least once a year.⁵²
- Banks should assess how technology changes job roles and keep a long-term reskilling plan.⁵³
- Custody staff need training at the start and on an ongoing basis.⁵⁴ Staff who sign transactions need in-depth training on checks and exceptions.⁵⁴
- The HKMA's DLT study says firms may consider a dedicated central DLT team mixing technology and business staff.⁵⁵
- In SFC-licensed firms, cyber risk rests in the end with senior management. That includes the manager in charge of information technology.⁵⁶

Industry view

- Morgan McKinley (a recruitment firm) publishes a salary survey. Its 2026 Hong Kong guide estimates a median of HK\$120,000 a month for a head of middle and back office in banking.⁵⁷ The same guide gives a median of HK\$35,000 a month for a custody role in operations. It does not say whether this covers digital-asset custody.⁵⁸
- KPMG (an accounting and advisory firm) published its Hong Kong Banking Report in 2026. Based on the published results of the Hong Kong banks it surveyed, it reported that their total staff costs rose 6.7% in 2025.⁵⁹
- In the same report's commentary (opinion, not a measured figure), KPMG lists the risks digital assets add. They include custody, cyber, legal, financial crime and governance risk.⁶⁰
- In a section on artificial intelligence, the same commentary says banks have focused on what they outsource, less on what their vendors outsource in turn.⁶¹ KPMG sells advisory services to banks.

How it works commercially

- **Operating model layers.** A service needs a front office, operations, technology, control functions and partners. Each layer has an owner and a cost. CONCEPT
- **Fixed cost of round-the-clock service.** A 24/7 service needs shift cover, on-call engineers and weekend controls. Much of this cost stays the same at low and high volume. CONCEPT
- **Vendor economics.** Outsourcing turns fixed cost into a fee, but it adds oversight cost, exit cost and concentration risk. Concentration risk is the danger of many services relying on one provider. CONCEPT
- **Cost of incidents.** An incident costs client compensation, staff time, remediation, regulatory attention and lost business. Prevention spending is easier to justify when these costs are counted. CONCEPT
- **Leading and lagging measures.** Lagging measures show results after the fact, such as revenue or losses. Leading measures warn early, such as open audit issues or failed reconciliations. CONCEPT

ANALYSIS — NOT OFFICIAL

Question: For a 24/7 custody service, which parts could a bank run in-house and which could a partner run?

How to think about it:

- Which functions are critical? Examples: key management, transaction signing, monitoring, reconciliation and client service.
- For each, who holds the keys and who can move assets? Outsourcing of VA custody is, as a general principle, limited to certain regulated firms³.
- What does oversight cost? It includes provider reviews, rehearsals and skilled monitoring staff⁶².
- What does exit cost? That covers moving client assets if the provider fails or the contract ends.
- A round example: if shift cover needs six people per role (illustrative), fixed cost is most of the total at low volume.

What it depends on: client balances; the hours when clients trade; available talent; provider quality and concentration; final custodian rules.

Official signposts: licensing of key staff under the custodian regime¹⁶; EnsembleTX 24/7 operation³¹; HKMA expectations for 24/7 security monitoring⁵.

What this is not: Not a forecast, not advice, and not the regulator's view.

ANALYSIS — NOT OFFICIAL

Question: What could a one-page board report for a digital-asset line show?

How to think about it:

- Results: client balances, revenue, contribution and capital used.
- Risk: incidents by severity³², reconciliation breaks (records that do not match), open audit points, vendor issues.
- Readiness: continuity drill results⁶, staff training⁵⁴, regulatory notices due.
- Balance: pair each profit measure with a control measure, in line with HKMA views on appraisals⁴⁵.

What it depends on: the line's size; how much risk the board accepts; data quality; how often the board meets.

Official signposts: the board plan circular of 9 March 2026⁶³; board understanding of crypto risk⁴⁴.

What this is not: Not a forecast, not advice, and not the regulator's view.

Talking points

To the CEO

- Outsourced custody still leaves ultimate responsibility with us.⁴
- The HKMA expects custody security monitoring 24/7, holidays included.⁵

To the CCO

- A material failure of systems and controls triggers notice to both the SFC and the HKMA.⁷
- We need at least two EOs for each regulated activity, with one always available.⁶⁴

To business heads

- The HKMA expects us not to launch until staff understand the product, its market and its rules.⁴⁰
- Stopping a regulated activity needs at least seven business days' notice.⁹

To Risk / CRO

- The HKMA expects us, as custodian, to be liable for client losses from incidents we cause.⁸
- Where DLT supports critical functions, continuity plans should test key loss, cyberattacks and forks.²⁸

Common misunderstandings

- **Myth:** A vendor can be named as responsible for an outsourced function. **Fact:** The HKMA expects a member of the RI's management to be named instead.¹⁴
- **Myth:** Any reputable custody provider will do. **Fact:** As a general principle, VA custody can go only to three kinds of firm.³ They are another bank or a local bank's subsidiary, an SFC-licensed platform, or an HKMA-licensed stablecoin issuer for its own coins with HKMA consent.³
- **Myth:** Continuity plans can ignore the provider. **Fact:** The HKMA expects plans to cover provider disruption, with end-to-end rehearsals.¹⁹
- **Myth:** Only cyber incidents need reporting. **Fact:** An RI also notifies regulators of material failures of systems and controls, even at overseas group entities.⁷
- **Myth:** Profit is the main test of a good manager. **Fact:** The HKMA says appraisals should also weigh compliance.⁴⁵

Official documents to read first

1. **Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets** — HKMA, 27 May 2026. Read paras 1-5, 10, 14-19 and 23-25. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-7-EN/20260527-7-EN.pdf>
2. **SPM SB-1 Supervision of Regulated Activities of SFC-Registered AIs** (SB = supervision of banks' securities business; AIs = authorized institutions) — HKMA, 12 September 2025. Read paras 2.2.4, 4.3.9, 5.1 and 5.6. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
3. **Management Accountability at Registered Institutions – FAQs** — HKMA, 16 October 2017. Read Q1, Q9 and Q14. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20171016-2-EN/20171016-2-EN.pdf>
4. **SPM CG-6 Competence and Ethical Behaviour** (CG = corporate governance) — HKMA, 23 May 2024. Read paras 2.4, 2.9, 3.7.4 and 4.1-4.2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20240523-2-EN/20240523-2-EN.pdf>
5. **Guideline on Supervision of Licensed Stablecoin Issuers** — HKMA, 1 August 2025. Read paras 6.6.11 and 6.8.8-6.8.21 as a model for continuity and exit planning. https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stablecoin_issuers_eng.pdf

Open questions

- The HKMA's general modules on outsourcing, operational resilience and technology risk are not among the sources reviewed. Only DLT-, custody- and stablecoin-specific text is covered here.
- No HKMA-wide incident reporting timeline for bank digital-asset incidents was found in the sources reviewed.
- No official source gives staffing levels or costs for a 24/7 digital-asset operation.
- The custodian regime's staff licensing rules are conclusions, not yet law.¹⁶

Related modules

B2, B3, C3, D2, D4, F2, F5a, F6. Business lines: Virtual-asset custody; Infrastructure as a service; Staking services. Project: Project Ensemble. Cases: Case 1: Virtual-asset custody for private banking; Case 4: The night the hot wallet emptied; Case 6: Stopping a product.

For general information only. Not legal or regulatory advice. Always check the official source.

Notes

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PART F · MODULE F6

F6 Your path to COO

This module is for a head of compliance aiming to be chief operating officer (COO) of a digital-assets business. After reading it, you can name the approvals you may need on the way to COO, and map the skills the role needs. As of 25 Sep 2026.

In 60 seconds

The Banking Ordinance requires the Hong Kong Monetary Authority (HKMA) to approve the directors and chief executive of a locally incorporated bank. ¹ A bank registered with the Securities and Futures Commission (SFC) needs at least two executive officers (EOs) for each regulated activity. ² Each EO directly supervises that activity and needs HKMA consent. ³

The SFC expects each firm it licenses to name a Manager-In-Charge (MIC), a senior manager accountable for a function, for each of eight core functions. ⁴ A bank licensed to issue stablecoins needs HKMA consent before it appoints its stablecoin manager. ⁵

For an EO, the HKMA must be satisfied the person is fit and proper and has enough authority. ³ A responsible officer (RO) is a senior licensed person who supervises a regulated activity. The SFC's standard route for an RO asks for qualifications, industry experience, management experience and a regulatory exam. ⁶ An EO must meet the same standard, and the HKMA takes the SFC's guidelines into account. ⁷

Key facts

At a bank (HKMA gates)

- The Banking Ordinance (BO) requires HKMA approval, under section 71, of each director and chief executive (including alternates) of a bank incorporated in Hong Kong. ¹
- Under the BO, a manager is someone, other than a director or chief executive, who is principally responsible for a listed business or function. ⁸
- The listed functions include accounts, risk controls, anti-money laundering (AML) controls, computer systems, internal audit and compliance. ⁹
- The HKMA expects banks to notify it of new managers, departures and changed duties within 14 days. ¹⁰
- No one may act as an EO before the HKMA gives written consent. ¹¹
- The HKMA expects an EO to be the most senior person in the regulated activity. An EO should sit no more than one rank below a chief executive, director or manager notified under BO section 72B (a section 72B manager). ¹²
- For each regulated activity, at least one EO should be a chief executive, alternate chief executive, director or section 72B manager. ¹³
- The HKMA expects a registered bank to name the senior person responsible for each listed business or function that touches regulated activities. ¹⁴ The HKMA treats compliance, risk and internal audit as no less important than front-office roles here. ¹⁵

At an SFC-licensed firm

- Senior management of a licensed corporation includes its directors, responsible officers (ROs) and Managers-In-Charge (MICs). One person can hold all three roles. ¹⁶
- Four of the eight core functions are overall management oversight, key business lines, operational control and review, and risk. ¹⁷ The others are finance and accounting, information technology (IT), compliance, and AML and counter-terrorist financing. ¹⁷
- The SFC generally expects the MICs for overall oversight and key business lines to be ROs. It does not expect other MICs to be ROs. ¹⁸
- The SFC may approve a long-serving head of compliance, risk, finance or operations as an RO for overall oversight, even without direct regulated-activity experience. A typical condition is to work alongside a fully competent RO. ¹⁹
- MICs are regulated persons. The SFC can hold them to account for the firm's misconduct if it happens with their consent, with their secret approval (connivance), or through their neglect. ²⁰

At a licensed stablecoin issuer

- The Stablecoins Ordinance requires each chief executive, director and stablecoin manager of a licensee to be fit and proper. ²¹
- A licensee that is a bank must not appoint a stablecoin manager without HKMA consent. ⁵ A non-bank licensee needs HKMA consent for its chief executive and directors. ⁵
- A person may become a controller (broadly, a major shareholder or someone whose instructions the firm follows) only in the circumstances section 37(1) of the Ordinance allows. The licensee should track its controllers and seek HKMA consent under section 38. ²²
- A licensee must tell the HKMA within 14 days when a manager is appointed, leaves or takes on new areas. ²³

What the regulators test

- For directors and chief executives, the standard depends on the post. A person may suit one post but not another with different duties.²⁴
- The HKMA may meet a candidate for director, chief executive or EO face to face. It uses the meeting to understand their knowledge of Hong Kong banking, the bank's business and key rules.²⁵
- Under most options, an RO or EO needs at least three years of relevant industry experience in the past six. They also need two years of management experience and a pass in the local regulatory framework paper (LRP).⁶

Industry view

These are estimates from commercial sources, not official facts.

- A 2026 Hong Kong salary survey by Morgan McKinley (a recruitment firm) gives a head of compliance a median monthly pay of about HK\$180,000. The range is HK\$130,000 to HK\$250,000. The guide does not publish its method or sample, and it lists no digital-asset title.²⁶
- The 2026 Hong Kong Banking Report by KPMG China (an audit and advisory firm) found total staff costs at the Hong Kong banks it surveyed rose 6.7% in 2025. KPMG reported this from bank accounts and linked it to hiring and retention pressure.²⁷
- KPMG's commentary in the same report (an opinion, not an estimate) says most digital-asset work is still small next to traditional banking. It adds that building the capability can look like cost, not value, in the short term.²⁸

How it works commercially

A competency map

A COO turns strategy into the daily running of the business, within the rules CONCEPT.

Competency	What it covers	Where the rules touch it
Permissions and approvals	Knowing which licence, registration and personal consent each activity needs	The SFC application fee to add a regulated activity to a bank's registration is HK\$23,500 per activity. ²⁹
Governance and accountability	Clear owners, reporting lines and board papers	The HKMA expects each registered bank to name its principally responsible people. ¹⁴
Operations and technology	Accounts, systems, controls and outsourcing	These are listed functions; the person principally responsible for each counts as a manager under the BO. ⁹
People and competence	Hiring, training and supervising staff	The HKMA expects banks not to launch new products until staff understand them and the rules. ³⁰
Commercial judgement	Revenue, cost, capital and the profit and loss account (P&L) of a business line	No official test applies; this is a general management skill CONCEPT .
Regulator engagement	Explaining plans and controls before launch	The HKMA expects banks to discuss new digital-asset activities with it before launch. ³¹
Integrity and track record	A clean personal and firm history	For stablecoin licensees, fitness checks look at any firm the person helped run that was disciplined or wound up. ³²

Moving from second line to first line

The three lines of defence is a common model of risk control. The first line runs the business and owns its risks CONCEPT. The second line, such as compliance, sets standards and challenges the first line. Internal audit, the third line, checks both CONCEPT.

The rules keep these roles apart. For a stablecoin licensee, the HKMA expects compliance and internal audit to be independent functions.³³ It also expects pay for control staff to be set independently of front-line units.³⁴

The SFC judges experience by whether its substance is directly relevant to the activity and the role.³⁵

ANALYSIS — NOT OFFICIAL

Question: In years 1–3, what evidence of hands-on first-line work could a compliance head build?

How to think about it: The competence tests for ROs and EOs count hands-on management of regulated functions and their staff. Purely administrative supervision normally does not count³⁶. **One framing:** list each regulated activity the bank runs. For each, ask whether you supervised people doing it or only reviewed their work. Which roles sit close to delivery, such as leading a launch workstream or chairing a new-product review?

What it depends on: the bank's structure; whether a sponsor offers a delivery role; how the regulators judge relevant experience for your case.

Official signposts: the HKMA expectation to discuss new digital-asset activities before launch³¹; the Supervisory Incubator's offer of live trials with an HKMA team³⁷.

What this is not: not career advice, and not a statement of what any regulator would accept.

ANALYSIS — NOT OFFICIAL

Question: In years 3–6, what experience would show a move from owning controls to owning a business?

How to think about it: The HKMA's signs that a person is principally responsible include owning targets, decision rights, budget authority and representing the unit³⁸. Which roles show several of these signs, such as head of operations for a digital-asset line or head of a small line with its own P&L? Under the management-accountability guidance, the HKMA expects the people named as principally responsible to be chief executives, directors or section 72B managers¹⁵.

What it depends on: whether the move keeps you within regulated activity; the size of the line; whether the bank moves people between roles.

Official signposts: manager notifications to the HKMA¹⁰; the HKMA view that appraisals of managers also weigh compliance, not only profit³⁹.

What this is not: not a forecast of any bank's hiring and not advice to change roles.

ANALYSIS — NOT OFFICIAL

Question: In years 6–10, what might your track record contain when a COO-level post needs regulatory approval?

How to think about it: A COO title alone triggers no approval. Approval or consent is needed for posts such as director, chief executive, EO or stablecoin manager. Managers a bank notifies to the HKMA are judged by function, whatever it is called⁴⁰. For directors and chief executives, fitness is judged against the specific post²⁴. One self-test draws on the HKMA's face-to-face meeting: could you explain the bank's business, capital, liquidity and risk practices plainly²⁵? The HKMA also looks at firms a candidate helped run^{41,32}.

What it depends on: the type of firm (bank unit, licensed corporation or stablecoin issuer); which consent each post needs.

Official signposts: section 71 approvals for directors and chief executives¹; stablecoin manager consent⁵; MIC and RO expectations¹⁸.

What this is not: not a promise that any profile gains approval; the regulator decides case by case.

Compliance as a commercial enabler

The HKMA expects every bank's board to endorse a strategic plan within six months of 9 March 2026.³¹ The plan responds to distributed ledger technology (DLT) and other tech change.³¹ The plan should look for ways to adapt products, revenue models, risk management and operations.³¹ The Supervisory Incubator gives banks a dedicated HKMA team for supervisory feedback, so they can check their risk controls before a full DLT launch.³⁷ Intermediaries (licensed and registered firms) must notify the SFC when they offer virtual asset (VA) trading or asset management services. The SFC advises them to discuss such plans with it first.⁴²

ANALYSIS — NOT OFFICIAL

Question: How could a compliance head measure whether compliance work speeds launches up or slows them down?

How to think about it: One framework treats each approval as a dated step on the launch plan, with an owner. Simple measures include weeks from idea to regulator discussion, rounds of rework, and conditions attached. These can sit beside revenue and cost rather than in a separate risk report. One question for past launches: did those that began with an early regulator discussion need fewer late changes?

What it depends on: early access to product plans; a business sponsor who shares product papers early; data on past launch times.

Official signposts: the board strategic plan expectation³¹; the staff competence expectation before launch³⁰.

What this is not: not a view on any product's profit and not the HKMA's or SFC's view.

Talking points

To the CEO

- The HKMA expects our board to endorse, within six months of 9 March 2026, a strategic plan for DLT and related tech change.³¹
- The HKMA expects us to discuss any new digital-asset activity with it before launch.³¹

To the CCO

- Each regulated activity needs at least two EOs, each with HKMA consent.⁴³
- The HKMA treats compliance as no less important than front-office roles when naming responsible people.¹⁵

To business heads

- The HKMA expects us not to launch a product until staff understand it and its rules.³⁰
- The SFC fee to add a regulated activity to our registration is HK\$23,500 per activity.²⁹

To Risk / CRO

- The HKMA says manager appraisals should not give undue weight to profit; they should also weigh compliance.³⁹
- Anyone involved in managing our regulated-activity business is subject to the SFC's disciplinary powers.⁴⁴

Common misunderstandings

- **Myth:** Only licensed or approved people carry personal regulatory risk. **Fact:** SFC-licensed firms' MICs are regulated persons even if unlicensed.⁴⁵ The same applies to anyone involved in managing a bank's regulated-activity business.⁴⁴
- **Myth:** A senior title is enough to be an EO. **Fact:** The HKMA also checks sufficient authority, including rank and reporting line.¹²
- **Myth:** HKMA consent covers only directors and chief executives. **Fact:** EOs also need HKMA consent.³ A bank licensed to issue stablecoins also needs consent for its stablecoin manager.⁵

Official documents to read first

1. **Guideline on Minimum Criteria for Authorization** — HKMA, 27 Feb 2026. Read paras 12-18 and 23-32. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260226-1-EN/20260227-1-EN.pdf>
2. **Annex 1 – Guidance on registration related matters** — HKMA, 27 Oct 2025. Read the part on executive officers. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251027-2-EN/20251027-2-EN.pdf>
3. **CG-2 Systems of Control for the Appointment of Managers** (CG = corporate governance) — HKMA, 24 May 2002. Read sections 2 and 4. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20020524-2-EN/CG-2.pdf>
4. **Management Accountability at Registered Institutions – FAQs** — HKMA, 16 Oct 2017. Read Q1 to Q4. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20171016-2-EN/20171016-2-EN.pdf>
5. **Guideline on Supervision of Licensed Stablecoin Issuers** — HKMA, 1 Aug 2025. Read section 7.2. https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stablecoin_issuers_eng.pdf
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Open questions

- The sources reviewed do not say whether years spent in a bank's compliance function count as relevant industry experience for an EO application.
- The SFC's route for a long-serving control head to become an RO is written for licensed corporations. No matching HKMA text for EOs was found.
- The sources reviewed set no COO licence and no COO-specific competence standard. Under CG-2, what counts is the underlying business or function, not what the bank calls it.⁴⁰
- Senior-management rules for the planned virtual asset dealing, custody, advisory and management regimes are not final. On 24 June 2026 the Government said it and the SFC would introduce a bill to the Legislative Council in 2026 (a stated target).

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Related modules

B1, B2, B3, C4, D3, F5a, F5b. Business line: Stablecoin roles for banks. Case: Case 5: The board's strategic plan.

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BUSINESS LINES

Sixteen business lines open to a Hong Kong bank

Each line gives the bank's role, who pays, cost and capital drivers, the regulatory gate, official signals and industry benchmarks.

BUSINESS LINE · ADVISE AND MANAGE

Advice and asset management under the new regimes

CONCLUSIONS PUBLISHED

A bank can advise clients on virtual assets (VAs) and manage funds or client accounts that hold them, for a fee. CONCEPT

At a glance

Item	Detail
Bank role	Adviser; discretionary portfolio manager; fund manager
Client segments	Private banking, retail, institutional
Value chain	Advise and manage
Regulatory gate	Today: registration with the Securities and Futures Commission (SFC) for advice or asset management, plus SFC terms for VA (virtual asset) work. Next: registration under new VA advisory and management regimes ^{1,2,3}
Status as of 25 Sep 2026	Conclusions published ⁴
Related modules	C1, C2, B1, E1
Related cases	Case 5: The board's strategic plan

What the bank does

- Intermediaries, including banks, should give VA advice only to clients of their securities dealing (Type 1) or securities advice (Type 4) business. ¹ This limit does not apply to a bank that advises only on stablecoins licensed by the Hong Kong Monetary Authority (HKMA). ⁵
- Before recommending a VA to a retail client, the adviser should check that it is a large, liquid token. ⁶ That means it is in at least two acceptable indices (published lists that track major tokens) from two different index providers. ⁶
- SFC terms for VA fund managers apply in two cases. A fund states a VA aim, or it plans to hold at least 10% of its total assets in VAs. Total assets here means gross asset value (GAV). ⁷
- For retail discretionary accounts (where the manager decides the trades), the manager should trade only large-cap VAs (tokens with a large total market value). ⁸ Stablecoins issued by HKMA licensees are exempt from that liquidity test. ⁸
- A registered institution (RI) is a bank registered with the SFC. Holding HKMA-licensed stablecoins, and no other VAs, in the portfolios it manages does not on its own make an RI need an asset management registration. ⁹ If a portfolio meets the 10% test above, the SFC's VA manager terms still apply. ⁹
- Under the proposed new regimes, only banks could register with the SFC instead of taking a licence. ³

Revenue levers

- A management fee is a yearly charge on the value of assets under management (AUM). CONCEPT
- A performance fee is a share of gains above an agreed level. CONCEPT
- An advice fee is paid by the client. A commission or rebate is paid by the product provider, and can create a conflict of interest. CONCEPT
- For HKMA-licensed stablecoins, a bank should base advice on thorough analysis. ¹⁰ It should not use commission rebates as the main reason to recommend one. ¹⁰
- A licensed VA manager that deals in VAs only to run its portfolios would not need a separate VA dealing licence. ¹¹ For example, it could accept VAs as fund subscriptions and convert them. ¹¹

Cost and capital drivers

- A VA fund manager should place fund assets with a separate, independent custodian and keep them segregated. ¹² It should disclose plans to keep over 10% of GAV with one custodian or in self-custody. ¹³
- A VA fund manager should tell the SFC, and the HKMA for an RI, at least 7 business days before any significant business change. ¹⁴
- The new VA management regime is to have no small-amount exception. ¹⁵ So managing even a small VA portfolio for others would need a licence or registration. ¹⁵ Advice on a mixed portfolio of VAs and securities would still need VA advisory licensing or registration for the VA part. ¹⁶
- Under current SFC fees, an RI pays HK\$23,500 to apply and HK\$35,000 a year for each of advice and asset management. ¹⁷ The May 2026 conclusions tie the new VA fees to those fees. ¹⁸
- Non-bank licensees holding client assets would need HK\$5 million paid-up capital and HK\$3 million liquid capital. ¹⁹ Those figures exclude banks. ¹⁹
- Every RI must appoint at least two executive officers (EOs) to supervise each regulated activity directly. ²⁰

Official signals

- Hong Kong's asset and wealth management AUM rose 20% to HK\$42,202 billion at end-2025. ²¹
- Assets in private banking and private wealth management rose 24% to HK\$12,945 billion at end-2025. ²² Forty-seven registered institutions (RIs) reported doing that business. ²³
- The SFC survey cites a study commissioned by Invest Hong Kong, the Government's investment promotion agency. ²⁴ It counts over 3,380 single-family offices (firms that manage one family's wealth) in Hong Kong at end-2025. ²⁴ It notes strong interest in digital assets among their alternative investments. ²⁵
- The consultation on the VA advisory and management regimes drew 51 responses. ²⁶
- SFC-licensed firms and registered banks that already give VA advice or management are to get a faster approval process. ²⁷ The start date is not set yet. ²⁸
- The Government and the SFC do not plan to treat existing VA advisers or managers as licensed while they apply. ²⁹ The regimes take full effect on their start date. ²⁹
- The Government said one bill covering VA dealing, custody, advisory and management would go to the Legislative Council (LegCo) in 2026. ³⁰

Industry benchmarks

- HashKey Holdings Limited (HashKey), a Hong Kong-listed platform group, reported 2025 asset management revenue of HK\$117.1 million, up from HK\$78.2 million. ³¹ It said the rise came mainly from carried interest, a share of fund profits. ³¹
- HashKey's 2025 annual results reported asset management AUM of HK\$7.2 billion at end-2025. ³² These are group figures and include markets outside Hong Kong.
- Bosera Asset Management (International) published a Hong Kong prospectus in March 2026 (reported figures). It sets a current management fee of 0.60% a year for the listed shares of its bitcoin exchange-traded fund (ETF). ³³

Analysis

ANALYSIS — NOT OFFICIAL

Question: Is VA advice and management a new fee line, or a way to keep private-banking wealth inside the bank?

How to think about it:

- Fee income is roughly AUM times the fee rate. AUM moves with VA prices, so income moves too.
- Costs include registration, independent custody, staff with VA skills and extra suitability checks.
- Once the new regime applies, the VA rules cover even a small VA part of a mixed portfolio.
- A question to test: do clients who want VA exposure move assets elsewhere when the bank offers none?

What it depends on: client demand; VA prices; the start date; the speed of approval; custody costs.

Official signposts:

- Faster approval for firms already in the business. ²⁷
- No small-amount exception for VA management. ¹⁵
- The bill planned for 2026. ³⁰

What this is not: not a forecast, not advice and not the regulator's view.

Read next

- Module C1 Selling, dealing and advising on virtual assets
- Module C2 VA funds and ETFs (ETFs: exchange-traded funds)
- Module B1 Your bank's legal status for digital assets
- Module E1 What's coming: the pipeline
- Project profile: New VA licensing regimes: dealing, custody, advisory and management
- Project profile: Relevant Stablecoins: dealing, advice and trading
- Case 5: The board's strategic plan

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BUSINESS LINE · HOLD · SETTLE AND PAY

Banking the digital-asset industry

IN FORCE

In this line a bank provides accounts, payments and safekeeping to firms that work with digital assets, such as trading platforms and stablecoin issuers CONCEPT.

At a glance

Item	Detail
Bank role	Account bank; client-money bank; reserve bank and custodian; payment provider
Client segments	Institutional, fintechs
Value chain	Hold, Settle and pay
Regulatory gate	The bank's existing authorisation plus adequate risk controls ¹ . The Hong Kong Monetary Authority (HKMA) expects banks to discuss virtual-asset (VA) plans with it, and get its feedback, before launch ²
Status as of 25 Sep 2026	In force ¹
Related modules	D3, C7, C4, B2
Related cases	Case 3: The reserve bank that also sells the coin, Case 4: The night the hot wallet emptied

What the bank does

- Holds client money for trading platforms. The Securities and Futures Commission (SFC) expects each licensed VA trading platform (VATP) to keep client money in separate accounts ³. The platform's associated entity (the linked company that holds client assets) should open these accounts ³. They sit with a Hong Kong authorized financial institution, or an overseas bank the SFC agrees to ³. Within one business day, client money received should be paid into such an account or paid out as the client directs ⁴.
- Holds stablecoin reserves. The HKMA expects a licensed stablecoin issuer to appoint qualified custodians for its reserves ⁵. The issuer should use a licensed bank, or another custodian set-up that the HKMA accepts ⁵. Reserves may include bank deposits with a term of up to three months ⁶.
- Runs payments for customers who buy virtual assets (VAs). In January 2022 the HKMA said it did not then intend to stop this ¹. The condition is adequate risk controls with senior management oversight ¹.
- Moves VAs for customers. The HKMA says the anti-money-laundering (AML) law allows this if the transfer rules in section 13A of its Schedule 2 are met ⁷.

Revenue levers

- Account and payment fees are charged per transaction or per month on operating accounts CONCEPT.
- Deposit balances earn the bank net interest margin: the gap between what it earns on the money and what it pays the depositor CONCEPT.
- Reserve custody earns a fee, usually a small yearly share of the assets held CONCEPT.
- Foreign-exchange conversion on payments in and out of platforms adds a spread, the gap between buying and selling rates CONCEPT.

Cost and capital drivers

- Customer due diligence (CDD): the HKMA expects a risk assessment of each client that is a VA service provider (VASP) ⁸. Checks may cover its business model, its licence status and its AML controls ⁸.
- Overseas clients: for a VASP outside Hong Kong, the bank should apply its correspondent-banking checks (extra checks used for banks that serve other banks) ⁹. It should find out whether the account serves the VASP itself or the VASP's own customers ¹⁰. It could consider asking for separate accounts for the two ¹¹.
- Monitoring: the HKMA expects banks to watch for frequent transfers to or from VA platforms ¹². Where there are grounds for suspicion, banks should file a report ¹².
- Scam money: the SFC cites police intelligence on scam money moved by bank transfer to licensed firms ¹³. Some is turned into VAs and withdrawn to unhosted wallets (wallets not held by a regulated firm) ¹³.
- Direct debits: the SFC has flagged risks in simplified electronic Direct Debit Authorisation (eDDA) set-ups used by licensed firms to collect client deposits ¹⁴.

Official signals

- The SFC listed 13 licensed trading platforms at its 29 May 2026 update ¹⁵.
- The HKMA licensed two stablecoin issuers from a first batch of 36 applicants ¹⁶.

- The Government told the Legislative Council in February 2024 that VA-related crime cases rose from 1,397 in 2021 to 3,415 in 2023 ¹⁷. Money involved rose from HK\$824 million to HK\$4,398 million ¹⁷.
- The HKMA warned in November 2024 that some overseas crypto firms called themselves banks without a Hong Kong licence ¹⁸.
- The SFC plans to switch on the AML surveillance part of its crypto data initiative (CrypTech) in 2027 ¹⁹.
- The Customs and Excise Department plans a Digital Asset Transaction Analytics System by 2029 ²⁰.

Industry benchmarks

- OSL Group Limited (OSL), a listed digital-asset firm, reported in its interim results for the first half of 2026 (Hong Kong and global, reported figures) ²¹. Its payment volume was about HK\$61.0 billion, against HK\$36.9 billion a year earlier ²¹.
- The accounting firm KPMG (China, Hong Kong office) reviewed Hong Kong banks' 2025 accounts in its Hong Kong Banking Report 2026 (reported figures) ²². Surveyed banks spent on average 41.9% of their income on running costs (the cost-to-income ratio) ²². Staff costs rose 6.7% ²².
- The same KPMG report (a consultancy view) says many local and regional banks are waiting before building digital-asset capability ²³. It notes that, in the short term, spending on technology, people and compliance can look like cost rather than value ²³.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Does banking digital-asset firms pay for the extra checks it needs?

How to think about it:

- Income side: deposit balances, payment fees and reserve custody fees from a small number of large clients.
- Cost side: enhanced due diligence, transaction monitoring and reporting for every client, much of it fixed.
- Concentration: a few clients can bring most of the balances, so losing one client moves the whole result.
- Example (illustrative): if 2 of 10 platform clients hold most of the deposits, one exit changes the whole result.

What it depends on: the number of licensed platforms and issuers; how much client money and reserves each keeps at banks; fraud and scam trends; monitoring tools.

Official signposts: the SFC platform list ²⁴; the HKMA's stance on further stablecoin licences ²⁵; SFC AML surveillance plans ¹⁹.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module D3 AML/CFT for digital assets at a bank (AML/CFT: anti-money laundering and counter-terrorist financing)
- Module C7 VASP counterparties and the SFC platform regime
- Module C4 Stablecoins
- Module B2 Engaging the HKMA and SFC
- Project profile: Stablecoin issuer regime (Stablecoins Ordinance, Cap. 656)
- Case 3: The reserve bank that also sells the coin
- Case 4: The night the hot wallet emptied

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BUSINESS LINE · FINANCE · HOLD · SETTLE AND PAY

Collateral and tokenised financing

IN FORCE

In this line a bank lends against digital or tokenised assets, or helps clients use such assets as collateral (security for a loan or trade). CONCEPT

At a glance

Item	Detail
Bank role	Lender; repo counterparty; collateral agent; custodian of pledged assets
Client segments	Private banking, corporate, institutional
Value chain	Finance, Hold, Settle and pay
Regulatory gate	A bank registered with the Securities and Futures Commission (SFC) for virtual-asset (VA) dealing may offer VA financing. It is expected to meet the standards in a Hong Kong Monetary Authority (HKMA) circular ¹
Status as of 25 Sep 2026	In force ¹
Related modules	C6, D1, C5, C3, E2
Related cases	none

What the bank does

- Lends to its securities margin clients for VA trading ². If it relies on VA collateral, the HKMA says it should accept only bitcoin, ether and stablecoins from HKMA-licensed issuers ³.
- Applies a haircut (a cut to the collateral's value before lending against it). The HKMA says the haircut on bitcoin and ether should be 60% or more ⁴.
- Values VA collateral at prices on the platform that executes the client's orders, as the HKMA generally expects ⁵.
- Keeps pledged virtual assets (VAs) untouched. The bank should not reuse or repledge VA collateral, except to enforce it on default ⁶.
- Holds or lends against tokenised traditional assets, such as tokenised bonds. CONCEPT In the banking book, these Group 1a (tokenised traditional) exposures generally follow the capital rules for the underlying asset ⁷.
- Handles tokens used as margin (collateral for trading positions). The SFC's February 2026 high-level framework covers perpetual contracts (futures with no expiry date) on trading platforms. It says their margin should be fiat money, or stablecoins or tokenised deposits regulated by the HKMA ⁸.

Revenue levers

- A lender earns interest on the loan above its own funding cost. This gap is called the net interest margin. CONCEPT
- A repo (a sale and agreed buy-back of securities that works like a secured loan) earns a small spread for the cash lender. CONCEPT
- A collateral agent earns fees for holding, valuing and moving pledged assets between parties. CONCEPT

Cost and capital drivers

- Capital: the Banking (Capital) Rules do not recognise VA collateral. So a loan secured only by VAs must be treated as a clean (unsecured) loan ⁹.
- Capital: Group 2b cryptoassets take a 1,250% risk weight ¹⁰. The minimum total capital ratio is 8% ¹¹. So $1,250\% \times 8\% = 100\%$; at the minimum, the bank holds capital equal to the whole exposure.
- Classification: a bank taking on a new type of cryptoasset must notify the HKMA ¹². It must treat the asset as Group 2b until the HKMA agrees its class ¹².
- Liquidity: the HKMA says fiat loans secured on cryptoassets should be treated like similar deals under the liquidity rules ¹³.
- Liquidity: a category 1 bank must keep a minimum liquidity coverage ratio, a short-term liquidity test ¹⁴. It may count a tokenised asset as a high-quality liquid asset only if it is an eligible Group 1a token ¹⁵.
- Controls: the bank should monitor VA collateral volatility in real time and act promptly ¹⁶.

Official signals

- The 2026 Policy Address states that the HKMA will test tokenised Exchange Fund Bills by the end of 2026 ¹⁷. These are short-term debt papers the HKMA issues. The stated aim is to help banks use more than HK\$1.3 trillion of these bills efficiently, round the clock ¹⁷.
- The Central Moneymarkets Unit (CMU), the Hong Kong system where bonds are held and settled, held about HK\$5 trillion at end-September 2025 ¹⁸. Its operator is CMU OmniClear (set up in October 2024). CMU OmniClear offers collateral

management among its services ¹⁸.

- The Project Ensemble Sandbox listed repo and treasury management under its liquidity theme ¹⁹.
- In April 2026 the HKMA licensed two stablecoin issuers. Its summary of their plans lists collateral management in tokenised asset trading as one use of their coins ²⁰.
- Hong Kong Exchanges and Clearing (HKEX) aims to pilot tokenised warehouse-receipt financing with chosen banks in 2027 ²¹.
- In June 2026 the HKMA clarified a Group 1 condition for tokenised traditional assets on public blockchains. The condition can now also be met where a financial market regulator supervises the tokenisation business ²².

Industry benchmarks

- A 2025 report by the Global Financial Markets Association (GFMA) and other trade bodies (global, modelled) cites a study by Boston Consulting Group (BCG) and Ripple ²³. That modelled estimate says a bank running about US\$100 billion of daily repo could save US\$150–300 million a year ²³.
- The GFMA's 2025 case studies (global, operator-reported) put one ledger-based repo platform at about US\$1.5 trillion a month in late 2024 ²⁴.
- The International Organization of Securities Commissions (IOSCO) published a report in 2025 (global, survey). In its 2024 survey of members, 91% of respondents reported nil or very limited commercial tokenisation use in their markets ²⁵.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Where does tokenised collateral create value for a bank: in new lending, or in cheaper use of assets it already holds?

How to think about it:

- Lending view: VA-backed loans carry no capital relief for the collateral ⁹. The income then has to cover the full capital charge on an unsecured loan.
- Balance-sheet view: tokenised high-quality assets could move faster between the bank's own teams and its counterparties. In this view, value would come from holding less spare collateral, not from new fees.
- Service view: holding and valuing collateral for others earns fees without the bank lending its own money.

What it depends on: how the tokenised bill tests are designed; whether counterparties accept tokens; legal certainty on pledges; capital treatment.

Official signposts: tokenised Exchange Fund Bill tests ¹⁷; the HKEX warehouse-receipt pilot ²¹; the April 2026 capital-rule proposal on cryptoassets and cash items ²⁶.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C6 Financing, shared order books and client withdrawals
- Module D1 Capital and prudential treatment of cryptoassets
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module C3 Custody of digital assets and key management
- Module E2 Wholesale money, CBDC and cross-border projects (CBDC: central bank digital currency)
- Project profile: CMU OmniClear digital asset platform and tokenised Exchange Fund Bills
- Project profile: Project Ensemble
- Business line: Virtual-asset financing and margin

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BUSINESS LINE · SETTLE AND PAY

Cross-border payments, FX and mBridge

PILOT

A bank can do foreign exchange (FX) and send money abroad through new systems, such as shared digital-currency platforms, tokenised deposits and licensed stablecoins. CONCEPT

At a glance

Item	Detail
Bank role	Payment bank; FX provider; wallet top-up bank; settlement bank
Client segments	Retail, corporate, institutional, fintechs
Value chain	Settle and pay
Regulatory gate	A banking licence; the Hong Kong Monetary Authority (HKMA) also expects banks to discuss new digital-asset activities with it before launch ¹
Status as of 25 Sep 2026	Pilot ²
Related modules	E2, C4, C5, D3
Related cases	Case 2: Tokenised deposits for corporate treasury

What the bank does

- Project mBridge studies how central bank digital currency (CBDC) can solve problems in cross-border payments. ³
- mBridge reached its minimum viable product (MVP) stage in June 2024. ⁴ The Government says it now forms part of Hong Kong's financial market infrastructure. ⁴ On mBridge, the payer's bank and the payee's bank settle with each other directly. ⁴
- In the 2022 pilot, foreign banks could hold and use another place's CBDC. ⁵ Only that place's own banks could get it issued, or swap it back for central bank reserves. ⁵
- The 2022 pilot report says each bank on mBridge stays bound by its own anti-money laundering (AML), counter-terrorist financing (CFT) and sanctions laws. ⁶ The bank checks each payment off the platform and attaches a pass or fail result. ⁶
- Eighteen local banks let users top up e-CNY (the digital renminbi) wallets through the Faster Payment System (FPS). ⁷
- HKMA custody guidance allows transfers of client digital assets to third parties to support payment services, with effective risk controls in place. ⁸

Revenue levers

- Hong Kong banks on mBridge set their own cross-border payment fees. ⁴ They base the fees on their operating costs and commercial needs. ⁴
- An FX spread is the gap between the rate a bank gets in the market and the rate it gives the client. CONCEPT
- Money waiting to be paid out sits with the bank as a balance it can earn on. CONCEPT
- The HKMA lists cross-border payments for companies and individuals among the key use cases of both licensed stablecoin issuers. ⁹ A bank serving stablecoin users can charge for converting, holding and paying out coins. CONCEPT
- The HKMA now puts wholesale uses of the e-HKD (a digital Hong Kong dollar) first. Wholesale uses are those between banks and other large institutions. ¹⁰ Those uses include cross-border payments such as settling international trade. ¹⁰

Cost and capital drivers

- A bank should complete customer due diligence (CDD) before a one-off (occasional) wire or virtual-asset transfer of HK\$8,000 or more. ¹¹ It should also watch for linked smaller transfers that reach that level together. ¹²
- The "travel rule" means sending payer and payee details along with a transfer. CONCEPT The HKMA has an AML guideline for licensed stablecoin issuers. ¹³ Under it, a sending issuer must record payer and payee details before a stablecoin transfer of HK\$8,000 or more. ¹³
- The HKMA's liquidity guidance keeps CBDC out of its cryptoasset annex. ¹⁴ CBDC may generally be treated like the issuing place's notes and coins, subject to each CBDC's features and legal status. ¹⁴
- The mBridge team is helping banks link their systems to the platform's application programming interface (API). ⁴ Each link is a build and running cost for the bank. CONCEPT
- In correspondent banking, a bank parks cash in advance in accounts at banks abroad. Direct settlement can cut the cash parked this way. CONCEPT

Official signals

- In the 2022 mBridge pilot, 20 banks from four places made over 160 payment and FX deals worth over US\$22 million. ¹⁵

- By end-January 2026, about 80,000 e-CNY wallets had been set up with Hong Kong mobile numbers.⁷ About 5,200 local shops accepted e-CNY.⁷
- In June 2025 the HKMA and the People's Bank of China (PBoC) launched Payment Connect.¹⁶ It links the FPS with a Mainland online banking payment system for real-time remittances.¹⁶
- The Government's November 2025 digital green bond offered settlement in tokenised central bank money (e-CNY and e-HKD).¹⁷ This option sat alongside traditional settlement.¹⁷ The Government said it was the world's first digital bond offering to do so.¹⁷
- Hong Kong Exchanges and Clearing (HKEX) and the HKMA are working together on an e-HKD payment tool for after-hours derivatives trading.¹⁸ Real-value deals are targeted for 2026.¹⁸
- The HKMA is testing CBDC networks, tokenised deposits and links between fast payment systems.² Both licensed stablecoin issuers take part.²

Industry benchmarks

- The Financial Stability Board (FSB) published a global progress report in 2025, using reported data. It put the global average cost of sending a US\$200 remittance at 6.5%.¹⁹
- The same FSB report (reported, Asia-Pacific scope) said only 25.6% of wholesale cross-border payments into the region arrived within one hour.²⁰
- The same report said person-to-person payments sent from East Asia and the Pacific cost 3% on average.²¹ It gives no Hong Kong-only figure.

Analysis

ANALYSIS — NOT OFFICIAL

Question: If new systems make each cross-border payment faster and cheaper, where does a bank still earn?

How to think about it:

- Split income into three parts: the fee per payment, the FX spread, and balances held along the way.
- Faster systems can cut the fee per payment but can raise the number of payments.
- A bank can join as a direct participant, or serve smaller banks and fintechs that connect through it.
- Compliance cost per payment stays, because each bank runs its own checks.

What it depends on: which currency routes clients use; how many central banks and banks connect; when stablecoins launch; the cost of AML checks per payment.

Official signposts:

- Fees on mBridge are set by each bank.⁴
- The e-HKD tool for after-hours derivatives.¹⁸
- The HKMA's testing of new payment options with the stablecoin licensees.²

What this is not: not a forecast, not advice and not the regulator's view.

Read next

- Module E2 Wholesale money, CBDC and cross-border projects
- Module C4 Stablecoins
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module D3 AML/CFT for digital assets at a bank
- Project profile: Project mBridge
- Project profile: e-HKD (digital Hong Kong dollar)
- Project profile: CBDC research and cross-border digital money pilots
- Case 2: Tokenised deposits for corporate treasury

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BUSINESS LINE · HOLD · SETTLE AND PAY

Virtual-asset custody

IN FORCE

In this line a bank safekeeps clients' digital assets, such as virtual assets (VAs) and tokenised securities (securities recorded as digital tokens) ¹. It also guards the private keys (the secret codes that control the assets) ¹.

At a glance

Item	Detail
Bank role	Custodian; custodian that funds and other firms appoint to hold assets for them
Client segments	Retail, private banking, institutional, fintechs
Value chain	Hold, Settle and pay
Regulatory gate	The Hong Kong Monetary Authority (HKMA) expects the bank to discuss plans with it first and show it meets the HKMA custody standards ²
Status as of 25 Sep 2026	In force ²
Related modules	C3, C2, C1, D1, D4
Related cases	Case 1: Virtual-asset custody for private banking

What the bank does

- Keeps client assets and wallet addresses separate from its own, as the HKMA expects, so they stay out of reach of the bank's creditors ³.
- Keeps 98% of client VAs in cold storage (keys held offline), as the HKMA expects ⁴.
- Creates, stores and backs up private keys for client VAs in Hong Kong, a control the HKMA generally requires ⁵.
- Holds assets for funds. The Securities and Futures Commission (SFC) lets the trustee of a VA fund it authorises hand VA custody to a bank that meets HKMA standards ⁶.
- Acts as custodian for other banks, SFC-licensed firms and licensed platforms that keep their clients' assets in an account with the bank ⁷.
- Sends client assets to other parties to make payments or settle client trades, if effective controls are in place ⁸.

Revenue levers

- A custody fee is usually a yearly percentage of the value held, sometimes with a monthly minimum. CONCEPT
- Fund custody fees may be bundled with administration fees. The sub-custodian (a second custodian holding the assets for the main one) is then paid from that bundle. CONCEPT
- Staking (locking client VAs so they help run a blockchain, for a reward) is a further lever. The HKMA has issued staking guidance that is separate from its custody guidance ⁹.
- Holding a client's assets also opens the way to other income from the same client, such as dealing, fund servicing and lending. CONCEPT

Cost and capital drivers

- Liability: the HKMA expects the bank to be liable for losses from incidents it causes ¹⁰. The bank should hold adequate financial resources, which may include insurance ¹⁰.
- Operations: security monitoring should run around the clock ¹¹. Holdings should be checked client by client against records on the blockchain and in the bank's own books ¹².
- Outsourcing: as a general principle, a bank may delegate VA custody only to three kinds of firm ¹³. They are another bank or a local bank's subsidiary, an SFC-licensed platform, or an HKMA-licensed stablecoin issuer for its own coins with HKMA consent ¹³. Final responsibility stays with the bank ¹⁴.
- New licence: banks that safekeep client VA keys would need a licence or registration under the planned regime ¹⁵. The Government and the SFC do not plan to treat existing VA custodians as licensed while they apply ¹⁶. The regime takes full effect on its start date ¹⁶.
- Capital: the planned minimum of HK\$10 million paid-up capital (money put in by shareholders) does not apply to banks ¹⁷. The reason is that HKMA capital rules already cover them ¹⁷.
- Technology: the SFC says its August 2025 custody standards for trading platforms will be core expectations for future custodians ¹⁸.

Official signals

- The SFC listed 13 licensed VA trading platforms at its 29 May 2026 update ¹⁹.

- Hong Kong had 11 VA spot exchange-traded funds (ETFs) at end-2025, with a total market value of over HK\$5.4 billion ²⁰.
- The SFC and the Financial Services and the Treasury Bureau aim to put a custodian bill to the Legislative Council in 2026 ²¹.
- Banks the HKMA has already assessed, and that already provide VA custody, are to get faster approval ²².
- Under the planned dealing regime, the SFC will require VA dealers to use SFC-regulated custodians ²³.
- The SFC plans to begin running a system to watch digital-asset custody in the second half of 2026 ²⁴.

Industry benchmarks

- China Asset Management (Hong Kong) gives a fee in its April 2026 key facts statement, a short summary of a fund (Hong Kong scope) ²⁵. Its ether fund pays up to 1% a year for custody and administration ²⁵. That fee also pays the sub-custodian ²⁵.
- Boser Asset Management (International) describes how its sub-custodian covers losses, in a March 2026 Hong Kong fund prospectus ²⁶. Compensation or insurance covers 50% of client VAs in cold storage ²⁶. The cover is 100% for VAs in hot storage (keys online) and other storage ²⁶.
- OSL Group Limited (OSL) reported custody income in its 2025 annual report (Hong Kong and global scope) ²⁷. It was about HK\$16.1 million in 2025, up from about HK\$9.6 million in 2024 ²⁷.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Is VA custody a fee business on its own, or mainly the base that lets other lines run?

How to think about it:

- Standalone view: income equals assets held times the fee rate. Costs for keys, monitoring, audit and insurance start before any assets arrive, and are largely fixed.
- Enabler view: count the dealing, fund, staking and settlement income that needs a custodian in place.
- Build or delegate: the bank can run its own key systems, or hand custody to a licensed platform. If it hands custody over, responsibility still stays with the bank ¹⁴.

What it depends on: client asset levels; fee pressure from fund issuers; insurance cost; the final custodian rules and their start date.

Official signposts: the custodian bill target ²¹; SFC work on more flexible custody technology and on how much is kept offline ²⁸; custodian use under the dealing regime ²³.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C3 Custody of digital assets and key management
- Module C2 VA funds and ETFs
- Module D1 Capital and prudential treatment of cryptoassets
- Project profile: New VA licensing regimes: dealing, custody, advisory and management
- Case 1: Virtual-asset custody for private banking

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BUSINESS LINE · ISSUE · DISTRIBUTE · HOLD · SETTLE AND PAY

Digital bonds: arranging and custody

IN FORCE

In this line a bank arranges, sells, holds or invests in bonds recorded on distributed ledger technology (DLT), a shared digital record CONCEPT.

At a glance

Item	Detail
Bank role	Arranger; distributor; custodian for investors; investor
Client segments	Corporate, institutional, private banking
Value chain	Issue, Distribute, Hold, Settle and pay
Regulatory gate	Existing securities licences and offering rules apply to digital bonds ¹ . A bank should notify the Securities and Futures Commission (SFC) and the Hong Kong Monetary Authority (HKMA) in advance ²
Status as of 25 Sep 2026	In force ³
Related modules	C5, B2, E2
Related cases	Case 5: The board's strategic plan

What the bank does

- Arranges issues. For the HKMA's Digital Bond Grant Scheme (DBGS), at least half the lead arrangers need to be recognised arrangers ⁴. These are generally arrangers with substantial Hong Kong bond operations ⁵.
- Sells to investors. The Government's first tokenised green bond was sold by a group of four banks ⁶. Two of them also acted as custodians for investors ⁶.
- Holds bonds for clients. Project Evergreen was the Government's 2023 tokenised bond. In it, only custodians that were members of the Central Moneymarkets Unit (CMU), the HKMA's bond settlement system, could open token accounts ⁷. Other investors held through those custodians ⁷.
- Checks the product. The SFC reminds intermediaries to do due diligence on the issuer and on the vendors that run the token set-up ⁸.
- Judges complexity. The SFC expects an intermediary to judge whether a tokenised bond is complex by looking at the plain bond underneath ⁹.
- Sells beyond professional investors. The SFC sees no need for a blanket professional-investor-only limit on tokenised securities ¹⁰. Public offering rules still apply ¹¹.

Revenue levers

- Arranging fees are usually a small share of the amount raised, paid by the issuer CONCEPT.
- Custody fees are usually a small yearly share of the bonds held for the client CONCEPT.
- The DBGS pays back half of an issuer's eligible costs, up to HK\$2.5 million per issue ¹². Eligible costs include fees to Hong Kong-based arrangers and to ledger platform providers ¹³.

Cost and capital drivers

- Settlement finality: trades settled through the CMU are final by law, so a participant's insolvency cannot reverse them ¹⁴. Another ledger platform gets this only if the HKMA designates it ¹⁵. Otherwise the parties rely on their contracts ¹⁶.
- Grant conditions: among other things, the full grant needs an issue of at least HK\$1 billion and five or more unrelated investors ¹⁷. It also needs a listing on the Hong Kong stock exchange or an SFC-licensed virtual asset trading platform ¹⁷.
- Technology: the bank builds its own ledger links or pays a platform provider CONCEPT.
- Risk controls: the SFC expects intermediaries to manage ownership and technology risks on top of normal bond rules ¹⁸.

Official signals

- The 2026 Policy Address says digital bonds issued in Hong Kong took nearly 50% of the global market over 2025 and the first half of 2026 ¹⁹.
- The Government's November 2025 digital green bond raised about HK\$10 billion, with over HK\$130 billion of orders ²⁰. The Government said it was the first digital bond in the world to offer settlement in tokenised central bank money (digital cash issued by a central bank) ²¹.
- In June 2026 the Hong Kong Mortgage Corporation (HKMC) priced about HK\$12 billion of digital bonds ²². Settlement fell from five business days to three ²³.
- In the 2026-27 Budget, the Financial Secretary said the Government will keep issuing tokenised bonds regularly ²⁴.

- CMU OmniClear (the HKMA's bond-settlement company) is to set up a digital asset platform for bond issuance and settlement in 2026 ²⁵.
- The Companies Registry confirmed that a register of debenture holders (bond investors) kept on a ledger can meet company-law record rules ²⁶.

Industry benchmarks

- The Bank for International Settlements (BIS), 2025 staff bulletin (global, reported): about US\$8 billion of tokenised bonds had been issued by July 2025 ²⁷. The authors call their evidence suggestive; their matched sample has 39 bonds ²⁷.
- The same BIS bulletin found average bid-ask spreads of about 19 basis points for tokenised bonds, against 30 for matched plain bonds ²⁸. A bid-ask spread is the gap between buying and selling prices; a basis point is one hundredth of a percentage point.
- The Global Financial Markets Association (GFMA) 2025 report (global) relays a modelled estimate by Ripple and Boston Consulting Group ²⁹. That estimate says tokenising an investment-grade bond can cut operating costs by 40–60% against a traditional issue ²⁹.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Is a digital bond desk a new source of fees, or the same arranging and custody fees earned through new technology?

How to think about it:

- Same-fee view: the issuer pays for arranging, selling and custody as with a plain bond. The ledger changes how the bond is recorded and settled, not the price.
- Share view: the grant's Hong Kong test counts recognised arrangers ⁴. Do arranging jobs then go mainly to banks already on that list that are also CMU custodians?
- Cost view: faster settlement and fewer manual steps can lower the bank's own running cost per issue.
- Example (illustrative): if a desk arranges 4 issues a year at an unchanged fee rate, any gain comes from less staff time per deal.

What it depends on: the number of issuers beyond the public sector; how many issuers use the grant; investor demand to trade after issue; platform and custody fees.

Official signposts: regular Government issuance ²⁴; the CMU OmniClear platform ²⁵; the second-phase legal review ³⁰.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module B2 Engaging the HKMA and SFC
- Module E2 Wholesale money, CBDC and cross-border projects (CBDC: central bank digital currency)
- Project profile: Digital bonds: Genesis, Evergreen and the public-sector issues
- Project profile: Digital Bond Grant Scheme (DBGS)
- Project profile: CMU OmniClear digital asset platform and tokenised Exchange Fund Bills
- Project profile: Tokenised Bond Expert Group and the DLT fixed-income law review
- Case 5: The board's strategic plan

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BUSINESS LINE · ISSUE · HOLD · SETTLE AND PAY

Infrastructure as a service

PILOT

A bank can run, or sell access to, the technology behind digital assets: shared ledgers, token-issuing tools, custody systems and settlement links. CONCEPT

At a glance

Item	Detail
Bank role	Platform operator; technology provider; settlement bank; custodian for other firms
Client segments	Corporate, institutional, fintechs
Value chain	Issue, Hold, Settle and pay
Regulatory gate	Hong Kong Monetary Authority (HKMA) expectations on distributed ledger technology (DLT) and custody. The HKMA also expects banks to discuss new digital-asset activities with it before launch ^{1,2}
Status as of 25 Sep 2026	Pilot ³
Related modules	B3, C3, C5, D4, E2
Related cases	Case 4: The night the hot wallet emptied

What the bank does

- A bank can test DLT projects with a dedicated HKMA team in the Supervisory Incubator. ⁴ The HKMA may give some supervisory flexibility, decided case by case. ⁵
- In the Ensemble Sandbox, banks connected their own tokenised deposit platforms to an HKMA settlement set-up. ⁶ A tokenised deposit is a bank deposit recorded as a token on a shared ledger. CONCEPT
- As a general principle, a bank may hand virtual-asset (VA) custody to only three kinds of firm. ⁷ The first is another bank, or a subsidiary of a locally incorporated bank. ⁷ The second is a VA trading platform holding a Securities and Futures Commission (SFC) licence. ⁷ The third is an HKMA-licensed stablecoin issuer, for its own coins and with HKMA consent. ⁷
- Issuing on a DLT platform run by the Central Moneymarkets Unit (CMU) is one route into the Digital Bond Grant Scheme (DBGS). ⁸
- The HKMA formed the Ensemble Architecture Community in May 2024 to write industry standards. ⁹ The standards aim to link wholesale central bank digital currency (CBDC), tokenised money and tokenised assets. ¹⁰

Revenue levers

- Software as a service (SaaS) means a client rents a platform instead of building its own, often for a base fee plus a usage fee. CONCEPT
- Other banks can outsource VA custody to a bank, which makes custody a service one bank can sell to another. ⁷
- DBGS grants can repay issuers' fees to DLT platform providers that are not the issuer's associates (firms linked to the issuer). ¹¹ The full grant, up to HK\$2.5 million per issue, needs such an outside platform, among other conditions. ¹²
- A settlement bank can charge for moving tokenised money between parties, or keep the balances that clients hold with it. CONCEPT

Cost and capital drivers

- The HKMA's DLT note puts responsibility on the board and senior management. ¹ It covers network choice, smart contracts, settlement finality and key security. ¹
- A hardware security module (HSM) is a tamper-resistant device that stores keys. CONCEPT Banks should check HSM vendors before onboarding and review them regularly. ¹³ A bank's custody monitoring should cover vendors, blockchain protocols, encryption methods and shared code libraries. ¹⁴
- For tokenised products, banks should check issuers' technology, including smart-contract audits, key management and plans for ledger failure. ¹⁵
- For SFC-authorised tokenised products, the product provider stays responsible for the token set-up even if it outsources it. ¹⁶ On SFC request, it should get an outside audit of the set-up and its smart contracts. ¹⁷
- The HKMA has launched a Quantum Preparedness Index to guide the industry on upgrading encryption. ¹⁸
- The HKMA plans a Fintech Cybersecurity Baseline for technology firms that serve banks with DLT and artificial intelligence tools. ¹⁹

Official signals

- EnsembleTX (the live pilot of the HKMA's Project Ensemble) is to run throughout 2026.³ It is to move step by step to round-the-clock settlement in tokenised central bank money.³
- EnsembleTX named 13 other industry pioneers besides its banks, including asset managers, technology firms and Hong Kong Exchanges and Clearing (HKEX).²⁰
- In November 2025 the HKMA announced that HKEX would take a 20% stake in the holding company of CMU OmniClear (the CMU's operator).²¹ The Exchange Fund would hold 80%.²¹ Assets held in the CMU were about HK\$5 trillion at end-September 2025.²²
- CMU OmniClear is to set up a digital asset platform in 2026 for issuing and settling digital bonds.²³ It is to be widened to other digital assets and linked to other platforms in the region.²³
- HKEX is building a blockchain-based tokenisation platform for many asset types, which already holds carbon credits.²⁴
- In an HKMA stock-take run in January 2025 and published in July 2025, 45% of respondents had adopted DLT, up from 30% in 2022.²⁵

Industry benchmarks

- OSL Group Limited (OSL) is a Hong Kong-listed platform group. It reported 2025 SaaS and related income of HK\$133.1 million, against HK\$91.6 million in 2024.²⁶ These are group figures, not Hong Kong only.
- OSL's 2025 annual report says its SaaS fees are typically based on a base fee plus the trading volume of the client's platform.²⁷
- KPMG (a professional services firm) published a 2026 Hong Kong banking report through KPMG China.²⁸ Its commentary says spending on technology, talent and cybersecurity can look like cost rather than value in the short term.²⁸ KPMG sells advisory services to banks.

Analysis

ANALYSIS — NOT OFFICIAL

Question: When does running shared digital-asset infrastructure pay back for a bank, compared with renting it?

How to think about it:

- Building a platform has a high fixed cost and a low cost per extra client. So the number of clients decides whether it pays back.
- Public platforms, such as the planned CMU OmniClear platform, can compete with a bank platform or connect to it.
- Clients that rent the platform stay answerable to their own regulators. How much due diligence and audit work then comes with each sale?
- Renting avoids the build cost but leaves the bank reliant on a vendor that then needs close monitoring.

What it depends on: the number of client firms; standards that let platforms connect; vendor and audit costs; how liability for failures is shared.

Official signposts:

- The CMU OmniClear digital asset platform.²³
- Round-the-clock settlement in EnsembleTX.³
- Standards from the Ensemble Architecture Community that let platforms connect (interoperability).²⁹

What this is not: not a forecast, not advice and not the regulator's view.

Read next

- Module B3 Governance, risk and technology expectations
- Module C3 Custody of digital assets and key management
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module D4 Cyber, fraud and technology risk
- Module E2 Wholesale money, CBDC and cross-border projects
- Project profile: Project Ensemble
- Project profile: CMU OmniClear digital asset platform and tokenised Exchange Fund Bills
- Project profile: Supervisory Incubator for DLT
- Project profile: Digital Bond Grant Scheme (DBGS)
- Case 4: The night the hot wallet emptied

For general information only. Not legal or regulatory advice. Always check the official source.

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Stablecoin roles for banks

IN FORCE

A bank can issue a stablecoin, hold the issuer's reserves, sell or trade the coin, or lend against it CONCEPT.

At a glance

Item	Detail
Bank role	Issuer; reserve bank and custodian; distributor and dealer; lender that takes coins as collateral
Client segments	Retail, private banking, corporate, institutional, fintechs
Value chain	Issue, Distribute, Trade, Hold, Settle and pay, Finance
Regulatory gate	Issuing needs a stablecoin issuer licence from the Hong Kong Monetary Authority (HKMA). ¹ Banks may offer licensed coins to investors as 'permitted offerors' (firms the law allows to offer stablecoins). ²
Status as of 25 Sep 2026	In force ³
Related modules	C4, C1, C6, D1, D3
Related cases	Case 3: The reserve bank that also sells the coin

What the bank does

A stablecoin is a token meant to keep a steady value against a currency CONCEPT.

- **Issue.** A bank may apply for an issuer licence. A bank incorporated overseas does not need a Hong Kong subsidiary. ⁴
- **Hold reserves.** The HKMA says issuers should appoint qualified custodians (firms that safekeep assets) for reserves. A licensed bank is one eligible custodian. ⁵
- **Take reserve deposits.** Reserves may include bank deposits with terms of up to three months. ⁶ In June 2026 the Government said that, under HKMA rules, issuers place reserve assets with banks in Hong Kong. ⁷
- **Sell.** Banks are one of five types of permitted offeror. They may offer licensed coins to retail and professional investors. ²
- **Deal.** A bank registered with the Securities and Futures Commission (SFC) is a registered institution (RI). An RI may deal in licensed coins through the issuer or a licensed virtual asset trading platform (VATP). ⁸
- **Lend.** An RI may choose to accept crypto as collateral for loans. If so, the HKMA says eligible collateral should be only bitcoin, ether and licensed coins. ⁹ The RI should apply a prudent haircut (a discount on the collateral's value). ⁹

Revenue levers

- **Reserve deposits.** A bank holding reserve deposits earns the gap between what it earns on the money and what it pays for it CONCEPT.
- **Issuer income.** An issuer that pays holders nothing keeps the return on its reserves, less its costs CONCEPT. The Stablecoins Ordinance bars issuers from paying interest to holders. ¹⁰
- **Custody and sales fees.** A custodian charges fees on the value it holds, and a seller earns a commission or a price spread CONCEPT.
- **Payments.** A bank can charge fees for moving money into and out of coins CONCEPT. Both licensed issuers plan cross-border payments, local payments and settling tokenised asset trades. ¹¹

Cost and capital drivers

- **Issuer capital.** A licensed issuer must keep paid-up capital of at least HK\$25 million, or other approved resources of the same amount. ¹² A bank licensee is exempt and follows the Banking Ordinance instead. ¹³
- **Redemption.** Issuers must let holders redeem at par (face value). ¹⁴ Valid requests should be processed within one business day unless the HKMA approves otherwise. ¹⁵
- **Liquidity.** The liquidity coverage ratio (LCR) tests whether a bank has enough liquid assets for a short stress period. A category 1 bank (one that must meet the LCR) that issues a coin redeemable in that period must generally assume that the whole amount flows out. ¹⁶ A category 1 bank holding such a coin generally counts no cash inflow from it. ¹⁷
- **Capital.** HKMA guidance puts stablecoins with effective stabilisation (a working way to keep their value steady) in Group 1b, one of the capital groups for cryptoassets. Group 1 assets generally need the same capital as the traditional assets they are linked to. ¹⁸
- **Anti-money laundering (AML).** An issuer should check customers before a one-off (occasional) transaction of HK\$8,000 or more. ¹⁹ For transfers at or above that amount, the sending firm must obtain and record fuller sender and recipient data. ²⁰

Official signals

- The HKMA received 36 first-batch applications by 30 September 2025. It licensed two issuers on 10 April 2026.²¹
- The register lists two licensees from 10 April 2026: Anchorpoint Financial Limited (FRS01) and The Hongkong and Shanghai Banking Corporation Limited (FRS02).²²
- Both issuers plan Hong Kong dollar coins first.¹¹
- On 28 April 2026 both licensees confirmed they had not yet issued regulated stablecoins.²³
- The HKMA expected launch between mid-2026 and the second half of 2026, based on the issuers' plans.²⁴
- The Government said any further licences will stay very limited in number.²⁵

Industry benchmarks

- The Bank for International Settlements (BIS) gave a global, reported market figure in its 2026 Annual Economic Report. It put stablecoin value at about US\$320 billion at end-May 2026.²⁶
- A 2025 BIS Bulletin, also global in scope, reported that two issuers held about 90% of stablecoin value in mid-2025.²⁷
- Circle Internet Group, a US-listed issuer, reported in its own results filing US\$733 million of reserve income for the fourth quarter of 2025. It reported US\$461 million of distribution, transaction and other costs for the same quarter.²⁸
- These are global reported figures, not Hong Kong figures.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Which stablecoin role could suit a bank that does not issue a coin?

How to think about it: List each role by what it earns and what it uses up. Reserve banking earns a deposit margin, but the money can leave fast when holders redeem. Selling and dealing earn fees per trade. They need conduct controls (fair treatment of clients) and AML controls. Lending earns interest and uses capital.

What it depends on: Whether licensed coins launch and circulate. How reserve deposit terms fit liquidity limits. Client demand for payment uses. The cost of monitoring transfers.

Official signposts: Launch news, which the HKMA tied to the issuers' plans.²⁴ Any further licences.²⁵ SFC steps to promote trading of licensed coins on licensed platforms and their use to settle tokenised money market funds.²⁹

What this is not: Not a forecast, not advice, and not the HKMA's or SFC's view.

Read next

- Module C4 Stablecoins
- Module C1 Selling, dealing and advising on virtual assets
- Module C6 Financing, shared order books and client withdrawals
- Module D1 Capital and prudential treatment of cryptoassets
- Module D3 AML/CFT for digital assets at a bank (AML/CFT: anti-money laundering and counter-terrorist financing)
- Project profile: Stablecoin issuer regime (Stablecoins Ordinance, Cap. 656)
- Project profile: Relevant Stablecoins: dealing, advice and trading
- Case 3: The reserve bank that also sells the coin

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Notes

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BUSINESS LINE · HOLD

Staking services

IN FORCE

A bank that holds virtual assets (VAs) for clients may lock them up to help confirm transactions on a blockchain, and pass the rewards to those clients.¹

At a glance

Item	Detail
Bank role	Custodian that stakes client VAs; staking provider to brokers and funds
Client segments	Retail, private banking, institutional
Value chain	Hold
Regulatory gate	Meet the Hong Kong Monetary Authority (HKMA) staking standards and discuss plans with the HKMA before launch ²
Status as of 25 Sep 2026	In force ¹
Related modules	C3, C1, C2, B2, B3
Related cases	Case 6: Stopping a product

What the bank does

- Banks, and subsidiaries of locally incorporated banks, may offer staking from their custody services under HKMA standards dated 7 April 2025.¹
- Staking means locking tokens so a validator can take part in a proof-of-stake network and earn rewards.¹ A validator runs the computers that confirm new blocks, and puts up tokens as a stake to earn that role. CONCEPT
- The HKMA says a bank must do all reasonable due diligence on a blockchain before it offers staking on it.³ The bank must also make sure its controls and systems can support staking on that chain.³
- A bank may outsource staking work to a third party.⁴ It should check that provider first and then keep monitoring it.⁴
- Other firms can use a bank as their staking provider.⁵ The Securities and Futures Commission (SFC) sets terms for licensed corporations, such as brokers, and for registered institutions, which are banks registered with it.⁵ Under those terms, they should stake client assets only through an SFC-licensed platform or a bank.⁵
- The SFC may let the virtual-asset funds it authorises stake through licensed platforms or banks.⁶ Such funds need prior consultation with, and approval from, the SFC.⁶

Revenue levers

- A staking provider can keep a share of the network rewards and pass the rest to the client. It can also charge a fee on staked assets instead. CONCEPT
- The HKMA expects a bank to disclose its staking fees and charges.⁷ It should also disclose lock-up and unstaking periods.⁷
- Licensed corporations and registered institutions should tell clients the fees agreed with their staking provider and how those fees are worked out.⁸
- An SFC-authorised fund that stakes should report the revenue and the direct and indirect costs of its staking.⁹
- Staking gives clients a return on assets that would otherwise sit idle in custody. That can help a bank keep custody balances.

CONCEPT

Cost and capital drivers

- The HKMA expects a bank to control everything needed to take client assets out of staking.¹⁰ Examples are the withdrawal keys and exit messages signed in advance.¹⁰
- A bank should explain the extra risks of staking.⁷ The circular lists slashing risk, lock-up risk, software bugs and hacking among them.⁷ Slashing is a network penalty that takes away part of a validator's staked tokens. CONCEPT
- The bank should also say how such losses would be dealt with.⁷ Who bears a slashing loss depends on the contracts between client, bank and validator. CONCEPT
- Licensed corporations and registered institutions should get a signed risk acknowledgement from most clients.¹¹ Institutional and qualified corporate professional investors are the exception.¹¹
- Checking an outside staking provider covers its track record, technology, risk measures and security controls.⁴
- A firm that stops staking should take due account of clients' best interests.¹² It should explain their options, such as unstaking.¹²

Official signals

- In April 2025 the SFC set out staking guidance for platforms and funds under the Products pillar of its roadmap.¹³

- That SFC roadmap, called ASPIRe, listed staking as something to consider under clear custody and operating rules.¹⁴
- In September 2025 the SFC and HKMA said they are now prepared to let intermediaries offer staking.¹⁵
- Intermediaries should tell the regulators before they offer staking for the first time.¹⁶
- The HKMA's May 2026 custody guidance asks banks to take account of the SFC's staking terms for platforms.¹⁷
- In April 2025 the SFC said the virtual-asset funds it authorises are required to stake only through licensed platforms and banks. It added that a cap applies, to manage liquidity risk.¹⁸

Industry benchmarks

- HashKey Holdings (HashKey), a Hong Kong-listed platform group, reported group-wide figures in its 2025 annual results. It gave its own measure, a staking "monetization rate", of 0.2%, down from 0.3% in 2024.¹⁹ The results do not give its formula. The same report gave average staked assets of about HK\$22.4 billion.¹⁹
- HashKey's 2026 interim results, also a company filing, reported average staked assets of HK\$14.8 billion in the first half.²⁰ The same report gave HK\$20.2 billion a year earlier.²⁰
- Coinbase Global's 2025 annual report, global in scope, reported US\$677.4 million of blockchain rewards revenue for 2025.²¹ The same report showed US\$427.5 million of blockchain rewards fees as a cost.²²
- China Asset Management (Hong Kong) published a key facts statement for its Hong Kong-listed ether exchange-traded fund (ETF) in April 2026. It said the fund intends to stake up to 30% of its ether.²³

Analysis

ANALYSIS — NOT OFFICIAL

Question: Is staking a profit line in its own right, or a feature that keeps custody clients?

How to think about it:

- Staking income is roughly staked assets times the network reward rate times the bank's share. CONCEPT
- Costs include validator fees, key-control systems, disclosure work and handling losses.
- A small share of rewards on a large pool of custody assets can earn more than a large share on a small pool.

What it depends on: network reward rates; token prices; client interest; the share the bank keeps; who bears slashing losses; vendor costs.

Official signposts:

- The SFC staking terms that banks take account of.¹⁷
- Notice to regulators before a firm first offers staking.¹⁶
- Faster licensing for banks already assessed for custody.²⁴

What this is not: not a forecast, not advice and not the regulator's view.

Read next

- Module C3 Custody of digital assets and key management
- Module C1 Selling, dealing and advising on virtual assets
- Module C2 VA funds and ETFs (VA: virtual asset; ETFs: exchange-traded funds)
- Module B2 Engaging the HKMA and SFC
- Module B3 Governance, risk and technology expectations
- Project profile: ASPIRe: the SFC's virtual-asset roadmap
- Case 6: Stopping a product

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Notes

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BUSINESS LINE · ISSUE · SETTLE AND PAY

Tokenised deposits and payments

PILOT

A bank can record customer deposits as tokens on a shared digital ledger and use them to pay and settle around the clock.

CONCEPT

At a glance

Item	Detail
Bank role	Issuer; settlement bank; payment provider
Client segments	Corporate, institutional, fintechs
Value chain	Issue, Settle and pay
Regulatory gate	Hong Kong Monetary Authority (HKMA) standards for tokenised products, and talks with the HKMA before launch ¹
Status as of 25 Sep 2026	Pilot ²
Related modules	C5, E2, D1, B2
Related cases	Case 2: Tokenised deposits for corporate treasury

What the bank does

- The HKMA's liquidity guidance covers tokens a bank issues that are a legally binding claim on that bank. ³ To fall in this group, the tokens must be redeemable in cash at face value. ³
- The HKMA expects a bank to apply its tokenised-products standards when customers place tokenised deposits. ⁴
- A "Tokenised Deposit Bank" in the HKMA pilot offers tokenised deposits to Hong Kong customers. ⁵ It also settles tokenised-deposit deals with other banks using real money. ⁵
- That pilot, EnsembleTX (the live phase of the HKMA's Project Ensemble), started on 13 November 2025. ⁶
- Its first uses are paying for tokenised money market fund (MMF) trades and managing liquidity and treasury needs in real time. ⁷
- Before a full launch, a bank can test its controls in the HKMA's Supervisory Incubator for distributed ledger technology (DLT). ⁸ Tokenised deposits were a core focus from its launch. ⁸

Revenue levers

- Deposits fund a bank's lending and investing. The gap between what the bank earns on that money and what it pays depositors is its net interest margin. CONCEPT
- Corporate clients can pay fees for services built on tokens, such as automatic sweeps (moving cash between accounts by set rules) and payments that run at set times. CONCEPT
- Tokenised deposits can pay for tokenised fund trades, which is an initial EnsembleTX focus. ⁷
- The Securities and Futures Commission (SFC) has set out a pilot for 24/7 (round-the-clock) secondary trading of tokenised products. ⁹ The SFC said trading could use regulated stablecoins and tokenised deposits. ⁹
- In February 2026 the SFC set out a high-level framework for platforms to offer perpetual contracts (futures with no expiry date). ¹⁰ It says margin should be cash, or stablecoins or tokenised deposits regulated by the HKMA. ¹⁰

Cost and capital drivers

- The HKMA's liquidity guidance lets a bank that must meet the liquidity coverage ratio (LCR) treat qualifying tokens it issues as deposits or unsecured funding. ³
- The LCR checks that a bank holds enough easy-to-sell assets to meet cash outflows during a short period of stress. CONCEPT
- The same guidance says these tokens cannot count as stable retail or small business deposits. ³
- If the bank cannot always identify the holders, it must treat the tokens as other unsecured wholesale funding. ³
- If tokens mainly serve payments for wholesale clients with an operational relationship, the guidance says the rules for operational deposits should be followed. ³ Operational deposits are cash that clients keep with a bank for day-to-day clearing and cash management. CONCEPT
- A bank that holds another bank's tokens must treat them like unsecured loans to financial institutions for liquidity purposes. ¹¹
- The HKMA's non-binding DLT note puts full responsibility on the board and senior management. ¹² It covers network choice, smart contracts, settlement finality and key security. ¹²
- Settlement finality is the point where a payment can no longer be reversed. CONCEPT

Official signals

- The HKMA named seven Tokenised Deposit Banks and 13 other industry pioneers for EnsembleTX.¹³
- In October 2025 the HKMA Chief Executive said six banks had launched tokenised deposit services through the Supervisory Incubator.¹⁴
- EnsembleTX is to run throughout 2026.¹⁵ Banks settle with each other first through the Hong Kong dollar Real Time Gross Settlement (RTGS) system.¹⁵
- The HKMA plans a step-by-step upgrade to round-the-clock settlement in tokenised central bank money.¹⁵
- The 2026 Policy Address says the HKMA plans to add settlement in central bank digital currency (CBDC) by around end-2026.¹⁶ It also plans to run EnsembleTX 24/7 by then.¹⁶
- The HKMA is to study trade-finance uses of tokenised deposits with the Mainland, with pilot deals to be done by end-2026.¹⁷
- In June 2026 an HKMA seminar for corporate treasurers drew over 150 people, including staff of about 50 corporates and 30 financial institutions.¹⁸

Industry benchmarks

- KPMG China (KPMG), an accounting and advisory firm that sells services to banks, published its Hong Kong Banking Report in 2026. In the report's commentary (an opinion, not a measured figure), it said most digital-asset work is still small beside traditional banking.¹⁹
- The same 2026 KPMG commentary says many local and regional Hong Kong banks are waiting to see how the market develops.²⁰ It notes that spending on technology, talent and compliance can look like cost, not value, in the short term.²⁰
- No reliable industry figure for tokenised-deposit volumes or fees in Hong Kong was found.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Do tokenised deposits earn new money, or mainly protect deposits and payment business the bank already has?

How to think about it:

- Split the value into three parts: deposit balances kept or won, fees for treasury services, and a role in settling tokenised assets.
- Set that against build costs, links to other banks, and the liquidity treatment of the tokens.
- Ask how much of the value is defensive: balances the bank keeps that might otherwise leave, even if the product's own fee income is small.

What it depends on: corporate demand for round-the-clock payments; how many banks connect; whether holders can be identified; the pace of stablecoin use.

Official signposts:

- Plans for CBDC settlement and 24/7 running of EnsembleTX.¹⁶
- The trade-finance pilot with the Mainland.¹⁷
- The SFC's round-the-clock trading pilot for tokenised products.⁹

What this is not: not a forecast, not advice and not the regulator's view.

Read next

- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module E2 Wholesale money, CBDC and cross-border projects
- Module D1 Capital and prudential treatment of cryptoassets
- Module B2 Engaging the HKMA and SFC
- Project profile: Project Ensemble
- Project profile: Supervisory Incubator for DLT
- Project profile: e-HKD (digital Hong Kong dollar)
- Case 2: Tokenised deposits for corporate treasury

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BUSINESS LINE · DISTRIBUTE · TRADE · HOLD · SETTLE AND PAY

Tokenised funds and money market fund settlement

IN FORCE

In this line a bank sells, trades, settles or holds fund units kept as tokens on a shared ledger, such as a tokenised money market fund (MMF) CONCEPT.

At a glance

Item	Detail
Bank role	Distributor; connecting broker; settlement bank; custodian
Client segments	Retail, private banking, corporate, institutional
Value chain	Distribute, Trade, Hold, Settle and pay
Regulatory gate	Sellers should be firms that the Securities and Futures Commission (SFC) has licensed or registered, applying normal suitability checks ¹ . A bank should tell both the SFC and the Hong Kong Monetary Authority (HKMA) in advance ²
Status as of 25 Sep 2026	In force ³
Related modules	C5, C2, C7, E2
Related cases	Case 5: The board's strategic plan

What the bank does

- Sells tokenised funds. The SFC expects sellers of tokenised SFC-authorised products to be licensed or registered firms ¹. They apply the usual client checks and suitability tests ¹.
- Passes client orders to a licensed trading platform, as a "Connecting Broker" ⁴. It should show a warning when the trade price strays far from the fund's value per unit, its net asset value (NAV) ⁵. It should also tell those clients they can subscribe or redeem directly with the fund at NAV instead ⁶.
- Settles fund trades with tokenised deposits (bank deposits recorded as tokens). The first focus of EnsembleTX (the HKMA's live tokenisation pilot) is tokenised deposits used in tokenised MMF trades ⁷.
- Accepts virtual assets (VAs) as payment for fund units. The SFC and HKMA do not treat this as a virtual-asset dealing service ⁸. The bank should notify the SFC and the HKMA in advance ⁹.
- Lends against the units. The HKMA says the rule barring client financing for virtual-asset (VA) purchases does not apply to buying tokenised products ¹⁰.

Revenue levers

- Distribution fees: the fund manager often shares part of its yearly management fee with the selling bank CONCEPT.
- Brokerage: the bank can charge a commission on each secondary trade it passes to a platform CONCEPT.
- Market making: the SFC expects product providers to try to have at least one market maker per product ¹¹. A market maker earns the gap between its buying and selling prices CONCEPT.
- Settlement balances: cash held as tokenised deposits for fund trades can add to the bank's deposit base CONCEPT.
- Custody: a bank can charge a yearly fee for holding tokens for clients CONCEPT.

Cost and capital drivers

- Price data: platforms and Connecting Brokers should show an indicative NAV, typically updated at least every 15 seconds in trading hours ¹².
- Risk disclosure: they should explain liquidity and price-gap risks and get client confirmation ¹³.
- Notifications: a bank planning over-the-counter (off-platform) secondary trading should notify and discuss its plan with the SFC before it starts ¹⁴. It should also notify the HKMA ¹⁵.
- Product oversight: the fund manager stays responsible for the token set-up, even if it outsources parts ¹⁶. It should not use public blockchains that anyone can join without extra controls ¹⁷.
- Systems: linking token wallets to fund records, payment systems and client reports is a fixed build cost CONCEPT.

Official signals

- SFC-authorised tokenised retail money market funds (MMFs) held HK\$8.66 billion at end-2025, up 14% on the quarter ¹⁸.
- In March 2026 the public in Hong Kong could buy 13 tokenised products ¹⁹. Their tokenised classes held about HK\$10.7 billion ¹⁹. That was about seven times the level a year earlier ¹⁹.
- The SFC authorised three retail tokenised MMFs in early 2025 ²⁰. The Government called them the first in Asia-Pacific ²⁰.

- The SFC stated that the first products under its April 2026 trading framework are expected to be tokenised MMFs ²¹. It will review how they operate before it considers a wider product range ²¹.
- The 2026 Policy Address says the SFC will promote regulated stablecoins for settling tokenised MMFs ²².
- The same Policy Address says the HKMA plans central bank digital currency settlement and round-the-clock operation under EnsembleTX by around end-2026 ²³.

Industry benchmarks

- The Bank for International Settlements (BIS), 2025 staff bulletin (global, reported): tokenised MMFs on public blockchains held almost US\$9 billion by end-October 2025 ²⁴. That was up from about US\$770 million at end-2023 ²⁴.
- The same BIS bulletin notes that some institutional-only funds set a minimum investment of US\$5 million ²⁴.
- RWA.xyz, a data provider for real-world assets (RWA), showed about US\$14.94 billion of tokenised US Treasury products on 26 September 2026 (global, reported, live data) ²⁵. This covers tokenised Treasury bills, notes and bonds as well as MMFs.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Is tokenised MMF work a distribution business, or a way to win settlement cash and deposits?

How to think about it:

- Distribution view: the bank gets a share of the fund's fees, as with ordinary units, plus brokerage on platform trades.
- Settlement view: each subscription and redemption moves cash; tokenised deposits can keep that cash inside the bank.
- Cost view: NAV price feeds, price-gap warnings and client confirmations are fixed costs spread over trading volume.
- Example (illustrative): if the same client moves HK\$10 million a month through the fund, the settlement cash can matter more than the fee share.

What it depends on: growth of tokenised fund assets; whether stablecoins or tokenised deposits settle the trades; secondary trading volumes; fee sharing with fund managers.

Official signposts: the SFC's review before widening the product range ²¹; stablecoin settlement of tokenised MMFs ²²; EnsembleTX round-the-clock operation ²³.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module C2 VA funds and ETFs (ETFs: exchange-traded funds)
- Module C7 VATP counterparties and the SFC platform regime (VATP: virtual asset trading platform)
- Module E2 Wholesale money, CBDC and cross-border projects (CBDC: central bank digital currency)
- Project profile: Project Ensemble
- Case 5: The board's strategic plan

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BUSINESS LINE · FINANCE · SETTLE AND PAY

Trade finance and electronic bills of lading

EXPLORATORY

In this line a bank finances trade using digital records, such as shared cargo data, electronic trade documents and tokenised money. CONCEPT

At a glance

Item	Detail
Bank role	Trade financier; payment bank; data user; pilot participant
Client segments	Corporate, small and medium-sized firms, institutional
Value chain	Finance, Settle and pay
Regulatory gate	Banks placing customer tokenised deposits should follow the Hong Kong Monetary Authority (HKMA) tokenised-products circular ¹ . They should discuss plans with the HKMA first ²
Status as of 25 Sep 2026	Exploratory ³
Related modules	E2, C5, C4, B2
Related cases	none

What the bank does

- Tests trade use cases in Project Ensemble, the HKMA's tokenisation project. Its sandbox has a trade theme covering supply chain finance and trade payments ⁴.
- Draws on cargo data through Project Cargo x, an HKMA trial with private firms ⁵. The trial uses the Commercial Data Interchange (CDI), an HKMA data-sharing system ⁶. It aims to cut the credit costs and handling time that banks and small firms face ⁶.
- Explores electronic bills of lading (eBL), the shipping documents that give control of goods. Under a March 2026 agreement with Shanghai bodies, the HKMA is to explore eBL use under Project Ensemble ³.
- Pays in tokenised deposits for corporate clients. For the issuing bank, the HKMA says such deposits should get the operational-deposit liquidity treatment. This applies where they are mainly a means of payment within an operational relationship with wholesale clients ⁷.

Revenue levers

- A trade financier earns interest on the funds it advances and fees for handling documents. CONCEPT
- Trusted shipment data can let a bank lend with less manual checking, which lowers cost per deal. CONCEPT
- Payment and foreign exchange fees come with the trade flow the bank finances. CONCEPT
- Programmable payments release money when agreed conditions are met, such as proof of delivery. CONCEPT

Cost and capital drivers

- Controls: for tokenised products, the HKMA expects due diligence, disclosure and risk management ⁸.
- Compliance: in the 2022 mBridge report, each bank ran its own anti-money laundering and sanctions checks off the cross-border platform ⁹. Each bank did so before sending or confirming a payment ⁹.
- Technology: links to the CDI, the Port Community System and partner ledgers need building and testing. CONCEPT
- Legal: a lender needs the law to treat a digital document like the paper one. CONCEPT The 2026 Policy Address states the Government will introduce a bill on digital business-to-business trade documents in 2026 ¹⁰.

Official signals

- The Port Community System (a shared logistics data platform) had over 8,000 registered firms in 2026 ¹¹. Firms had made more than 20 successful trade-finance applications using its cargo-flow data ¹¹.
- The HKMA is to study trade-finance uses of tokenised deposits with the Mainland, with pilot deals done by end-2026 ¹².
- The Trade Single Window is to connect with the CDI in mid-2027, so banks can refer to trade data on finance applications ¹³.
- The HKMA and Banco Central do Brasil agreed in 2024 to link their pilot platforms to test settlement uses, including trade finance ¹⁴.
- The 2025 Policy Address said the HKMA and Banco Central do Brasil would test eBL and tokenised deposits for commodity trade ¹⁵.
- In 2024 the HKMA and the Bank of Thailand agreed to explore cross-border tokenisation uses, including trade payments ¹⁶.

Industry benchmarks

No reliable industry benchmark was found for Hong Kong.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Does digital trade finance mainly cut a bank's cost per deal, or does it open lending to firms the bank could not serve before?

How to think about it:

- Cost view: data and digital documents replace manual checks. Savings depend on how many deals move off paper.
- Reach view: trusted cargo data may let the bank judge small firms creditworthy, using evidence it did not have before.
- Settlement view: tokenised deposits and conditional payments can release money when a shipment reaches an agreed point. In this view, the bank earns on payment flow as well as on credit.

What it depends on: legal recognition of electronic documents; how many shippers and banks join shared data systems; links with Mainland and overseas platforms.

Official signposts: the trade-documents bill ¹⁰; tokenised-deposit trade pilots ¹²; the Trade Single Window link to the CDI ¹³.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module E2 Wholesale money, CBDC and cross-border projects (CBDC: central bank digital currency)
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module C4 Stablecoins
- Module B2 Engaging the HKMA and SFC (SFC: Securities and Futures Commission)
- Project profile: Project Ensemble
- Project profile: Project mBridge
- Project profile: Government policy statements and Policy Address items
- Business line: Tokenised deposits and payments

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BUSINESS LINE · TRADE

Virtual-asset dealing

IN FORCE

A bank buys and sells virtual assets for clients through platforms that hold a Securities and Futures Commission (SFC) licence. ¹

At a glance

Item	Detail
Bank role	Broker that deals for clients
Client segments	Retail, private banking, institutional
Value chain	Trade
Regulatory gate	Registration for Type 1 (dealing in securities), plus SFC conditions for virtual asset (VA) dealing ²
Status as of 25 Sep 2026	In force ¹
Related modules	C1, C7, C6, D1, D3, B2, E1
Related cases	Case 4: The night the hot wallet emptied

What the bank does

- A bank registered with the SFC is a registered institution (RI). An RI can introduce clients to a licensed virtual asset trading platform (VATP), or trade for them through one pooled (omnibus) account there. ¹
- The RI should offer the service only to clients of its Type 1 business. ³ An RI dealing only in Relevant Stablecoins is not limited in this way. ⁴ These are stablecoins issued under a licence from the Hong Kong Monetary Authority (HKMA). ⁵
- When it only introduces clients (as an introducing agent), the bank should not pass client orders to the platform or hold client money or tokens. ⁶
- Since May 2026, an RI may deal in a Relevant Stablecoin with its licensed issuer. It may also serve retail clients through a VATP licensed only for professional investors, if those clients trade only tokens the platform admitted for retail. ⁷
- An RI may trade for clients on a shared order book, which links a platform's order book with those of its global affiliates. ⁸ Retail clients may join only after a clear risk explanation and their express choice. ⁹ The HKMA applies this SFC guidance to registered institutions. ¹⁰

Revenue levers

- Clients pay a commission, or a spread (the gap between the buying and selling price), on each trade. CONCEPT
- Dealing income equals client trading volume times the fee rate the bank keeps after the platform's own charge. CONCEPT
- Client token deposits and withdrawals should go only through segregated accounts at the partner platform or at a bank meeting HKMA custody standards. ¹¹ A bank that also offers custody can charge a holding fee on the same client assets. CONCEPT

Cost and capital drivers

- Before serving retail clients, the bank should check each client's VA knowledge and risk tolerance. It should also set an exposure limit based on the client's finances, including net worth. ¹²
- Every RI needs at least two executive officers for each regulated activity, each with the Monetary Authority's written consent. ¹³
- Where clients move tokens in or out, the bank should follow Chapter 12 of the SFC's anti-money laundering (AML) guideline. ¹¹ SFC withdrawal safeguards then apply on top of HKMA e-banking and technology risk rules. ¹⁴
- Group 2b cryptoassets (the riskiest capital class) take a 1,250% risk weight. ¹⁵ The minimum total capital ratio is 8%. ¹⁶ So $1,250\% \times 8\% = 100\%$: at the minimum, the bank holds capital equal to the whole exposure. A capital charge is set against assets the bank itself holds, so it matters most when a bank trades on its own account. CONCEPT
- Under the planned regime, licence and annual fees for VA dealing would be set by reference to Type 1 fees. ¹⁷ The conclusions also state that the SFC plans to require VA dealers to keep client tokens with SFC-regulated custodians. ¹⁸

Official signals

- The SFC's list showed 13 licensed platforms at its 29 May 2026 update. ¹⁹
- Firms already providing VA dealing, including registered institutions, are to get a faster approval process when the new dealing regime starts. ²⁰
- The Government and the SFC do not plan to treat existing VA dealers as licensed while they apply. ²¹ The regime takes full effect on its start date. ²¹ Providers that do not contact the SFC or HKMA for pre-application would have to stop when the regime starts. ²²

- In June 2026 the Government said it and the SFC would bring a bill before the Legislative Council during 2026. It would cover VA dealing, custody, advice and management.²³ The start date of the dealing regime is not set.²⁴
- Under the June 2025 consultation proposals, the SFC would set the standards and the HKMA would be the frontline regulator for registered banks.²⁵
- The 2026 Policy Address says the SFC will enhance VA licensing regimes and issue guidelines that set out a clear path to compliance.²⁶

Industry benchmarks

- HashKey Holdings Limited (HashKey) runs an SFC-licensed platform. It reported 2025 omnibus client volume of about HK\$86.4 billion, against HK\$11.7 billion in 2024.²⁷ This is a reported group figure covering Hong Kong and other markets.²⁷
- HashKey's 2025 annual results (group, reported) give HK\$522.8 million of revenue from its trading services segment.²⁸ The same results give HK\$590.8 billion of trading volume for those services.²⁸ We worked out the ratio ourselves from those two figures: HK\$522.8 million of revenue on HK\$590.8 billion of volume is about 0.09%. HashKey does not publish this ratio. It is our own sum, not an estimate by any publisher.
- Coinbase Global's 2025 annual report covers a mainly US business (global scope, reported).²⁹ It gives US\$3,322.8 million of net consumer transaction revenue on US\$239 billion of consumer volume.²⁹ It gives US\$479.7 million of net institutional transaction revenue on US\$982 billion of institutional volume.²⁹ Our own sums from those figures give about 1.39% for consumer trades and about 0.049% for institutional trades. Coinbase does not publish these ratios, and they are not Hong Kong benchmarks.

Analysis

ANALYSIS — NOT OFFICIAL

Question: How much client trading does an omnibus dealing service need to cover its fixed compliance costs?

How to think about it: Split costs into fixed and variable parts. Fixed costs include executive officers, platform due diligence, AML checks on token movements and record keeping. Income is client volume times the fee rate the bank keeps after the platform's charge. For example, keeping 0.5% on HK\$1 billion of yearly volume gives HK\$5 million before costs (illustrative).

What it depends on: The mix of retail and professional clients. The partner platform's charges. The share of clients who trade only Relevant Stablecoins. The final costs of the new dealing regime.

Official signposts: The dealing regime's start date.²⁴ The bill promised for 2026.²³ New SFC guidelines for VA firms.²⁶ The SFC's list of licensed platforms.³⁰

What this is not: Not a forecast, not advice and not the regulators' view.

Read next

- Module C1 Selling, dealing and advising on virtual assets
- Module C7 VATP counterparties and the SFC platform regime
- Module C6 Financing, shared order books and client withdrawals
- Module D3 AML/CFT for digital assets at a bank (AML/CFT: anti-money laundering and counter-terrorist financing)
- Project profile: New VA licensing regimes: dealing, custody, advisory and management
- Project profile: Relevant Stablecoins: dealing, advice and trading
- Case 4: The night the hot wallet emptied
- Business line: Virtual-asset financing and margin

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BUSINESS LINE · DISTRIBUTE · TRADE

Virtual-asset distribution and brokerage

IN FORCE

In this line a bank sells clients products linked to virtual assets (VAs), such as funds that invest in them ¹. It may also buy and sell VAs for clients through a licensed trading platform ².

At a glance

Item	Detail
Bank role	Distributor; broker through a licensed platform; stablecoin offeror
Client segments	Retail, private banking, corporate, institutional
Value chain	Distribute, Trade
Regulatory gate	Registration with the Securities and Futures Commission (SFC) for dealing in securities, plus SFC conditions for virtual asset (VA) dealing ³
Status as of 25 Sep 2026	In force ⁴
Related modules	C1, C2, C4, C5, C7, D3
Related cases	Case 1: Virtual-asset custody for private banking

What the bank does

- Sells SFC-authorised VA funds to retail clients as well as to professional investors (PIs) ⁵.
- Offers other complex VA products to PIs only, as the regulators expect, apart from a small set of listed funds and derivatives ⁶.
- Deals in VAs through a licensed platform, either by introducing clients or through an omnibus account (one pooled account in the bank's name) ².
- Since May 2026, may serve retail clients through its omnibus account on a platform licensed only for PIs, if they trade only tokens admitted for retail trading ⁷.
- May execute client trades through a licensed platform's over-the-counter (off-exchange) service ⁸.
- May offer stablecoins from issuers licensed by the Hong Kong Monetary Authority (HKMA) to retail clients and PIs. Banks are one of five kinds of permitted offeror ⁹.
- Distributes tokenised SFC-authorised investment products, a role the SFC expects regulated firms such as banks to fill ¹⁰. It can also route client trades in them to a licensed platform as a "Connecting Broker" ¹¹.

Revenue levers

- A fund distributor may receive part of the manager's management fee, often called a trailer fee. CONCEPT
- A broker earns commission or a price spread on each trade. Its take rate is that income as a share of trading value. CONCEPT
- The bank's margin on brokerage is its client fee minus what the platform charges it. CONCEPT
- The 2023 joint circular expects client orders to be pre-funded, meaning paid for before the trade ¹². Since 27 May 2026, the HKMA lets banks that deal in VAs lend to their securities margin clients for VA trades, under set standards ¹³. Cash held for trades can bring deposit and currency conversion income. CONCEPT

Cost and capital drivers

- Suitability: regulators treat VA products as very likely complex, so suitability checks apply even without a recommendation ¹. Some exchange-traded products are exceptions ¹.
- Knowledge test: apart from institutional and qualified corporate PIs, clients should be checked for VA knowledge first ¹⁴. Those without it may trade only after training ¹⁴.
- Retail limits: before VA dealing for retail clients, the bank should set a reasonable exposure limit for each one ¹⁵.
- Product checks: distributors should do due diligence on each VA product, with extra checks for funds the SFC has not authorised ¹⁶.
- Enforcement: in January 2026 the SFC fined a licensed broker HK\$4 million over VA product sales ¹⁷. Between 2018 and 2022, retail clients had traded products meant for PIs only, without a knowledge check ¹⁸.
- Stablecoins: for coins from HKMA-licensed issuers, the bank should disclose how each coin keeps its value and how redemption works ¹⁹. Commission rebates should not be the main reason to recommend one ²⁰.
- Notice: the bank should tell the SFC and the HKMA before it changes its VA activities, such as serving new client types ²¹.
- People: the bank needs at least two executive officers for each regulated activity, each approved in writing by the HKMA ²².

Official signals

- Hong Kong had 11 VA spot exchange-traded funds (ETFs) at end-2025, worth over HK\$5.4 billion ²³.
- In March 2026 the public in Hong Kong could buy 13 tokenised products ²⁴. Their tokenised classes held about HK\$10.7 billion ²⁴.
- The SFC listed 13 licensed VA trading platforms at its 29 May 2026 update ²⁵.
- In June 2026 the Government said regulated stablecoins were expected to launch between mid-2026 and the second half of 2026 ²⁶. It based this on the two licensed issuers' business plans ²⁶.
- The 2026 Policy Address says the SFC will improve its rules so tokenised gold can trade on licensed platforms ²⁷.
- Banks already dealing in VAs are to get faster approval under the planned dealing regime ²⁸.

Industry benchmarks

- HashKey Holdings Limited (HashKey), 2025 annual results (Hong Kong and other markets, reported): trading by omnibus clients rose to HK\$86.4 billion in 2025 ²⁹. That was up from HK\$11.7 billion in 2024 ²⁹.
- Bosera Asset Management (International) reported a fee in its March 2026 Hong Kong fund prospectus ³⁰. Its bitcoin fund currently charges a 0.60% yearly management fee ³⁰.
- The same prospectus says the manager may pay distributors a fee out of that management fee ³¹.

Analysis

ANALYSIS — NOT OFFICIAL

Question: How do selling VA funds and running a VA brokerage service differ as ways to earn from client demand?

How to think about it:

- Fund sales earn a share of recurring fees. They reuse existing sales, suitability and custody set-ups.
- Brokerage earns per trade. It needs a platform link, pre-funding, per-client limits and VA custody.
- Both need VA knowledge checks for most clients other than institutional investors ¹⁴.

What it depends on: client mix; how often clients trade; platform charges; the number of products the bank offers.

Official signposts: the launch of regulated stablecoins ²⁶; the tokenised product framework ²⁷; faster approval under the dealing regime ²⁸.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C1 Selling, dealing and advising on virtual assets
- Module C2 VA funds and ETFs
- Module C7 VATP counterparties and the SFC platform regime (VATP: virtual asset trading platform)
- Project profile: Relevant Stablecoins: dealing, advice and trading
- Case 1: Virtual-asset custody for private banking

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BUSINESS LINE · DISTRIBUTE · TRADE · HOLD

Roles in virtual-asset ETFs

IN FORCE

In this line a bank serves exchange-traded funds (ETFs) that hold virtual assets (VAs), such as bitcoin, as a dealer, custodian or seller ¹.

At a glance

Item	Detail
Bank role	Participating dealer; custodian or sub-custodian; distributor; trading counterparty
Client segments	Retail, private banking, institutional
Value chain	Distribute, Trade, Hold
Regulatory gate	A dealer should hold a Securities and Futures Commission (SFC) licence or registration. A custodian bank should meet Hong Kong Monetary Authority (HKMA) custody standards ²
Status as of 25 Sep 2026	In force ³
Related modules	C2, C1, C3, D1, B1
Related cases	none

What the bank does

- Acts as a participating dealer (PD), the firm that creates and redeems units of an exchange-traded fund (ETF). The SFC says PDs of a spot virtual asset (VA) ETF should be SFC-licensed corporations or registered institutions (banks registered with the SFC) ⁴.
- Moves VAs into the fund for in-kind creations (new units issued in return for VAs rather than cash). PDs are expected to transfer spot VAs, held in Hong Kong or overseas, to the fund's custody account ⁵.
- Handles cash creations too: spot VA ETFs may create and redeem units in cash or in kind ⁶.
- Trades spot VAs with the fund. VA funds should buy and sell through SFC-licensed trading platforms or through banks that follow HKMA rules ⁷.
- Holds the fund's VAs as the custodian the trustee appoints. A fund trustee may delegate VA custody to a bank that meets HKMA custody standards ⁸.
- Sells ETF units. For listed VA funds traded on exchange with no solicitation or recommendation, the bank need not run a suitability check ⁹. The bank should still test the client's VA knowledge ¹⁰.

Revenue levers

- A PD earns fees from clients who create or redeem through it, and may earn a spread on the VAs it delivers. CONCEPT
- A custodian earns a yearly fee on the fund's net asset value (NAV), the value of its assets minus its liabilities. CONCEPT
- A distributor earns brokerage on ETF trades and may share in fund fees. CONCEPT
- Staking may add a further source of revenue. The SFC may let VA funds stake through licensed platforms or banks, with its prior approval ¹¹.
- Fund reports should disclose staking revenue and the direct and indirect costs of staking ¹².

Cost and capital drivers

- Custody controls: custodians should keep most fund VAs in cold wallets (keys held offline) ¹³. Seeds and private keys (the secrets that control the assets) should be stored securely in Hong Kong ¹⁴.
- Anti-money laundering (AML): firms handling in-kind VA subscriptions should hold the VAs only at licensed platforms or banks ¹⁵. They should follow Chapter 12 of the SFC AML guideline on those transfers ¹⁶.
- Notice: firms should tell the regulators before first letting clients subscribe or redeem with VAs ¹⁷.
- Capital: a bank's own spot bitcoin position is a cryptoasset exposure. A bank taking its first position in a new type of cryptoasset must notify the HKMA ¹⁸. Group 2b cryptoassets take a 1,250% risk weight ¹⁹. The minimum total capital ratio is 8% ²⁰. So $1,250\% \times 8\% = 100\%$: at the minimum, the bank holds capital equal to the whole exposure.
- Product limits: eligible VAs are only those the Hong Kong public can trade on licensed platforms ²¹. Funds should not take leveraged VA exposure at fund level ²².

Official signals

- The SFC began taking applications for VA futures ETFs in October 2022 ²³.

- Three VA futures ETFs listed in early 2023²⁴. The first six spot VA ETFs, from three fund companies, followed within months of the December 2023 circular²⁴.
- At end-2025, 11 VA spot ETFs were listed in Hong Kong²⁵. Their market value was over HK\$5.4 billion, up 142% since launch²⁵.
- The 2026 Policy Address states that the SFC will revise its codes in late 2026, in the fourth quarter, to encourage new fund products²⁶.

Industry benchmarks

- China Asset Management (Hong Kong) published key facts for its ether ETF in April 2026 (Hong Kong, reported). They show ongoing charges of 1.68% a year, based on 2025 costs²⁷. Its management fee is 0.99% a year²⁸.
- The same document caps the custody and admin fee at 1% of NAV a year, with a monthly minimum of up to US\$5,000²⁸.
- Bosera Asset Management (International) filed a prospectus in March 2026 for its Hong Kong bitcoin ETF (Hong Kong, reported). In that filing, the fund sets a transaction fee of up to US\$350 per creation or redemption application²⁹. The filing says the PD pays that fee to the fund's custodian²⁹.
- Coinbase, a crypto firm, ran a survey of 352 institutional investors in January 2025 (global, mostly US and Europe)³⁰. Coinbase ran it with EY-Parthenon, part of Ernst & Young (EY)³⁰. In that 2025 survey, 60% said they prefer crypto exposure through registered vehicles, such as exchange-traded products including ETFs³¹.

Analysis

ANALYSIS — NOT OFFICIAL

Question: Which ETF role gives a bank the steadiest income for the capital and controls it needs?

How to think about it:

- List each role: PD, custodian, trading counterparty and distributor. Each has a different income source and cost base.
- Custody income grows with fund size, while PD income grows with creation and redemption activity.
- In-kind dealing means holding VAs, which brings the Group 2b capital charge¹⁹. Dealing only in cash avoids holding VAs, but the bank then misses in-kind business.

What it depends on: fund flows; fee pressure from fund managers; the capital cost of holding VAs; custody readiness under HKMA standards.

Official signposts: SFC rules on who may act as PD⁴; the staking approval route for funds¹¹; the product code revision planned for late 2026²⁶.

What this is not: Not a forecast, not advice, and not the regulator's view.

Read next

- Module C2 VA funds and ETFs
- Module C1 Selling, dealing and advising on virtual assets
- Module C3 Custody of digital assets and key management
- Module D1 Capital and prudential treatment of cryptoassets
- Module B1 Your bank's legal status for digital assets
- Project profile: ASPIRe: the SFC's virtual-asset roadmap
- Business line: Virtual-asset custody

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BUSINESS LINE · FINANCE · TRADE

Virtual-asset financing and margin

IN FORCE

A bank lends to its margin clients so they can buy virtual assets, and may accept some virtual assets as collateral. ¹

At a glance

Item	Detail
Bank role	Lender to its own dealing clients
Client segments	Private banking, retail, corporate
Value chain	Finance, Trade
Regulatory gate	A registered institution (RI) that already offers virtual asset (VA) dealing and securities margin financing ²
Status as of 25 Sep 2026	In force ³
Related modules	C6, C1, D1, C7, B3
Related cases	Case 6: Stopping a product

What the bank does

- Since 27 May 2026, the Hong Kong Monetary Authority (HKMA) allows registered institutions that provide VA dealing to offer VA financing. They are expected to meet standards similar to those of the Securities and Futures Commission (SFC). ³
- Before this change, intermediaries could not lend clients money to buy virtual assets. ⁴
- The bank lends based on the client's financial capability and the securities or VA collateral the client posts. ⁵
- Only the bank's existing securities margin clients can borrow. ⁶
- The bank should first weigh carefully whether relying on VA collateral is prudent. ⁷ If it does, it should accept only bitcoin, ether and Relevant Stablecoins. These are stablecoins issued under an HKMA licence. ⁸
- Since 2022 the HKMA has said it does not, for now, intend to stop banks lending against virtual assets. This rests on adequate risk controls being in place. ⁹

Revenue levers

- Clients pay interest on the loan, usually set as a margin above the bank's own funding cost. CONCEPT
- Borrowed money lets clients trade more, which can add dealing commission for the same bank. CONCEPT
- The SFC says financing lets margin clients with strong credit and collateral trade more, which can improve market liquidity. ¹⁰
- The bank is not expected to raise a client's credit limit just because VA financing is now available. ¹¹

Cost and capital drivers

- The haircut on bitcoin and ether collateral should be 60% or more. A haircut is a cut to the collateral's value for lending. ¹² So HK\$100 of bitcoin counts as no more than HK\$40 of collateral value. ¹³
- Loans backed only by virtual assets must be treated as clean (unsecured) loans. This is because the Banking (Capital) Rules do not recognise VA collateral. ¹⁴
- The bank should not repledge or reuse VA collateral, except to enforce it when a client defaults. ¹⁵ Repledging means a lender reuses collateral to raise its own funding. CONCEPT
- If the bank counts a client's VA holdings as wealth, its review should cover seven risk factors. These include sudden price gaps, and prices moving closely with share prices in stressed markets. ¹⁶
- The bank should track VA collateral prices in real time. It should also keep a plan for a platform outage. ¹⁷
- HKMA liquidity rules treat cash loans secured on cryptoassets in line with similar transactions. ¹⁸

Official signals

- The SFC called VA financing a first step under Pillar P (Products) of its virtual-asset roadmap (ASPIRe). ¹⁰
- The roadmap lists margin financing and VA borrowing and lending among ideas the SFC plans to explore or consider. ¹⁹
- The SFC plans to consult on capital rules for VA activities, including financing, and gives no date. Until then, SFC-licensed brokers give VA collateral a 100% haircut in their capital calculations. ²⁰
- The HKMA may revise the haircut with prior notice. It sets no number for Relevant Stablecoins. ¹²
- The SFC's framework for perpetual contracts (futures with no end date) on trading platforms says they should be offered only to professional investors. ²¹ Margin should be cash, or HKMA-regulated stablecoins or tokenised deposits. ²²

Industry benchmarks

- A September 2022 study by the Basel Committee on Banking Supervision (BCBS), a global standard setter, covered 19 banks at end-2021.²³ Its "holdings and lending" category, which includes lending to crypto firms, made up about 4% of their reported crypto exposures.²³ This is reported data from a small global sample, with no Hong Kong split.

No reliable industry benchmark was found for Hong Kong.

Analysis

ANALYSIS — NOT OFFICIAL

Question: How much lending does a client's bitcoin support, and what does that lending cost the bank in capital?

How to think about it: Look at two tests side by side. The collateral test sets how much the bank can lend after the haircut. The capital test asks how much capital each loan uses. A loan backed only by virtual assets counts as unsecured for capital.

¹⁴ So the mix of securities and VA collateral in each account shapes the return on capital. For example, HK\$10 million of bitcoin would count as at most HK\$4 million of collateral, and a loan against it alone counts as unsecured (illustrative).

What it depends on: Demand among existing margin clients. The share of VA collateral against securities. How fast prices move and margin calls are met. Any change to the haircut or to capital rules.

Official signposts: Any HKMA revision of the haircut.²⁴ The SFC's capital consultation.²⁰ The SFC's work on VA borrowing and lending.²⁵

What this is not: Not a forecast, not advice and not the regulators' view.

Read next

- Module C6 Financing, shared order books and client withdrawals
- Module D1 Capital and prudential treatment of cryptoassets
- Module C1 Selling, dealing and advising on virtual assets
- Project profile: ASPIRe: the SFC's virtual-asset roadmap
- Case 6: Stopping a product
- Business line: Virtual-asset dealing

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Notes

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CASE STUDIES

Six case studies

Fictional cases. All people and firms are invented. Facts about Hong Kong rules are real and cited.

CASE STUDY · FICTIONAL

Case 1: Virtual-asset custody for private banking

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

Harbourlight Bank is a fictional Hong Kong bank with a private bank for wealthy clients. Several clients already hold bitcoin and ether, two kinds of virtual asset (VA), with outside firms. They ask Harbourlight to hold these assets for them, next to their other investments. The head of private banking wants to launch a custody service within a year.

You lead digital-asset compliance. The chief executive asks you to bring three decisions to the executive committee: how to run the service, how to price it, and how to cover losses. Harbourlight is also a registered institution (RI), a bank registered with the Securities and Futures Commission (SFC) for securities business.

Cast

- **You:** head of compliance, digital assets.
- **Ines Quaymark:** chief executive (CEO). She wants a clear yes or no by year end.
- **Tobias Lanternwick:** chief financial officer (CFO). He owns the profit and loss account (P&L), the record of income and costs.
- **Priya Harbourfen:** chief risk officer (CRO). She sets how much risk the bank is willing to take (its risk appetite).
- **Declan Tidemere:** head of private banking. His clients are asking for the service.
- **Kestrel Custody Tech:** a fictional vendor selling key-management systems.
- **The supervisor:** the bank's Hong Kong Monetary Authority (HKMA) case team. It acts only as the HKMA's published expectations describe.

Exhibit A: the rules that apply

- A bank that plans to offer digital-asset custody should discuss it with the HKMA first. It should show the HKMA that it meets the expected standards ¹.
- The bank should keep client assets, and the wallet addresses that hold them, apart from its own. This protects them from the bank's creditors ².
- For client virtual assets, the HKMA expects 98% to sit in cold storage, meaning with keys kept offline ³.
- The bank should generate, store and back up private keys (the secret codes that move assets) in Hong Kong ⁴.
- The bank is expected to be liable for client losses from incidents it causes. It should hold adequate financial resources, which may include insurance ⁵.
- The bank should disclose its fees, and any insurance or compensation cover, clearly to clients ⁶.
- As a general principle, the bank may delegate VA custody only to three kinds of firm ⁷. They are another bank or a local bank's subsidiary, an SFC-licensed platform, or an HKMA-licensed stablecoin issuer for its own coins with HKMA consent ⁷. Final responsibility stays with the bank ⁸.
- Under a planned law, banks that safekeep client VA keys would need a custody licence or registration ⁹. The Government and the SFC do not plan to treat existing VA custodians as licensed while they apply ¹⁰. The regime takes full effect on its start date ¹⁰.

Act 1: Build, delegate or wait?

Kestrel offers a full key-management system with hardware in Hong Kong. Declan prefers speed and suggests using a licensed trading platform as custodian. Priya asks whether the bank is ready for either.

Decision 1: How does Harbourlight run custody?

- **A. Build:** run its own key systems and cold storage, using Kestrel's technology.
- **B. Delegate:** appoint an SFC-licensed platform or another bank to hold the assets, with Harbourlight as the client-facing custodian.
- **C. Wait:** offer VA exposure only through exchange-traded funds (ETFs) for now, and revisit custody once the new licensing law is clearer.

Discussion notes

- **Trade-offs.** Option A gives control of the client experience and the key controls, at a high fixed cost. Option B is faster and needs less upfront spending, but makes the bank depend on another firm. Option C avoids new custody risk and leaves client demand unmet.
- **What the rules require.** Delegation of VA custody is limited to three kinds of firm ⁷. The bank keeps ultimate responsibility for anything it delegates ⁸. Before choosing a delegate, the bank is expected to check its finances, skills, technology and

ability to meet the standards ¹¹. Under the planned licence, faster approval is to go to banks that the HKMA has already assessed for custody and that already provide it ¹².

- **What a strong answer covers.** It compares the fixed cost of Option A with the fee paid to a delegate in Option B. It asks who holds the keys in each option, because the planned licence depends on who safekeeps client keys. It sets out the timing risk for Option C if the licence starts before the bank is ready.
- **Traps.** Treating delegation as handing over the risk. Assuming existing custodians are treated as licensed while they apply. The Government and the SFC do not plan to treat them that way ¹⁰. Forgetting that providers who do not contact the regulators before applying may face business disruption ¹³.

Act 2: What to charge

Tobias asks for a pricing model before any spending. Declan fears that a visible fee may send clients back to outside firms. Kestrel's pricing is a yearly licence plus a charge per wallet.

Decision 2: How does Harbourlight price custody?

- A. A yearly fee as a percentage of assets held, with a monthly minimum per client.
- B. No custody fee. The bank earns from dealing, lending and other services to the same clients.
- C. A lower percentage fee, plus separate charges for each withdrawal or transfer out.

Discussion notes

- **Trade-offs.** Option A matches income to the value held and to the cost of safekeeping. Option B makes custody a feature, not a profit line, and depends on other income from the same clients. Option C keeps the advertised fee low and charges for the actions that cost the bank most.
- **What the rules require.** Fees and costs of custody belong in the client disclosure ⁶. Before a client buys VA-related products, such as VA funds, the bank should check the client's knowledge of virtual assets ¹⁴. Institutional and qualified corporate professional investors are exempt from this test ¹⁴. Each regulated activity needs at least two executive officers (senior staff who supervise the activity), approved in writing by the HKMA ¹⁵.
- **What a strong answer covers.** It sets the fee against a full cost base: keys, monitoring, audit and insurance. It tests Option B by listing the other income that custody makes possible. It checks whether charges in Option C are clear enough for clients to compare.
- **Traps.** Pricing only against fund fees. China Asset Management (Hong Kong) published a key facts statement in April 2026 for its Hong Kong ether fund ¹⁶. It reported that the fund pays up to 1% of fund value a year for custody and administration together ¹⁶. That fee covers fund services as well, so it is not a private-bank price ¹⁶. Another trap is ignoring the round-the-clock security monitoring the HKMA expects ¹⁷.

Act 3: Covering losses

Priya asks what happens if a hacker drains a wallet. Tobias asks how much capital the service uses. Kestrel says insurers will quote only after a security review.

Decision 3: How does Harbourlight cover potential losses?

- A. Buy insurance to cover a set share of client assets, higher for online (hot) wallets than for cold storage.
- B. Self-insure: set aside the bank's own financial resources to cover losses, with no outside policy.
- C. Mix: insurance for hot wallets, and the bank's own resources for cold storage.

Discussion notes

- **Trade-offs.** Option A moves part of the loss to an insurer, for a yearly premium. Option B avoids premiums but keeps the whole loss with the bank. Option C spends premiums where the risk of theft is higher.
- **What the rules require.** The bank is expected to be liable for losses it causes and to have adequate financial resources, which may include insurance ⁵. That paragraph sets no fixed share of cover ⁵. The planned minimum capital for new custodians does not apply to banks, because HKMA capital rules already apply ¹⁸. Rules applying the Basel standard (the global bank capital standard) for banks' cryptoasset exposures have been in force in Hong Kong since 1 January 2026 ¹⁹. They amended the banking capital, disclosure and exposure-limits rules ¹⁹.
- **What a strong answer covers.** It separates client assets from the bank's own positions, because custody standards cover assets held for clients, not the bank's own ²⁰. It checks whether the bank ends up holding VAs of its own, for example while settling trades. It explains the cover levels to clients, as the disclosure standard expects ⁶.
- **Traps.** Copying a fund's cover level without checking the source. A Bosera Asset Management (International) prospectus for two Hong Kong funds, from March 2026, reported the cover its sub-custodian must keep ²¹. The cover is 50% of client virtual assets kept offline (cold) and 100% of those held online or elsewhere ²¹. That is one firm's contract, not an HKMA standard.

Exhibit B: illustrative P&L

Harbourlight's custody service in its third year, under each Act 1 option, in HK\$ millions. The numbers are invented to show the shape of each P&L. They are not estimates of any market or firm. Net contribution is income minus the costs of running the service.

Line (HK\$ million, year 3)	A: Build	B: Delegate	C: Wait (ETFs only)
Custody fees from clients	10	10	0
Other income from the same clients	5	5	2
Fee paid to the delegated custodian	0	-5	0
Technology, keys and monitoring	-6	-1	0
Insurance and loss provisions	-2	-1	0
Compliance and control staff	-3	-2	-1
Net contribution	4	6	1

(illustrative)

What this case teaches

- Custody is mainly about controls. In Exhibit B, most costs come from key safety, monitoring and loss cover.
- Delegation changes costs, not responsibility. The bank still answers for the delegate ⁸.
- A custody fee either covers the full cost of the service, or the bank relies on other income from the same clients.
- Loss cover is a choice about who bears a hack: the insurer, the bank or both.
- The timing of the planned custody licence affects every option ²².

Modules to revisit

- Business line: Virtual-asset custody
- Business line: Virtual-asset distribution and brokerage
- Module C3 Custody of digital assets and key management
- Module C1 Selling, dealing and advising on virtual assets
- Module D1 Capital and prudential treatment of cryptoassets
- Module F2 How regulation writes the P&L
- Module F5b Running the business: operations and control

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Notes

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CASE STUDY · FICTIONAL

Case 2: Tokenised deposits for corporate treasury

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

A tokenised deposit is an ordinary bank deposit recorded as a token on a shared digital ledger. CONCEPT The Hong Kong Monetary Authority (HKMA) started EnsembleTX (the real-value pilot of Project Ensemble) on 13 November 2025. ¹ Its first uses include managing liquidity and treasury needs in real time. ² The HKMA invites anyone with a real-value use for tokenised deposits to take part. ³

In June 2026 the HKMA held a seminar on tokenisation for corporate treasurers. ⁴ It said it would follow up with corporate treasury centres (CTCs) that showed interest. ⁵ Each of these centres is a company unit that manages cash for a whole group.

CONCEPT

Saltmarsh Harbour Bank is a fictional, mid-sized Hong Kong bank. It does not yet offer tokenised deposits. Its largest corporate client, the fictional Pemberwick Tidewater Group, runs its Asian cash from a treasury centre in Hong Kong. The group wants to move cash between its companies at any hour. It asks whether Saltmarsh can do this with tokens. You are head of compliance for digital assets. The chief executive asks you to steer the proposal.

Cast

- **You:** head of compliance (digital assets).
- **Imogen Quillbrook:** chief executive (CEO). She wants to keep Pemberwick's business.
- **Barnaby Saltglen:** chief financial officer (CFO). He owns the profit and loss account (P&L), the record of income and costs.
- **Petra Tidewhistle:** treasurer. She runs asset-liability management (ALM): matching the bank's funding to its loans and investments.
- **Gideon Harrowmere:** chief risk officer (CRO).
- **Nadia Lanternby:** head of corporate banking. She owns the client relationship.
- **Brightspar Ledger Works:** a fictional vendor selling a ready-made token platform.
- **The supervisor:** the bank's HKMA case team. It acts only as the HKMA's published expectations describe.

Exhibit A: the rules that apply

- When customers place tokenised deposits, the HKMA says banks should also meet its standards for tokenised products. ⁶
- Those standards expect due diligence on vendors, such as tokenisation platform providers. ⁷
- They expect clear disclosure of risks, including doubt about when settlement becomes final. ⁸
- Before starting, a bank is expected to have controls in place and discuss the plan with the HKMA. ⁹
- The HKMA's liquidity guidance says when a bank that issues qualifying tokens may count them as deposits or unsecured funding. ¹⁰
- The HKMA's note on distributed ledger technology (DLT) expects the board and senior management to own DLT risks in full. ¹¹ The note is non-binding. ¹²
- The Supervisory Incubator for DLT lets a bank check its risk controls with a dedicated HKMA team before a full launch. ¹³

Act 1: Is there real client demand?

Nadia says Pemberwick is keen. Barnaby asks whether one client makes a product. Petra notes that Pemberwick already sweeps cash each evening through normal accounts.

Decision 1: Which first use does the proposal put forward?

- **A.** Round-the-clock cash moves between Pemberwick's own companies, all banking with Saltmarsh.
- **B.** Paying for tokenised money market fund (MMF) trades, where corporate cash sits between uses. An MMF invests in short-term, low-risk debt. CONCEPT
- **C.** No product yet: join the HKMA's follow-up with CTCs and survey ten corporate clients first.

Discussion notes

- **Trade-offs.** Option A serves a named client fast, but only inside one bank. Option B matches an initial EnsembleTX focus, but needs fund partners. Option C builds evidence and delays income.
- **What the rules require.** EnsembleTX's first focus covers both tokenised MMF deals and real-time treasury uses. ² Interbank settlement of these deals first runs through the Hong Kong dollar Real Time Gross Settlement (RTGS) system. ¹⁴ The HKMA plans settlement in central bank digital currency (CBDC) and 24/7 running of EnsembleTX by around end-2026. ¹⁵ The HKMA has noted bank views that tokens usable only in one bank's network add less value for clients. ¹⁶

- **What a strong answer covers.** It asks what Pemberwick cannot do today, and what that gap costs the client. It separates one client's request from a segment's demand. It checks which uses need other banks to connect.
- **Traps.** Treating a seminar audience as signed clients. Treating the pilot as a finished rulebook. Pricing only for Pemberwick.

Act 2: What happens to the balance sheet?

Barnaby hopes tokenised balances count as sticky funding. Petra warns that the liquidity treatment depends on the design. The liquidity coverage ratio (LCR) checks that a bank holds enough easy-to-sell assets to cover a short stress. CONCEPT

Decision 2: How does the token design treat holders?

- **A. Closed design:** only checked Saltmarsh clients can hold tokens, and the bank knows every holder at all times.
- **B. Open design:** tokens can pass to parties the bank cannot always identify, to reach more users.
- **C. Payments design:** tokens exist mainly to make payments within a client's operating account relationship.

Discussion notes

- **Trade-offs.** Option A keeps control and limits reach. Option B widens reach and loosens knowledge of who holds the tokens. Option C fits treasury use and ties balances to day-to-day payments.
- **What the rules require.** The guidance covers tokens issued by a bank that is subject to the LCR (a "category 1 institution").¹⁰ The tokens are a legally binding claim on the bank, and holders can redeem them in fiat money (ordinary government-issued currency) at face value.¹⁰ Their value is kept stable by the bank's own credit, not by a separate pool of assets.¹⁰ Such a bank may treat the tokens as deposits or unsecured funding, subject to conditions.¹⁰ It must set their maturity by the date holders first gain the right to redeem.¹⁰ If the bank can identify holders at all times, outflow rates must follow the earliest redemption date and the holders' type.¹⁰ Even then, the bank must not count the tokens as stable funding from retail or small business customers.¹⁰ If the bank cannot identify holders at all times, it must treat the tokens as other unsecured wholesale funding.¹⁰ For tokens used mainly for payments within an operational relationship with wholesale clients, the guidance says the operational deposit rules should be followed.¹⁰ A bank holding another bank's qualifying tokens must treat them like unsecured loans to financial institutions.¹⁷
- **What a strong answer covers.** It models each design's outflow treatment with Petra before pricing. It checks whether balances are new money or moved from existing accounts. It asks how net interest margin changes: the gap between what the bank earns on funds and what it pays depositors. CONCEPT It links identity checks to the liquidity result.
- **Traps.** Assuming tokens count as retail deposits. Counting moved balances as new funding. Forgetting the bank's own holdings of other banks' tokens.

Act 3: Build, buy or partner?

Brightspar offers its platform with a discount for a signature this quarter. Gideon asks who controls changes to the ledger. Imogen asks how fast the bank can go live. The supervisor expects a discussion before any launch, as the HKMA's circular sets out.⁹

Decision 3: How does Saltmarsh deliver the service?

- **A. Build its own platform and connect it to EnsembleTX.**
- **B. License Brightspar's platform and run it under the bank's name.**
- **C. Partner with a larger fictional bank, Corvid Point Bank, that already issues tokenised deposits, and refer clients there for now.**

Discussion notes

- **Trade-offs.** Option A gives most control and costs most time and money. Option B is faster and adds reliance on one vendor. Option C costs least, and the deposits sit with another bank.
- **What the rules require.** The tokenised-products circular expects checks on vendors' track record, systems and controls.⁷ A bank issuing tokens itself should take those vendor checks into account.¹⁸ The DLT note expects the bank to update technology risk, continuity and outsourcing policies.¹¹ It says shared ownership of a solution could affect a bank's control over changes.¹⁹ It expects the bank to judge whether node operators, the firms that confirm ledger entries, are reliable.²⁰ It advises banks to consider widely accepted technical standards so systems can link to others.¹⁶ The Incubator offers optional live trials, and the HKMA judges any supervisory flexibility case by case.²¹
- **What a strong answer covers.** It compares control, speed and cost for each option. It names who fixes the platform in an outage, at any hour. It tests the vendor's deadline against the board and supervisor timetable. It sets an exit plan for each option.
- **Traps.** Letting a discount set the timetable. Treating a vendor's controls as the bank's own. Reading Incubator entry as approval to launch.

Exhibit B: illustrative P&L

Year-three view of each Act 3 option, in HK\$ millions. The numbers are invented to show the shape of each P&L. They are not estimates of any market or firm.

Line (HK\$ million, year 3)	A: Build	B: License vendor	C: Partner
Net interest income on token balances	20	20	0
Less: income on balances moved from old accounts	-10	-10	0
Treasury service fees	10	10	2
Referral fees from partner	0	0	3
Technology build, run and licences	-12	-8	-1
Compliance and control staff	-4	-4	-1
Net contribution	4	8	3

(illustrative)

What this case teaches

- EnsembleTX is a pilot with stated plans, not a finished rulebook. ²²
- The token's design sets its liquidity treatment. ¹⁰
- Vendor checks stay with the bank that serves the customer. ⁷
- Balances moved from old accounts are not new income. CONCEPT
- Control, speed and cost pull in different directions in build, buy and partner choices. CONCEPT

Modules to revisit

Some of these pages also cover the Securities and Futures Commission (SFC) and foreign exchange (FX).

- Module B2 Engaging the HKMA and SFC
- Module B3 Governance, risk and technology expectations
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module D1 Capital and prudential treatment of cryptoassets
- Module E2 Wholesale money, CBDC and cross-border projects
- Module F2 How regulation writes the P&L
- Business line: Tokenised deposits and payments
- Business line: Cross-border payments, FX and mBridge
- Project profile: Project Ensemble
- Project profile: Supervisory Incubator for DLT

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CASE STUDY · FICTIONAL

Case 3: The reserve bank that also sells the coin

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

Gullstone Quay Bank is a fictional, mid-sized Hong Kong bank. It is a registered institution (RI), meaning a bank registered with the Securities and Futures Commission (SFC) for securities business. Driftmoth Digital Money Limited is a fictional stablecoin issuer licensed by the Hong Kong Monetary Authority (HKMA). A stablecoin is a token meant to keep a steady value against a currency. Driftmoth plans a Hong Kong dollar coin.

Driftmoth asks Gullstone for two things. First, hold a large part of its reserves (the assets that back every coin) as deposits. Second, sell the coin to Gullstone's clients. You are head of compliance (digital assets). The chief executive (CEO) wants one joined-up answer by the next board meeting.

Cast

- **Marisol Mistlecove, CEO.** Sees a new deposit source and a new product in one deal.
- **Arlo Quayburrow, chief financial officer (CFO).** Owns the funding plan and the profit and loss (P&L) account.
- **Greta Gullwick, chief risk officer (CRO).** Owns liquidity and concentration limits.
- **Dorian Driftholme, head of wealth.** Wants to offer the coin to retail and private banking clients.
- **Driftmoth Digital Money Limited.** The fictional licensed issuer and prospective client.
- **Brightkeel Analytics.** A fictional vendor selling blockchain monitoring tools.
- **The supervisor.** The HKMA case team. It acts only as its published guidance says.
- **You.** Head of compliance (digital assets).

Exhibit A: the rules that apply

As of 25 Sep 2026.

- Reserve assets should be held in listed forms. ¹ These include cash, bank deposits with a term of up to three months and certain short-dated public-sector debt. ¹
- An issuer should appoint qualified custodians for its reserves. Each custodian should be either a licensed bank or another custodian that the HKMA accepts. ²
- Reserves should sit under trust arrangements that keep them apart from the issuer's own assets. ³
- In June 2026 the Government said HKMA rules have issuers place eligible reserve assets with banks in Hong Kong. ⁴
- Holders must be able to redeem at par (face value). ⁵ Valid requests should be processed within one business day unless the HKMA approves otherwise. ⁶
- An issuer should set internal limits on its credit exposure to each counterparty, including banks holding its reserves. ⁷ Its liquidity planning should weigh deposit terms, early withdrawal options and concentration. ⁸
- Authorized institutions (banks) are one of five kinds of "permitted offerors". They may offer licensed coins to retail and professional investors. ⁹
- An issuer using outside distributors should check they are permitted offerors and should assess their governance and controls. ¹⁰
- For a bank's customers that are virtual asset service providers (VASPs), the HKMA expects a risk assessment of each one. ¹¹ Depending on the relationship, a bank may need extra checks on the firm's business, its licence status and its anti-money laundering (AML) controls. ¹¹
- The HKMA asks banks to discuss virtual asset plans with it before launch. ¹²

Act 1: How much of the reserve to take

Driftmoth wants to place most of its reserve with Gullstone as call deposits (money it can withdraw on demand). Arlo likes the balance. Greta notes that one client would then be the bank's largest depositor. Every redemption pulls money out of the same account.

Decision 1: On what terms does Gullstone take the reserve deposits?

- **A.** Take the whole amount on call, at a low rate, and hold matching liquid assets.
- **B.** Take a capped share, split between call money and term deposits of up to three months.
- **C.** Decline the deposits and offer only the distribution service.

Discussion notes

- Trade-offs. Option A brings the largest balance but the most run risk. Option B earns less on paper but may be steadier. Option C avoids concentration but may weaken the case for the distribution deal.
- What the rules require. Reserve deposits should have a term of no more than three months ¹. Driftmoth itself should set and enforce limits on its credit exposure to each bank ⁷. Those limits could rule out placing the whole reserve with one bank.
- Redemption pace matters. The HKMA expects Driftmoth to process valid requests within one business day, unless it approves otherwise ⁶. A strong answer asks whether Gullstone's liquidity plan can match that pace.
- A strong answer covers the trust structure. The reserve belongs under a trust for holders, not in Driftmoth's own account ³.
- A strong answer also tests a stress day, such as a large redemption wave alongside a market shock CONCEPT.
- Trap: treating the reserve as sticky retail money. It behaves more like wholesale funding from one client CONCEPT.

Act 2: Driftmoth as a client

Brightkeel pitches a monitoring tool that traces coin transfers on the blockchain. Dorian says onboarding is a formality because Driftmoth is licensed. You are less sure.

Decision 2: How does Gullstone onboard Driftmoth?

- A. Onboard with standard corporate checks, relying on the HKMA licence.
- B. Onboard with the extra checks used for VASPs, plus blockchain monitoring from Brightkeel.
- C. Onboard for the reserve account only, and keep payment flows out until controls are tested.

Discussion notes

- Trade-offs. Option A is fast and cheap. Option B costs more but gives a fuller picture. Option C limits risk but also limits income.
- What the rules require. The HKMA expects a risk-based assessment for VASPs that bank with it ¹¹. Depending on the relationship, extra checks may cover the firm's business model, licence status and AML controls ¹¹.
- Driftmoth has its own duties. The HKMA expects it to check customers before an occasional transaction of HK\$8,000 or more, such as an issue or redemption ¹³. When it sends a stablecoin transfer of HK\$8,000 or more, it must first obtain and record the required details on the sender and recipient ¹⁴.
- Ongoing monitoring counts too. The HKMA expects banks to watch for frequent transfers to or from virtual asset platforms ¹⁵. Where there are grounds for suspicion, banks should file a suspicious transaction report ¹⁵.
- A strong answer asks what a licence proves and what it does not. A licence shows the issuer met the licensing tests. It does not replace the bank's own view of risk CONCEPT.
- A strong answer also tests the vendor. The questions cover data coverage, false alerts and exit terms CONCEPT.
- Trap: letting the value of the deal set the risk appetite.

Act 3: Selling the coin

Dorian wants to sell the coin to all wealth clients at launch. In April 2026 the HKMA linked launch timing to the issuers' own business plans. ¹⁶ The supervisor has asked banks to discuss virtual asset plans with it before launch. ¹² Gullstone books a meeting to hear the supervisor's feedback on its controls.

Decision 3: How does Gullstone launch distribution?

- A. Launch to retail and private banking clients at once, using stablecoin-only accounts.
- B. Launch to professional investors first, then widen after a review.
- C. Offer the coin only through an omnibus account (one pooled account) at a licensed trading platform.

Discussion notes

- Trade-offs. Option A reaches the most clients and brings the most conduct risk. Option B is slower but lets controls settle. Option C uses the platform's systems but shares the fee.
- What the rules allow. An RI need not test the virtual asset knowledge of clients in accounts limited to licensed coins ¹⁷. It should still consider each such client's reason for trading ¹⁷.
- An RI can partner with the coin's issuer or with an SFC-licensed trading platform to offer dealing in a licensed coin ¹⁸. It should disclose how the coin keeps its value and how redemption works ¹⁹.
- Timing with regulators. Intermediaries are to tell the SFC in advance, and the HKMA where relevant, before starting virtual asset activities ²⁰. The same applies to later changes, including the type of clients served ²⁰.
- A strong answer names the conflict. The bank earns on reserve deposits and on sales of the same coin. The sales team may push volume that also swells the deposit CONCEPT.
- A strong answer checks the issuer's side. The HKMA expects Driftmoth to confirm that Gullstone is a permitted offeror and to review its controls ¹⁰.
- Trap: forgetting that clients who redeem pull money from the reserve that Gullstone holds CONCEPT.

Exhibit B: illustrative P&L

Figures in HK\$ million a year. All numbers are invented to show the shape, not real prices. (illustrative)

Line	Full deposits, retail launch	Capped deposits, professional launch
Net interest on reserve deposits	40	25
Distribution fees	10	4
Cost of liquid assets held against deposits	-15	-8
Compliance, monitoring and vendor	-12	-9
Technology and operations	-8	-6
Profit before tax	15	6

(illustrative) Round numbers only. Net interest here is the gap between what the bank earns on the money and what it pays for it.

What this case teaches

- A reserve deposit is funding with a direct link to redemptions. Redemptions can pull such money out quickly CONCEPT.
- The issuer's own limits shape the deal. Driftmoth should set limits on its exposure to each bank.⁷
- A licence does not end the bank's due diligence. The HKMA expects a risk assessment for VASPs that bank with it.¹¹
- Two roles with one client create a conflict of interest CONCEPT.

Modules to revisit

Module D3 covers anti-money laundering (AML) and counter-financing of terrorism (CFT) rules.

- Module C4 Stablecoins
- Module C1 Selling, dealing and advising on virtual assets
- Module D3 AML/CFT for digital assets at a bank
- Module D1 Capital and prudential treatment of cryptoassets
- Business line: Stablecoin roles for banks
- Business line: Banking the digital-asset industry

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CASE STUDY · FICTIONAL

Case 4: The night the hot wallet emptied

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

Lanternway Exchange Limited is a fictional virtual asset trading platform (VATP) licensed by the Securities and Futures Commission (SFC). A virtual asset is a digital token, such as a cryptocurrency. You joined Lanternway as chief operating officer (COO) a year ago.

At 3am on a Saturday, monitoring flags large transfers out of one hot wallet (a wallet whose keys are online). Within 40 minutes the wallet is empty. The loss is tokens worth about HK\$80 million (illustrative). Early signs point to malicious code in wallet software supplied by a vendor. The cold wallets (keys kept offline) look untouched. Clients wake up to the news in a few hours.

Cast

- **Silas Emberquay, chief executive (CEO).** Wants to protect clients and the licence, in that order.
- **Oriel Saltmarch, chief financial officer (CFO).** Holds the cash, the insurance policy and the set-aside funds.
- **Kit Larkquay, Manager-in-Charge of information technology.** The senior manager in charge of technology. Leads the technical response.
- **Rhona Kelpwick, head of compliance.** Owns contact with the SFC case team.
- **Quillgate Wallet Systems.** The fictional vendor whose software was compromised.
- **Seawhistle Bank.** The fictional Hong Kong bank that holds Lanternway's client money.
- **The supervisor.** The SFC case team. It acts only as its published guidelines and circulars say.
- **You.** COO, running the response.

Exhibit A: the rules that apply

As of 25 Sep 2026, "The Guidelines" means the SFC's Guidelines for VATP operators.

- A platform should hold 98% of clients' virtual assets offline, to limit losses from hacking. ¹ The SFC may allow limited exceptions case by case. ¹
- A platform should hold an SFC-approved compensation arrangement. ² It should cover potential loss of 50% of client assets in cold storage and 100% of those in hot and other storage. ² The cover can be insurance, set-aside funds or assets, or a bank guarantee. ²
- A platform should tell clients how it will compensate them if assets are lost through hacking. ³
- If a material system failure occurs, a platform should fix it promptly. ⁴ It should also tell clients, as soon as it can, what happens to their open orders, deposits and withdrawals. ⁴
- A platform should notify the SFC immediately of material failures in its custody and other core systems. ⁵ It should send an incident report without undue delay. ⁶
- Licensed firms should promptly tell the SFC about material cybersecurity incidents. ⁷
- The Manager-in-Charge of information technology and other senior managers bear ultimate responsibility for cyber risk. ⁸
- A platform should have controls and resources that can reasonably protect clients and assets from losses through theft, fraud and other dishonesty. ⁹
- Client money should sit in segregated accounts at a Hong Kong authorized institution (a bank) or an approved overseas bank. ¹⁰

Act 1: The first three hours

Kit has isolated the affected wallet. He is not yet sure whether other hot wallets are safe. Silas asks whether to keep the platform open while the facts come in.

Decision 1: What does Lanternway do with its services before markets open?

- **A.** Suspend all deposits and withdrawals for every token, but keep trading open.
- **B.** Suspend only the affected blockchain's wallet and keep everything else running.
- **C.** Suspend trading, deposits and withdrawals until the root cause is known.

Discussion notes

- **Trade-offs.** Option A limits outflows but traps client assets on the platform. Option B keeps the business running if the attack is truly contained. Option C is the most cautious and the most costly to clients who need to trade.
- **What the rules require.** The SFC says firms should consider pre-planned ways to block malicious activity, isolate systems and restrict access fast ¹¹. The Guidelines expect immediate notice to the SFC of material custody system failures ⁵.

- The Guidelines expect clients to hear what happens to their open orders, deposits and withdrawals ⁴. The contingency plan is to include trained staff to answer clients and regulators ¹².
- A strong answer separates what is known from what is not. It names who approves each step and when the next update goes out **CONCEPT**.
- A strong answer also calls Seawhistle Bank early. A withdrawal wave hits the client money accounts first **CONCEPT**.
- Trap: waiting for full facts before telling the supervisor. The SFC expects prompt notice of material cyber incidents ⁷.
- Trap: a client message that promises an outcome the firm cannot yet confirm **CONCEPT**.

Act 2: Making clients whole

By Sunday the loss is confirmed at one hot wallet. The cold wallets are intact. Oriel has three funding sources: the insurance policy, funds set aside on trust, and Lanternway's own liquid assets. The insurer says its assessment will take weeks.

Decision 2: How does Lanternway restore affected client balances?

- A. Restore every affected balance now from set-aside funds and own assets, then claim from the insurer.
- B. Restore balances in stages as the insurer pays each part of the claim.
- C. Restore balances now, and refill hot wallets from cold storage so withdrawals can restart the same day.

Discussion notes

- Trade-offs. Option A settles clients fast but drains the company's liquid assets. Option B protects cash but leaves clients waiting. Option C restores service fastest but moves more assets out of cold storage.
- What the rules require. The compensation arrangement should cover potential loss of 100% of client assets in hot storage ². The Guidelines expect a platform to have told clients how it will compensate them for hacking losses ³.
- Cash matters too. A platform should keep liquid assets in Hong Kong equal to at least 12 months of operating costs ¹³. Paying out from own funds reduces that buffer **CONCEPT**.
- Cover after the payout. The Guidelines expect a platform to check daily that its cover still matches client assets ¹⁴. If a shortfall looks set to persist, the Guidelines expect it to notify the SFC and fix it promptly ¹⁵.
- Cold storage. The Guidelines expect a platform to keep moves out of the main cold wallet to a minimum ¹⁶.
- A strong answer ties the choice to the Guidelines' expectation that controls protect clients from losses caused by theft and fraud ⁹.
- Trap: counting the insurance claim as cash before the insurer agrees to pay **CONCEPT**.

Act 3: Rebuilding with the supervisor

Two weeks on, the root cause is clear. An attacker placed malicious code in Quillgate's software, which changed what signers saw on screen. The SFC had warned about this pattern at overseas platforms. ¹⁷ The supervisor is now reviewing Lanternway's report. Silas asks you to set the path back to normal.

Decision 3: How does Lanternway rebuild its wallet set-up?

- A. Keep Quillgate, with patched code and an independent review.
- B. Replace Quillgate with a new vendor.
- C. Build transaction signing in-house.

Discussion notes

- Trade-offs. Option A is quickest but keeps the same supplier risk. Option B brings new integration risk. Option C gives the most control but needs scarce staff and time.
- What the rules require. The Guidelines expect a strict independent cyber assessment before any platform change goes live ¹⁸. It covers wallet security and a source code review of the custody system ¹⁸.
- Change notice. The Guidelines expect a platform to tell the SFC before making technology changes that might affect operations ¹⁹.
- Supplier risk. The SFC asks firms to strengthen reviews of the third parties that support critical systems ²⁰.
- The incident report. The Guidelines list what it covers, including root cause, clients affected and steps to prevent a repeat ²¹.
- Ownership. The Guidelines expect senior management to take full responsibility for the platform's controls ²².
- A strong answer shows the supervisor a dated plan, named owners and evidence of testing **CONCEPT**.
- Trap: blaming the vendor in public. Responsibility for the controls stays with Lanternway's own senior managers ⁸.

Exhibit B: illustrative P&L

Lanternway's year, in HK\$ million. All numbers are invented to show the shape. (illustrative)

Line	Plan before the incident	Year with the incident
Trading fees	300	240
Custody and other fees	40	35
Staff and technology	-180	-200
Insurance premium	-20	-30
Incident costs (forensics, legal, client support)	0	-25
Client losses paid, net of insurance recovery	0	-10
Profit before tax	140	10

(illustrative) Round numbers only. Profit and loss (P&L) shows income less costs for the year.

What this case teaches

- Speed with regulators is part of the response. The SFC expects prompt notice of material cyber incidents. ⁷
- The 98% cold storage standard limits the damage, but not to zero. ¹
- Compensation cover is a real funding plan. The order in which each source pays out shapes the response CONCEPT.
- Vendor risk sits with the platform. The SFC listed a compromised third-party wallet solution among the weaknesses behind overseas losses. ¹⁷

Modules to revisit

- Module C7 VATP counterparties and the SFC platform regime
- Module D4 Cyber, fraud and technology risk
- Module C6 Financing, shared order books and client withdrawals
- Module C1 Selling, dealing and advising on virtual assets
- Business line: Virtual-asset dealing
- Business line: Banking the digital-asset industry

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CASE STUDY · FICTIONAL

Case 5: The board's strategic plan

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

On 9 March 2026 the Hong Kong Monetary Authority (HKMA) wrote to every authorized institution (a licensed bank or deposit-taker). ¹ It expects each board to oversee and endorse a formal strategic business plan within six months. ² The plan answers technology change, including distributed ledger technology (DLT), a shared digital record kept across many computers. ³

Lanternfield Bank is a fictional, mid-sized Hong Kong bank. It is also a registered institution (RI): a bank registered with the Securities and Futures Commission (SFC) to carry on securities business. You are its head of digital assets. The chief executive asks you to write the plan. The board meets in August, before the six-month mark.

Cast

- **You:** head of digital assets, formerly head of compliance for digital assets.
- **Ada Quillhaven:** chief executive (CEO). She wants a plan the board can act on.
- **Ravi Ledgerfen:** chief financial officer (CFO). He owns the budget and the profit and loss account (P&L), the record of income and costs.
- **Mona Brackenquay:** chief risk officer (CRO). She owns the risk appetite, the amount of risk the bank is willing to accept.
- **Leo Tidequill:** head of wealth and markets. He wants new products this year.
- **Tidewell Ledger Systems:** a fictional vendor selling a ready-made token platform.
- **The supervisor:** the bank's HKMA case team. It acts only as the HKMA's published expectations describe.

Exhibit A: the rules that apply

- The plan should look for chances to change products, revenue models, customer engagement, risk management and operations. ²
- The bank may build in small, real-world trials through the HKMA's Supervisory Incubator for DLT. ²
- The HKMA says it will invite some banks to send their plans through its Survey Tool. ²
- A bank adding new digital-asset activities is still expected to discuss them with the HKMA before launch. ²
- The board and senior management should understand firm-wide risks, especially from new activities such as cryptoassets. ⁴
- The HKMA expects the board and senior management to take full responsibility for DLT adoption and its risks. ⁵
- An RI should tell the SFC and the HKMA before it starts or changes any virtual-asset (VA) activity, including the client types it serves. ⁶

Act 1: What is the plan for?

At the first working meeting, views split. Leo wants a digital-assets product plan. Mona wants a risk document. Ada notes that the circular also names agentic artificial intelligence, cloud and high-performance computing. ¹

Decision 1: How wide does the plan reach?

- **A.** A bank-wide plan covering every technology the circular names, with digital assets and DLT as one chapter.
- **B.** A plan for digital assets and DLT only, owned by your team.
- **C.** A short statement of principles now, with a detailed plan after new VA laws pass.

Discussion notes

- **Trade-offs.** Option A spreads ownership across many business heads, which is slower to write. Option B is faster and deeper, but covers fewer technologies than the circular names. Option C saves effort now and leaves the detail open.
- **What the rules require.** The HKMA expects a formal plan, endorsed by the board within six months. ² The circular frames the plan around products, revenue models, customer engagement, risk management and operations. ² The circular also describes banks as a potential link between traditional finance and digital-asset markets. ³
- **What a strong answer covers.** It shows how each option maps to the five areas. It says who owns each chapter and how the board tracks progress. It explains how a principles paper would meet the word "formal".
- **Traps.** Treating endorsement as a one-off signature. Treating the plan as product approval: pre-launch discussion with the HKMA is still expected. ² Assuming the six-month timetable waits for new laws. The circular counts six months from its own date. ² Separately, the Government said in June 2026 that a VA bill would go to the Legislative Council (LegCo) this year. ⁷

Act 2: Which lines lead?

Ravi asks for no more than three priority lines. Tidewell offers a platform discount if the bank signs by June. You shortlist three candidates.

Decision 2: Which business line leads the plan?

- **A. Tokenised funds:** selling tokenised fund units and settling trades with tokenised deposits (bank deposits recorded as tokens).
- **B. Digital bonds:** arranging, selling and holding bonds recorded on DLT.
- **C. VA advice and discretionary management** (managing clients' VA portfolios for them), once the new SFC regimes start.

Discussion notes

- **Trade-offs.** Option A builds on existing fund sales and the deposit base. Option B earns issuer fees and suits corporate clients. Option C is closest to wealth clients but depends on laws not yet passed.
- **What official sources say (A).** The SFC expects sellers of tokenised SFC-authorised products to be regulated firms that check each client's suitability. ⁸ In March 2026 the public in Hong Kong could buy 13 tokenised products. ⁹ Their tokenised classes held about HK\$10.7 billion. ⁹ EnsembleTX (the HKMA's live pilot for tokenised deposits) first targets tokenised money market fund trades. ¹⁰
- **What official sources say (B).** The 2026 Policy Address says Hong Kong-issued digital bonds made up nearly 50% of the global market. ¹¹ That share covers the period from January 2025 to June 2026. ¹¹ The Digital Bond Grant Scheme offers up to HK\$2.5 million per eligible issue. ¹² The SFC reminds intermediaries to check the issuer and its tokenisation vendors. ¹³
- **What official sources say (C).** Under the December 2025 proposals, VA advisers would need an SFC licence or registration, and only banks could register. ¹⁴ In May 2026, the Government and the SFC said they would still consider the start date for the advisory and management regimes. ¹⁵
- **What a strong answer covers.** It links each line to a named client need. It separates confirmed rules from proposals. It shows which line the bank could start under rules in force today. It tests the vendor deadline against the board timetable.
- **Traps.** Letting a vendor discount set the order of priorities. Counting grant money as recurring income. Treating consultation conclusions as law.

Act 3: How to test, and what to tell the supervisor

The board draft is nearly ready. Mona asks how the bank proves its controls work before a full launch. Ada asks what the supervisor sees, and when.

Decision 3: How does the plan move from paper to practice?

- **A.** Apply to the Supervisory Incubator and run a small live trial first.
- **B.** Hold the pre-launch discussion with the HKMA, notify the SFC, and plan a full launch.
- **C.** Endorse the plan with no launch in its first year, and review it when the VA bill passes.

Discussion notes

- **Trade-offs.** Option A adds time but tests controls on a small scale. Option B is faster to revenue and relies on controls being ready on day one. Option C keeps cost low and leaves the plan's actions thin.
- **What the rules require.** The Incubator gives banks a dedicated HKMA team for feedback and the option of live trials. ¹⁶ The HKMA assesses any supervisory flexibility case by case. ¹⁶ Its factors include the trial's scale, scope and nature. ¹⁶ Tokenised deposits were a core focus when the Incubator opened. ¹⁷ The HKMA expects a bank to get its feedback on risk controls before launching VA products. ¹⁸ Before tokenised securities work, a registered institution should notify the SFC and the HKMA. ¹⁹
- **What a strong answer covers.** It sets trial limits: client numbers, amounts and an exit plan. It names the executive who reports trial results to the board. It prepares the plan for a possible Survey Tool request. It updates technology, continuity and outsourcing policies where DLT changes them. ⁵
- **Traps.** Reading Incubator entry as approval to launch. Reading case-by-case flexibility as a waiver of rules. Forgetting that the HKMA may invite the bank to submit the plan itself. ²

Exhibit B: illustrative P&L

Year-three view of each Act 2 option, in HK\$ millions. The numbers are invented to show the shape of each P&L. They are not estimates of any market or firm.

Line (HK\$ million, year 3)	A: Tokenised funds	B: Digital bonds	C: VA advice and management
Fee income	10	15	20
Deposit income from settlement cash	10	0	0
Technology and vendor cost	-8	-6	-4

Line (HK\$ million, year 3)	A: Tokenised funds	B: Digital bonds	C: VA advice and management
Compliance and control staff	-4	-3	-8
Net contribution	8	6	8

(illustrative)

What this case teaches

- The March 2026 circular asks for a board-owned plan, not a product launch.²
- Endorsing a plan does not replace pre-launch discussion with the HKMA.²
- A plan that separates rules in force from proposals shows the board which priorities could start under today's rules **CONCEPT**.
- Incubator trials let a bank check its risk controls on a small scale before a full launch.²⁰
- Commercial choices look different when deposit income, fees and control costs sit side by side **CONCEPT**.

Modules to revisit

- Module B2 Engaging the HKMA and SFC
- Module B3 Governance, risk and technology expectations
- Module C5 Tokenisation: tokenised products, deposits and bonds
- Module E1 What's coming: the pipeline
- Module F2 How regulation writes the P&L
- Business line: Tokenised funds and money market fund settlement
- Business line: Digital bonds: arranging and custody
- Project profile: Supervisory Incubator for DLT

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CASE STUDY · FICTIONAL

Case 6: Stopping a product

Fictional case. All people and firms are invented. Facts about Hong Kong rules are real and cited.

The situation

Kittiwake Bank is a fictional Hong Kong bank. It is a registered institution (RI), a bank registered with the Securities and Futures Commission (SFC) for securities business. It holds virtual assets (VA) such as ether for private-banking clients.

Two years ago Kittiwake launched a staking service. Staking means locking client tokens so a validator can help run a blockchain and earn rewards ¹. A validator is a firm that runs the computers confirming new blocks CONCEPT. Kittiwake also lends to margin clients so they can buy virtual assets.

The staking service has lost money for four quarters. Rewards have fallen, and the bank's costs have not. The chief executive asks you to lead a review: stop, restructure or keep the service.

Cast

- **You:** head of compliance, digital assets.
- **Oona Pebblemoor:** chief executive (CEO). She wants a decision within one quarter.
- **Felix Ferrywhistle:** chief financial officer (CFO). He owns the profit and loss account (P&L), the record of income and costs.
- **Ruth Harbournlane:** chief risk officer (CRO). She owns the bank's risk appetite.
- **Sanjay Gullsby:** head of private banking. Many of his clients use the service.
- **Pebblecrest Validators:** a fictional outside firm that runs validators for Kittiwake.
- **The supervisor:** the bank's Hong Kong Monetary Authority (HKMA) case team. It acts only as the HKMA's published expectations describe.

Exhibit A: the rules that apply

- A bank offering staking should keep control of everything needed to take client assets out of staking ². Examples are withdrawal keys and exit messages signed in advance ².
- The bank should disclose fees, lock-up periods, and the unstaking process and how long it takes ³. It should also disclose the risks and how related losses would be handled ³.
- If the bank outsources staking, it should check the provider first and keep monitoring it ⁴.
- A firm that plans to stop or suspend staking should put clients' best interests at the centre of the decision ⁵. It should tell all clients the material facts about the exit, in good time ⁵. That includes the decision, the options open to clients, such as unstaking, and any material changes during the exit ⁶.
- The firm should have operating procedures for events that harm staked assets, including starting withdrawals from staking ⁷.
- Intermediaries should notify the SFC, and the HKMA where it applies, before changing their VA activities ⁸. The list includes other material changes to the arrangements first notified ⁹.

Act 1: Stop, restructure or keep?

Felix shows the numbers in Exhibit B. Sanjay argues that staking keeps custody clients at the bank. Pebblecrest offers a lower fee if Kittiwake signs a three-year contract.

Decision 1: What happens to the staking service?

- **A. Stop:** close the service to all clients and unstake every position.
- **B. Restructure:** keep the service, sign Pebblecrest's cheaper contract, raise the bank's share of rewards and support fewer tokens.
- **C. Narrow:** keep the service for institutional clients only and close it to everyone else.

Discussion notes

- **Trade-offs.** Option A ends the losses but may cost custody balances and client goodwill. Option B keeps clients and lowers costs, but ties the bank to one vendor for three years. Option C keeps the largest accounts and ends the risk acknowledgements needed from other clients.
- **What the rules require.** Any exit decision is expected to take due account of clients' best interests ⁵. Under Option B, the bank keeps checking and monitoring Pebblecrest as an outsourced provider ⁴. A higher bank share changes what clients receive. Fees, and how returns are worked out, are part of the information the bank should give clients ¹⁰. Under Option C, institutional and qualified corporate professional investors do not need to sign a risk acknowledgement, but other clients do ¹¹.

- **What a strong answer covers.** It sets out the loss for each option over two or three years, not one quarter. It counts custody fees at risk if clients leave. It weighs vendor lock-in against lower cost. It asks whether narrowing the client base is itself a change the regulators need to hear about first ¹².
- **Traps.** Judging staking as a stand-alone profit line when it partly supports custody. Treating Option C as low effort: the bank still has to exit the smaller clients fairly ⁵.

Act 2: Treating clients on the way out

The committee picks an option that closes staking to at least some clients. Ruth reminds everyone that unstaking takes time on some networks. During that wait, the assets earn nothing and cannot move.

Decision 2: How does Kittiwake take clients out of staking?

- **A. Fixed date:** unstake every affected position on one date, after written notice.
- **B. Client choice:** give clients a window to withdraw, move assets elsewhere or accept unstaking by the bank. Unstake the rest at the end.
- **C. Transfer:** offer to move staked positions to another staking provider, such as an SFC-licensed platform, for clients who agree.

Discussion notes

- **Trade-offs.** Option A is simple and quick to run, but gives clients little control over timing. Option B respects client choice but runs for longer and costs more to operate. Option C keeps clients earning rewards, but adds a new firm and a transfer process.
- **What the rules require.** The firm should tell clients the exit decision, their options and any material changes along the way ⁶. Firms should stake client assets only through an SFC-licensed platform or a bank ¹³. Before using a provider, the firm should make sure it has SFC approval or has discussed its plans with the HKMA ¹⁴. Staking should follow the client's standing authority or a one-off written direction ¹⁵.
- **What a strong answer covers.** It lists each network's unstaking period and tells clients plainly. It checks that the bank still controls the withdrawal keys and pre-signed exit messages ². It plans for a slashing event (a network penalty that takes part of the staked tokens) during the exit **CONCEPT**. It says who bears such a loss, as the disclosure standard expects ³.
- **Traps.** Assuming clients can take their assets back the next day. Moving positions under Option C without fresh client direction. Forgetting the reward payout arrangements the bank disclosed, which still apply to rewards earned before unstaking ³.

Act 3: Telling the regulators, and the sister product

Oona wants one announcement. Felix raises a second product: VA margin financing, which also lost money this year. Some staking clients use it. He asks whether to act on both at once.

Decision 3: How does Kittiwake handle notice and the financing book?

- **A.** Notify the SFC and the HKMA about the staking change before client letters go out. Review margin financing separately next year.
- **B.** Send the regulators one pack before any client letters. It covers the staking exit and a plan to accept only securities as collateral for new VA financing.
- **C.** Announce to clients first, finish the exit, then report to the regulators once it is complete.

Discussion notes

- **Trade-offs.** Option A keeps the staking exit simple and leaves the financing losses running. Option B deals with both at once but makes one larger change to explain. Option C is fastest for clients but puts the regulators after the event.
- **What the rules require.** The SFC and the HKMA remind intermediaries to notify them before changing VA activities ⁸. For VA financing, a bank should consider carefully whether relying on VA collateral is prudent ¹⁶. Loans backed only by virtual assets must be treated as clean (unsecured) loans for capital ¹⁷. The bank should not repledge or reuse VA collateral except to enforce it on default ¹⁸.
- **What a strong answer covers.** It sets out the order of events in each option and tests it against the notice expected before a change ⁸. It asks whether a change to financing collateral counts as a material change to the arrangements first notified ⁹. It shows how margin calls and limits work while collateral terms change ¹⁹. It gives existing borrowers time and clear notice.
- **Traps.** Treating notice as paperwork done after the decision. Letting the financing review delay the staking exit, or the reverse. Forgetting that financing is open only to the bank's securities margin financing clients ²⁰.

Exhibit B: illustrative P&L

Yearly view of the staking service, in HK\$ millions. The numbers are invented to show the shape of each option. They are not estimates of any market or firm.

Line (HK\$ million a year)	Today	A: Stop (exit year)	B: Restructure
Bank's share of staking rewards	4	1	5
Custody fees linked to staking clients	3	2	3
Validator and vendor fees	-3	-1	-2
Key-control systems and monitoring	-3	-2	-3
Disclosure, compliance and client service	-2	-2	-2
One-off exit costs	0	-2	0
Net contribution	-1	-4	1

(illustrative)

What this case teaches

- Stopping a product is a regulated event, not only a business choice. Clients' interests and timely disclosure shape the exit ⁵.
- Exits cost money. In Exhibit B, the exit year looks worse than carrying on.
- The unstaking wait is a client-treatment issue, not only an operations issue.
- Notice to the regulators comes before a change, not after it ⁸.
- A review of one product often exposes another. Each has its own rules.

Modules to revisit

- Business line: Staking services
- Business line: Virtual-asset financing and margin
- Module C3 Custody of digital assets and key management
- Module C6 Financing, shared order books and client withdrawals
- Module B2 Engaging the HKMA and SFC
- Module F5a Running the business: strategy and P&L
- Module F5b Running the business: operations and control

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COMPARISON · FACTS ONLY, NO RANKING

Hong Kong, Singapore and Dubai: the rules side by side

This page lets you compare, fact by fact, how three financial centres treat five digital-asset topics. It covers Hong Kong, Singapore and Dubai in the United Arab Emirates (UAE). After reading it, you can explain where the rules line up and where they differ, with the source for each point.

For general information only. Not legal or regulatory advice. Always check the official source.

How to read this page

- Each table puts one fact per cell. Every cell ends with a small source button. Tap it to see the document and the exact paragraph.
- Hong Kong facts link to official Hong Kong sources. Their buttons are solid blue.
- Singapore facts link to documents from the Monetary Authority of Singapore (MAS), Singapore's central bank and financial regulator.
- Dubai facts link to documents from the Virtual Assets Regulatory Authority (VARA), Dubai's regulator for virtual assets.
- MAS and VARA are official in their own countries, but not in Hong Kong. So their buttons have a dotted outline and start with the word *Foreign*.
- Where a source we reviewed gives no fact for a cell, the cell says *Not stated in the sources reviewed*. That does not mean no rule exists.
- Force words follow each source. *Must* or *requires* marks a binding rule. *Should* or *expects* marks guidance. *Stated target* marks a government aim.
- This page compares facts only. It does not rank the three places or say which is better.
- Hong Kong facts are as of 25 Sep 2026. MAS and VARA pages were saved on 26 Sep 2026.

Words used on this page

- **Virtual asset (VA), plural VAs:** a crypto token such as bitcoin, in the legal sense each regulator uses.
- **VA trading platform (VATP):** a Hong Kong crypto exchange holding a licence from the Securities and Futures Commission (SFC).
- **Hong Kong Monetary Authority (HKMA):** Hong Kong's banking regulator and central bank.
- **Authorized institution (AI):** a bank or deposit-taker authorized by the HKMA.
- **Registered institution (RI), plural RIs:** a bank registered with the SFC to carry on securities business.
- **Virtual asset service provider (VASP), plural VASPs:** a firm licensed by VARA for a VA activity.
- **Digital payment token (DPT):** Singapore's legal term for payment-type crypto tokens.
- **Fiat-referenced virtual asset (FRVA), plural FRVAs:** VARA's term for a stablecoin tied to a government currency.
- **Asset-referenced virtual asset (ARVA):** VARA's term for a token tied to the value of other assets.
- **Central Bank of the UAE (CBUAE):** the UAE's federal central bank.
- **UAE dirham (AED):** the UAE's currency.
- **Distributed ledger technology (DLT):** shared digital record-keeping, such as a blockchain.
- **Cold storage:** keeping the keys that move tokens on devices that are not connected to the internet.
- **Tokenisation:** recording an asset, such as a bond or a deposit, as a token on a distributed ledger.

1. Trading-platform licensing

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Who needs a licence	From 1 June 2023, a centralised VA trading platform operating in Hong Kong has had to seek an SFC licence ¹ .	MAS's 2025 media release says firms serving only customers outside Singapore have needed a digital token service provider (DTSP) licence since 30 June 2025 ² .	VARA's 2023 Regulations (version of 19 May 2025) bar any firm from carrying on a VA activity as a business in Dubai without a VARA licence, unless it is exempt ³ .
Law used	The platform licence is granted under the Securities and Futures Ordinance, the anti-money-laundering ordinance (Cap. 615), or both ¹ .	The same MAS release says firms serving customers in Singapore are regulated under the Payment Services Act 2019, the Securities and Futures Act 2001 or the Financial Advisers Act 2001 ⁴ .	VARA's Virtual Assets and Related Activities Regulations 2023 require a firm to hold a licence for each VA activity it carries on in Dubai ⁵ .
Licensing stance	Not stated in the sources reviewed.	MAS says it has set a high bar for the offshore-only DTSP licence and will generally not grant one ² .	VARA's register says a firm holding an in-principle approval (IPA), an early conditional step, may not operate or serve clients until fully licensed ⁶ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Count	The SFC list showed 13 licensed platforms at its 29 May 2026 update ⁷ .	The MAS directory showed 38 firms offering DPT services on 26 Sep 2026, all with Major Payment Institution licences (reported register count; covers all DPT services, not only exchanges) ⁸ .	VARA's public register showed 56 fully licensed VASPs on 26 Sep 2026 (reported register count; covers all VA activities, not only exchanges) ⁹ .
Minimum capital	A platform must hold at least HK\$5 million of paid-up share capital at all times ¹⁰ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Retail clients	A platform should assess each investor's VA knowledge before opening an account. Institutional investors and qualified corporate professional investors are exempt ¹¹ .	MAS's 2024 guideline on DPT service providers sets retail-specific expectations, such as limits on lending and staking retail clients' assets ¹² .	VARA's 2025 Market Conduct Rulebook lets a firm serve only the investor types VARA permits: Retail, Qualified or Institutional ¹³ .
Trading for own account	A platform should not trade VAs for its own account. The exceptions are off-platform back-to-back deals (buying and selling at the same time to fill a client order) and cases the SFC allows ¹⁴ .	Not stated in the sources reviewed.	VARA prohibits VASPs from actively investing their own or their group's portfolio; prudent treasury management is allowed ¹⁵ .
Settlement time	Not stated in the sources reviewed.	Not stated in the sources reviewed.	VARA's 2026 Exchange Services Rulebook requires final settlement within 24 hours of a trade, subject to factors outside the exchange's control ¹⁶ .
Status and as-of date	In force; SFC list as updated 29 May 2026 ¹⁷ .	DTSP rule in force from 30 June 2025, per MAS's release of 6 June 2025 ² .	Regulations version dated 19 May 2025 ¹⁸ . Register captured 26 Sep 2026 ⁹ .

2. Stablecoin regime

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Legal basis and start	The Stablecoins Ordinance (Cap. 656) came into operation on 1 August 2025 ¹⁹ .	MAS announced its finalised stablecoin framework in a media release on 15 August 2023 ²⁰ . The framework is not yet in law; the law changes to bring it in went to consultation on 1 September 2026 ²¹ .	VARA's 2025 Virtual Asset Issuance Rulebook makes issuing an FRVA a Category 1 activity that needs a VARA licence ²² .
Law change still pending	Not stated in the sources reviewed.	On 1 September 2026 MAS consulted on proposed changes to the Payment Services Act 2019 to put the framework into law ²¹ .	Not stated in the sources reviewed.
Which coins are covered	A licence is needed to issue a specified stablecoin (the kind the Ordinance covers) in Hong Kong. It is also needed to issue one anywhere that tracks the Hong Kong dollar, even partly ²³ .	The framework is for single-currency stablecoins issued in Singapore and tied to any G10 currency (a set of major world currencies) or the Singapore dollar ²⁴ .	VARA does not approve stablecoins that track the AED; those stay solely with the CBUAE ²⁵ .
Reserve backing	The market value of reserves must always be at least the par value (face value) of coins in circulation ²⁶ .	The framework sets requirements on the make-up, valuation, custody and audit of reserve assets ²⁴ .	An FRVA issuer must keep reserves that back its coins at least 100% at all times ²⁷ .
Redemption	Issuers must honour valid requests as soon as practicable, without an unreasonable fee or unduly burdensome condition. The guideline adds that valid requests should be processed within one business day, unless otherwise approved ²⁸ .	Under the framework (not yet in law), issuers must pay holders the par value within five business days of a request ²⁴ .	Issuers must complete valid par redemptions within one working day and without fees. If a major disruption affects the reserve assets, the one day counts from when the disruption ends ²⁹ .
Issuer capital	A licensee must hold at least HK\$25 million of paid-up capital ³⁰ . A bank licensee follows the Banking Ordinance instead ³¹ .	Under the framework, issuers must hold minimum base capital and liquid assets; the release gives no amount ²⁴ .	An FRVA issuer must keep paid-up capital of AED 1.5 million plus 2% of the value of its available coin supply ³² .
Interest to holders	Licensees must not pay interest or any yield linked to holding a coin ³³ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Audit and disclosure	The HKMA expects an independent auditor to attest regularly that reserves fully back the coins ³⁴ .	Under the framework, issuers must disclose how value is kept stable, what rights holders have, and reserve audit results ²⁴ .	Issuers must commission an independent audit of coins and reserves every month ³⁵ .
Marketing and labels	A licensee may engage only listed <i>permitted offerors</i> to offer its coins, and banks are on that list ³⁶ .	Under the framework, only issuers meeting every requirement may apply for the MAS-regulated stablecoin label; misusing it may bring penalties ³⁷ .	Marketing must make clear that no deposit guarantee or investor protection scheme covers FRVAs ³⁸ .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Licensed issuers	The HKMA register lists two licensed issuers, both from 10 April 2026 ³⁹ . On 28 April 2026 both had confirmed they had not issued any regulated stablecoin ⁴⁰ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Status and as-of date	In force since 1 August 2025 ¹⁹ .	Framework finalised on 15 August 2023 ²⁰ . Not yet in law; changes to the Payment Services Act 2019 under consultation from 1 September 2026 ²¹ .	Rulebook version dated 19 May 2025; captured 26 Sep 2026 ⁴¹ .

3. Custody rules

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Who the rules cover	The HKMA's May 2026 custody standards apply to banks, and to subsidiaries of local banks, that hold digital assets for clients ⁴² . The SFC's platform guidelines cover licensed platforms ⁴³ .	MAS's 2024 guideline covers DPT service providers, including some exempt payment service providers named in the Payment Services Act ⁴⁴ .	VARA's 2025 Custody Services Rulebook covers VASPs licensed for custody ⁴⁵ .
Cold storage share	The HKMA expects a bank to keep 98% of client VAs in cold storage ⁴⁶ . A platform should do the same ⁴⁷ .	MAS expects at least 90% of customer assets held in trust to sit in cold wallets at all times ⁴⁸ .	VARA says a custodian should choose its mix of hot and cold wallets through a risk-based analysis ⁴⁹ .
Keeping client assets apart	The HKMA expects a bank to keep clients' digital assets in their own client accounts, apart from the bank's assets ⁵⁰ .	Where a provider runs the customer trust account itself, MAS expects it to keep customers' assets at different blockchain addresses from its own ⁵¹ .	A custodian must keep each client's VAs in separate wallets that hold only that client's assets ⁵² .
Lending or pledging client assets	The HKMA expects a bank not to lend or pledge client digital assets, except for settlement and fees, with prior explicit written consent, or where law requires ⁵³ .	MAS expects providers not to let retail customers pledge, lend or stake their assets ⁵⁴ .	A custodian must not allow reuse of custody assets as collateral, even with client consent ⁵⁵ .
Where keys or staff sit	The HKMA expects seeds and private keys to be created, stored and backed up in Hong Kong ⁵⁶ .	MAS expects the staff and senior managers who control movements of customer assets to live in Singapore ⁵⁷ .	Not stated in the sources reviewed.
Legal structure	A platform should hold client assets on trust through its associated entity (a group company set up to hold client assets) ⁴³ .	Customers' assets sit in a trust account. A provider may run it itself or use an outside safeguarding person; MAS does not require the outside option ⁵⁸ .	A custodian must be a legal entity separate from group companies that run other VA activities ⁵⁹ .
Planned changes	The Government and SFC aim to put a VA custodian licensing bill to the Legislative Council in 2026 (stated target) ⁶⁰ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Status and as-of date	HKMA standards issued 27 May 2026 and in force ⁶¹ .	Guideline in effect from 4 October 2024 ⁶² .	Rulebook version dated 19 May 2025; captured 26 Sep 2026 ⁶³ .

4. Bank participation

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Banks issuing stablecoins	A bank may apply for a stablecoin issuer licence; a bank incorporated overseas does not need a local subsidiary ⁶⁴ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Banks holding reserves or client money	The HKMA names licensed banks as eligible custodians for stablecoin reserve assets ⁶⁵ . A platform's client money should go into segregated accounts at an authorized financial institution in Hong Kong ⁶⁶ .	Not stated in the sources reviewed.	A VASP must keep client money only at authorised deposit-taking banks outside its own group ⁶⁷ . Money of UAE clients must be held at banks in the UAE ⁶⁸ .
Banks offering VA dealing	Banks acting as RIs may offer VA dealing only by partnering with SFC-licensed platforms ⁶⁹ . They should serve only their securities-dealing (Type 1) clients ⁷⁰ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Banks offering custody	A bank should discuss VA custody plans with the HKMA first and show it meets the HKMA standards ⁶¹ . Under the custodian-regime conclusions, banks that safekeep keys for client VAs are to need a licence or registration ⁷¹ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Banks as clients	Not stated in the sources reviewed.	Not stated in the sources reviewed.	VARA treats any firm regulated by a financial regulator, such as the CBUAE, as an Institutional Investor ⁷² .

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Bank capital	For the riskiest class of cryptoassets (Group 2b), a bank should apply a 1,250% risk weight ⁷³ . The bank applies this weight to the larger of two totals: its long position (what it holds) or its short position (what it has sold without holding) ⁷³ . A risk weight sets how much capital a bank holds against an exposure; a higher weight means more capital.	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Banks in joint programmes	The HKMA named seven Tokenised Deposit Banks for its Project Ensemble pilot (EnsembleTX) ⁷⁴ .	MAS's Guardian programme has an Industry Group that includes commercial banks ⁷⁵ .	Not stated in the sources reviewed.
Status and as-of date	In force, except the custodian regime (conclusions published, not yet law) ⁶⁰ .	Guardian page dated 12 November 2025; captured 26 Sep 2026 ⁷⁶ .	Rulebooks dated 19 May 2025; captured 26 Sep 2026 ⁷⁷ .

5. Tokenisation initiatives

Item	Hong Kong	Singapore (MAS)	UAE / Dubai (VARA)
Main official programme	On 13 November 2025 the HKMA launched the real-value pilot phase of Project Ensemble (EnsembleTX) ⁷⁸ .	MAS runs Guardian, a joint programme of policymakers and industry to trial asset tokenisation ⁷⁹ .	Not stated in the sources reviewed.
What it tests	EnsembleTX starts with tokenised deposits used in tokenised money market fund deals and in real-time liquidity and treasury management ⁸⁰ .	Guardian supports industry trials in tokenised funds, bonds, stablecoins and bank liabilities, across several currencies ⁷⁹ .	VARA's rules make issuing an ARVA a Category 1 activity that needs a VARA licence ²² .
Settlement money	EnsembleTX first settles between banks through the Hong Kong dollar Real Time Gross Settlement (RTGS) system, moving over time to tokenised central bank money, round the clock ⁸¹ .	Not stated in the sources reviewed.	Activities involving a UAE central bank digital currency stay solely under the CBUAE ⁸² .
Government bonds	In November 2025 the Government priced about HK\$10 billion of digital green bonds, with an option to settle the HK dollar and renminbi parts of the issue in tokenised central bank money ⁸³ . The bonds cleared and settled through the Central Moneymarkets Unit (CMU) ⁸⁴ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Grants	The Digital Bond Grant Scheme covers 50% of eligible issuance costs, up to HK\$1.25 million (half grant) or HK\$2.5 million (full grant) per issue ⁸⁵ .	A Global-Asia Digital Bond Grant scheme supports digital bond issuance in Singapore ⁸⁶ .	Not stated in the sources reviewed.
Cross-border work	The HKMA works with the central banks of mainland China, Thailand, the UAE and Saudi Arabia on Project mBridge. It studies how DLT can support real-time cross-border foreign exchange deals, and has been at <i>Minimum Viable Product</i> stage (a first working version) since June 2024 ⁸⁷ .	Guardian's Policymaker Group includes MAS, the UK Financial Conduct Authority, Japan's Financial Services Agency, the International Monetary Fund and the World Bank ⁸⁸ .	Not stated in the sources reviewed.
Tokenised deposits in stablecoin rules	Not stated in the sources reviewed.	Not stated in the sources reviewed.	VARA's FRVA rules exclude tokenised bank deposits used only for settlement between banks ⁸⁹ .
Next steps	The HKMA plans to add settlement in central bank digital currency (CBDC) and round-the-clock operation to EnsembleTX by around end-2026 (stated target) ⁹⁰ . The Policy Address says CMU OmniClear Limited (OmniClear) is to set up a digital asset platform in 2026 for issuing and settling digital bonds (stated target) ⁹¹ .	Not stated in the sources reviewed.	Not stated in the sources reviewed.
Status and as-of date	EnsembleTX is a pilot running through 2026 ⁸¹ .	Guardian page dated 12 November 2025; captured 26 Sep 2026 ⁷⁶ .	Rulebook version dated 19 May 2025; captured 26 Sep 2026 ⁴¹ .

Common misunderstandings

- **Myth:** Dubai means the whole UAE. **Fact:** VARA's rules cover Dubai but exclude the Dubai International Financial Centre (DIFC) ⁹².
- **Myth:** MAS's 38 DPT firms are all exchanges. **Fact:** The MAS directory count covers every firm licensed for DPT services, not only trading venues ⁸.

- **Myth:** The three redemption deadlines are the same. **Fact:** Hong Kong expects one business day²⁸. Singapore's framework, not yet in law, sets five business days²⁴. Dubai requires one working day⁹³.
- **Myth:** *Not stated* means there is no rule. **Fact:** It means only that the sources on this page do not say. The regulator may have other documents on the point.

Official documents to read first

1. SFC guidelines for licensed VA trading platforms (June 2023)⁹⁴.
2. HKMA guideline for licensed stablecoin issuers (August 2025)²⁶.
3. HKMA, custody standards annex (May 2026)⁵⁰.
4. MAS, media release on the finalised stablecoin framework (15 August 2023)²⁴.
5. MAS, Guidelines on Consumer Protection Measures by DPT Service Providers (2024)⁴⁸.
6. VARA, Virtual Asset Issuance Rulebook (19 May 2025)²².
7. VARA, Custody Services Rulebook (19 May 2025)⁵².

Open questions

- Singapore's detailed rules for platforms serving Singapore customers were not captured. For the DTSP regime, only the June 2025 media release was reviewed.
- The CBUAE's rules for AED-linked stablecoins were not captured, so the UAE stablecoin row covers Dubai's non-AED coins only.
- No source reviewed gives the number of licensed stablecoin issuers in Singapore or Dubai.
- No source reviewed says whether Singapore or Dubai banks need a separate licence to offer VA dealing or custody.
- The Hong Kong custodian and dealing bills were not yet law on 25 Sep 2026.

Related modules

- F2 How regulation writes the P&L
- F3 Market structure: who does what
- C3 Custody of digital assets and key management
- C4 Stablecoins
- C5 Tokenisation: tokenised products, deposits and bonds
- C7 VATP counterparties and the SFC platform regime
- E2 Wholesale money, CBDC and cross-border projects
- Business lines: *Virtual-asset custody* and *Stablecoin roles for banks*

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REFERENCE

Timeline and glossary

REFERENCE

Timeline

2017

2017	The HKMA starts its e-HKD work with Project LionRock: a wholesale test with Hong Kong's three note-issuing banks. ¹ HKMA
2017	The HKMA publishes its second whitepaper on DLT, after the first in 2016. ² HKMA
5 Sep 2017	The SFC says tokens sold in an initial coin offering (a crypto fundraising) may be securities under the SFO. ³ SFC

2018

21 Sep 2018	An HKMA keynote speech argues that crypto-currencies such as Bitcoin do not do the job of money, and calls them crypto-assets. ⁴ HKMA
1 Nov 2018	The SFC sets standards for VA portfolio managers and fund distributors, covering portfolios aiming to put 10% or more in VAs. ⁵ SFC

2019

Sep 2019	The HKMA and the Bank of Thailand start Project Inthanon-LionRock with ten banks. ⁶ HKMA + Bank of Thailand
6 Nov 2019	The SFC, in a position paper, offers opt-in licensing to platforms that trade security tokens, with 98% held in cold storage. ⁷ SFC
16 Dec 2019	The HKMA issues a circular on the ML/TF risks of VAs and VASPs, replacing its 2014 letters. ⁸ HKMA

2020

Jan 2020	The HKMA and the Bank of Thailand publish the Inthanon-LionRock report. ⁹ HKMA + Bank of Thailand
3 Nov 2020	The FSTB opens an AML consultation proposing licensing for VASPs, which closes on 31 Jan 2021. ¹⁰ FSTB
16 Dec 2020	The SFC licenses the first VATP, for professional investors only. ¹¹ SFC

2021

2021	The HKMA and the BIS Innovation Hub run Project Genesis, a test of tokenised green bonds. ^{12,13} HKMA + BIS Innovation Hub
23 Feb 2021	The People's Bank of China Digital Currency Institute and the Central Bank of the UAE join, and the project becomes m-CBDC Bridge. ¹⁴ HKMA and partners
May 2021	The FSTB concludes that VA exchanges are to be SFC-licensed and, at first, serve professional investors only. ¹⁵ FSTB
Jun 2021	The HKMA begins its study of a retail e-HKD (one for the public). ¹⁶ HKMA
8 Jun 2021	The HKMA launches Fintech 2025, which includes a study of the e-HKD. ¹⁷ HKMA
28 Sep 2021	The HKMA and its mBridge partners publish an interim report on faster, cheaper cross-border payments. ¹⁸ HKMA and partners
4 Oct 2021	The HKMA's e-HKD technical whitepaper explores a two-tier design (central bank plus banks), and the HKMA says it is not a blueprint. ¹⁹ HKMA

2022

12 Jan 2022	The HKMA issues a discussion paper on crypto-assets and stablecoins, with comments due by 31 Mar 2022. ²⁰ HKMA
28 Jan 2022	The HKMA sets out its approach to AIs' dealings with VAs and VASPs. ²¹ HKMA

28 Jan 2022	The SFC and HKMA issue their first joint circular on VA activities. ²² SFC + HKMA
27 Apr 2022	The HKMA publishes an e-HKD policy and design paper, with comments due by 27 May 2022. ²³ HKMA
15 Aug 2022	The mBridge partners begin a six-week pilot with real money, running to 23 Sep 2022. ²⁴ HKMA and partners
Sep 2022	The HKMA's paper 'e-HKD: Charting the Next Steps' sets out the three-rail approach. ²⁵ HKMA
Oct 2022	The HKMA and the BIS Innovation Hub publish the Project Aurum report on a two-tier retail CBDC prototype. ²⁶ HKMA + BIS Innovation Hub
26 Oct 2022	The mBridge pilot report shows 20 banks in four jurisdictions, over 160 transactions and more than HK\$171 million. ²⁷ HKMA and partners
31 Oct 2022	The FSTB's Policy Statement on VAs adopts the principle 'same activity, same risks, same regulation'. ²⁸ FSTB
Nov 2022	The HKMA launches the e-HKD Pilot Programme. ²⁹ HKMA
7 Dec 2022	LegCo passes changes to the AMLO that create VASP licensing, in force from 1 June 2023. ^{30,31} LegCo / HKMA
20 Dec 2022	The HKMA circulates the Basel prudential standard (global bank safety rules) for cryptoasset exposures. ³² HKMA

2023

31 Jan 2023	The HKMA's stablecoin consultation conclusion proposes compulsory licensing for key stablecoin activities. ³³ HKMA
16 Feb 2023	The Government offers a HK\$800 million tokenised green bond. ³⁴ HKMA
20 Feb 2023	The SFC consults on rules for VATPs, including access for retail investors. ³⁵ SFC
18 May 2023	The HKMA starts e-HKD pilots with 16 firms. ³⁶ HKMA
23 May 2023	The SFC's VATP conclusions allow retail investors in, with safeguards. ³⁷ SFC
25 May 2023	The HKMA revises its AML/CFT Guideline for AIs, setting a HK\$8,000 threshold for VA transfers. ³⁸ HKMA
1 Jun 2023	The AMLO licensing regime for VATPs and the SFC's VATP Guidelines take effect. ^{31,39} SFC
24 Aug 2023	The HKMA reports on bond tokenisation in Project Evergreen. ⁴⁰ HKMA
12 Sep 2023	The HKMA, the Bank of Israel and the BIS Innovation Hub publish the Project Sela report. ⁴¹ HKMA + Bank of Israel + BIS Innovation Hub
13 Sep 2023	The SFC states that no JPX group entity is licensed by it or has applied for a licence. ⁴² SFC
29 Sep 2023	The SFC publishes lists of VATPs, including applicants, and a list of suspicious VATPs. ⁴³ SFC
20 Oct 2023	The SFC and HKMA revise the joint circular, and the HKMA forms a CBDC Expert Group. ^{44,45} SFC + HKMA
30 Oct 2023	The HKMA publishes the e-HKD Phase 1 report and an mBridge update. ^{46,47} HKMA
2 Nov 2023	The SFC's circular on tokenised securities replaces its 2019 statement on security token offerings. ⁴⁸ SFC
22 Dec 2023	The SFC and HKMA issue the current joint circular, and the SFC issues a circular on VA funds. ^{49,50} SFC + HKMA
27 Dec 2023	The FSTB and HKMA consult on rules for stablecoin issuers, until 29 Feb 2024. ⁵¹ FSTB + HKMA

2024

7 Feb 2024	The HKMA issues CP 24.01 on banks' cryptoasset exposures, with comments due by 6 May 2024. ⁵² HKMA
7 Feb 2024	The Government offers about HK\$6 billion of digital green bonds in several currencies. ⁵³ HKMA

8 Feb 2024	The FSTB consults on licensing OTC VA dealers, with Customs as the licensing body. ⁵⁴ FSTB
20 Feb 2024	The HKMA issues circulars on custody standards and on tokenised products; the custody guidance was replaced on 27 May 2026. ^{55,56,57} HKMA
29 Feb 2024	Deadline for VATPs already operating to apply for a licence if they want to be treated as licensed while the SFC decides. ⁵⁸ SFC
7 Mar 2024	The HKMA unveils Project Ensemble. ⁵⁹ HKMA
12 Mar 2024	The HKMA launches its stablecoin issuer sandbox. ⁶⁰ HKMA
14 Mar 2024	The HKMA announces e-HKD Phase 2. ⁶¹ HKMA
16 Apr 2024	The HKMA sets out risk-management considerations for DLT. ⁶² HKMA
7 May 2024	The HKMA forms the Ensemble Architecture Community. ⁶³ HKMA
17 May 2024	The HKMA expands the cross-boundary e-CNY pilot. ⁶⁴ HKMA
1 Jun 2024	From this date, VATPs in Hong Kong must be SFC-licensed or treated as licensed while they apply, as the grace period is over. ⁶⁵ SFC
5 Jun 2024	mBridge reaches minimum viable product stage (a first working version), and the Saudi Central Bank joins as a full participant. ⁶⁶ HKMA
27 Jun 2024	The Banque de France and HKMA announce wholesale CBDC work under a new MoU, linking the Banque de France's platform (DL3S) to the Ensemble Sandbox. ⁶⁷ HKMA + Banque de France
17 Jul 2024	The FSTB and HKMA publish stablecoin consultation conclusions, after 108 submissions. ⁶⁸ FSTB + HKMA
28 Aug 2024	The HKMA launches the Ensemble Sandbox. ⁶⁹ HKMA
23 Sep 2024	The HKMA starts e-HKD Phase 2 and renames the project e-HKD+. ⁷⁰ HKMA
18 Oct 2024	The HKMA sets up CMU OmniClear Limited. ⁷¹ HKMA
28 Oct 2024	The HKMA announces tie-ups with Banco Central do Brasil (Drex) and the Bank of Thailand (Project San). ^{72,73} HKMA
28 Nov 2024	The HKMA launches the Digital Bond Grant Scheme. ⁷⁴ HKMA
6 Dec 2024	The Government publishes the Stablecoins Bill in the Gazette, and the Bill gets its First Reading in LegCo on 18 Dec 2024. ⁷⁵ Government
13 Dec 2024	Hong Kong commits to CARF, the crypto tax data-sharing standard. ⁷⁶ FSTB
18 Dec 2024	The SFC revamps VATP licensing, using conditional licences. ⁷⁷ SFC

2025

8 Jan 2025	The HKMA launches its Supervisory Incubator for DLT. ⁷⁸ HKMA
13 Jan 2025	The HKMA informally consults the banking associations on cryptoasset capital rules, intending them to apply from 1 Jan 2026. ⁷⁹ HKMA
19 Feb 2025	The SFC publishes the ASPIRe roadmap. ⁸⁰ SFC
7 Apr 2025	The HKMA and SFC each issue circulars on staking. ^{81,82} HKMA; SFC
21 May 2025	LegCo passes the Stablecoins Bill. ⁸³ Government
26 Jun 2025	The FSTB issues Policy Statement 2.0, built around LEAP. ⁸⁴ FSTB

27 Jun 2025	The FSTB and SFC consult on VA dealing and custodian licensing, until 29 Aug 2025. ⁸⁵ FSTB + SFC
11 Jul 2025	The HKMA's cryptoasset rules on capital, disclosure and exposure limits are published in the Gazette. ⁸⁶ HKMA
1 Aug 2025	The Stablecoins Ordinance and the HKMA's stablecoin guidelines take effect. ^{87,88} Government / HKMA
12 Sep 2025	The HKMA issues version 4 of SB-1. ⁸⁹ HKMA
30 Sep 2025	The SFC and HKMA's supplemental joint circular lets LCs and RIs offer staking and trade through SFC-licensed platforms' off-platform services. ⁹⁰ SFC + HKMA
8 Oct 2025	The Government says mBridge is part of Hong Kong's financial market infrastructure. ⁹¹ Government
28 Oct 2025	The HKMA publishes the e-HKD Phase 2 report and gives priority to wholesale uses. ⁹² HKMA
3 Nov 2025	The SFC issues circulars on shared liquidity and wider product offerings, and the HKMA launches Fintech 2030. ^{93,94,95} SFC; HKMA
11 Nov 2025	The Government offers about HK\$10 billion of digital green bonds, the first digital bond offering to settle using e-HKD and e-CNY. ⁹⁶ HKMA
13 Nov 2025	The HKMA launches the EnsembleTX pilot. ⁹⁷ HKMA
27 Nov 2025	The HKMA issues CRP-1, effective from 1 Jan 2026. ⁹⁸ HKMA
9 Dec 2025	The FSTB and IRD consult on CARF and the amended CRS, until 6 Feb 2026. ^{99,100} FSTB + IRD
24 Dec 2025	The FSTB and SFC publish conclusions on VA dealing and custodian licensing, and consult on VA advisory and management. ¹⁰¹ FSTB + SFC

2026

1 Jan 2026	The Basel cryptoasset rules and CRP-1 take effect. ^{102,98} HKMA
11 Feb 2026	The SFC lets VA brokers offer VA margin financing and permits affiliated market makers. It also sets a framework for VATP perpetual contracts for professional investors. ¹⁰³ SFC
25 Feb 2026	The Budget plans a 2026 bill on VA dealing and custodian licensing, and a CARF amendment bill in the first half of 2026. It also plans a CMU OmniClear digital asset platform. ¹⁰⁴ Government
2 Mar 2026	The HKMA, the Shanghai Data Bureau and the National Technology Innovation Center for Blockchain sign an MoU on digitised cargo trade and finance. ¹⁰⁵ HKMA
9 Mar 2026	The HKMA expects each AI's board to endorse, within six months, a strategic business plan for digital transformation. ¹⁰⁶ HKMA
10 Apr 2026	The HKMA grants the first two stablecoin issuer licences. ¹⁰⁷ HKMA
20 Apr 2026	The SFC sets a framework to pilot secondary trading (resale after issue) of tokenised SFC-authorised products. ¹⁰⁸ SFC
22 May 2026	The Government publishes the CARF bill in the Gazette, and introduces it into LegCo on 3 Jun 2026. ¹⁰⁹ Government / IRD
26 May 2026	The FSTB and SFC publish conclusions on VA advisory and VA management. ¹¹⁰ FSTB + SFC
27 May 2026	The HKMA issues updated custody guidance, VA financing guidance and a Relevant Stablecoin circular for RIs, and the SFC issues its own Relevant Stablecoin circular. ^{111,112,113,114} HKMA; SFC
29 May 2026	The SFC's list shows 13 licensed VATPs. ¹¹⁵ SFC
3 Jun 2026	The HKMA clarifies para 2.6.4 of CRP-1, with immediate effect. ¹¹⁶ HKMA
5 Jun 2026	The HKMA convenes a Tokenised Bond Expert Group. ¹¹⁷ HKMA

29 Jun 2026	The FSTB and HKMA's first-phase review finds the law flexible enough for tokenised bond issuance. The next phase is to start in the second half of 2026. ¹¹⁸ FSTB + HKMA
9 Jul 2026	The SFC gives VATPs and internet brokers 12 months to bring in phishing-resistant login and device binding (tying accounts to known devices). Its circular states this as an expectation. ^{119,120} SFC
16 Sep 2026	The Policy Address says the HKMA is to test tokenised Exchange Fund Bills by year-end. The HKMA also plans to bring CBDC settlement and round-the-clock operation to EnsembleTX by around end-2026. ¹²¹ Government

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Glossary

Institutions and legal status

Authorized Institution (AI)

A bank or other institution that the HKMA has authorised. The HKMA's anti-money laundering guideline (its AML/CFT Guideline) sets the standards AIs should meet, including AIs that are also RIs. The HKMA issues that guideline under s.7 of the AMLO and s.7(3) of the Banking Ordinance. ¹

Registered Institution (RI)

An AI that the SFC has registered to carry on one or more regulated activities (types of securities business, such as dealing or advising). The HKMA supervises RIs day to day, as frontline supervisor. Ultimate responsibility stays with the SFC. ²

Licensed corporation (LC)

A firm that the SFC has licensed to carry on regulated activities. The joint circulars cover LCs and RIs together, calling both 'intermediaries'. ³

HKMA

The Hong Kong Monetary Authority, Hong Kong's banking regulator. Among its other roles, it grants licences to stablecoin issuers under the Stablecoins Ordinance. ^{4,5}

SFC

The Securities and Futures Commission, Hong Kong's securities regulator. It licenses VA trading platforms. The Government proposes that the SFC lead licensing and standard-setting for VA dealing and VA custody (safekeeping). ^{6,7}

FSTB

The Financial Services and the Treasury Bureau, the government bureau for financial policy. It issued Policy Statement 2.0. It runs the VA licensing consultations jointly with the SFC. ^{8,9}

Frontline regulator

The body that supervises a firm day to day. This is the HKMA's proposed role for banks under the coming VA dealing and custody regimes. Under these regimes, the HKMA would supervise banks, while the SFC sets the standards. ¹⁰

SB-1

A chapter of the HKMA's Supervisory Policy Manual (its supervision handbook). It covers how the HKMA supervises RIs' regulated activities. It is a statutory guideline, issued under s.7(3) of the Banking Ordinance. ¹¹

Executive officer

A person who directly supervises a regulated activity at an RI. The RI appoints this person with the HKMA's written consent. Each activity needs at least two. ¹²

Virtual assets and platforms

Virtual asset (VA)

The legal term for crypto and similar digital tokens. The AMLO defines it in s.53ZRA. Policy Statement 2.0 (June 2025) says the Government will now say 'digital assets' instead. ^{13,14}

Digital asset (HKMA custody usage)

A broad term in the HKMA's custody guidance. It covers VAs, tokenised securities and other tokenised assets (assets recorded as digital tokens). It also covers the keys, seeds and backups (the secret codes that give access) used to reach those assets. ¹⁵

VASP

A business that provides VA services, such as trading or transfers, to customers. The HKMA expects banks to assess each VASP customer's ML/TF risk on its own facts. That assessment includes extra due diligence (deeper checks) where needed. ¹⁶

VATP

An online platform where people buy and sell VAs. In SFC usage, it is a company licensed under the SFO for Types 1 and 7 (dealing in securities, and automated trading services). A company holding an AMLO VA service licence also counts. ¹⁷

Deemed-to-be-licensed

A platform that may keep operating while the SFC decides its licence application. It was operating before 1 June 2023 and met the conditions for this status. It is not licensed and may never be. ¹⁸

Non-contravention period

A grace period of 12 months, from 1 June 2023 to 31 May 2024. VATPs already running, with a genuine Hong Kong presence, could operate during it. Doing so did not breach the AMLO licensing rule. ¹⁹

Associated Entity

A company that holds a VATP's client assets on trust (for the clients, not for itself). It is a Hong Kong subsidiary wholly owned by the VATP. It does no other business. ²⁰

Cold storage

Keeping the keys to VAs offline, away from the internet. The SFC expects VATPs to keep 98% of client VAs in cold storage. ²¹

Compensation arrangement

Cover that repays clients if their VAs are lost. A VATP should hold an SFC-approved arrangement of this kind. It should cover potential loss of 50% of client VAs in cold storage. It should also cover 100% of those in hot storage (kept online) and other storage. For bank custody, the HKMA's May 2026 guidance instead expects the bank to be liable to clients and to have adequate financial resources. ^{22,23}

Professional investor

An institution, or a wealthy person or firm, that meets a legal test. The SFO defines the term in Schedule 1, Part 1, s.1. Any other person is a 'retail client'. ²⁴

Complex product

An investment product whose terms and risks are hard for a typical investor to understand. It triggers the SFC's complex-product rules. These include a suitability check (whether the product fits the client), even if the firm did not solicit (actively offer) the sale. The joint circular says VA-related products are very likely complex. ²⁵

Joint circular

A notice from the SFC and HKMA together on intermediaries' VA activities. The December 2023 version replaced the January 2022 and October 2023 versions. A supplement followed in September 2025. ^{26,27}

Staking

Locking a client's VAs into a proof-of-stake network to earn rewards. In such a network, holders who lock up tokens help check and confirm transactions. ²⁸

Shared order book

One pool of buy and sell orders shared by an SFC-licensed VATP and an overseas platform in its group. Every order is fully pre-funded (paid for up front). Trades settle delivery-versus-payment: the asset and the payment change hands together. ²⁹

Perpetual contract

A contract that tracks a VA's price, uses leverage (borrowed exposure) and has no end date. Under the SFC's February 2026 framework, licensed VATPs may propose to offer them. They should be offered to professional investors only. ³⁰

Funding rate

Regular payments between the two sides of a perpetual contract. One side gains if the price rises (long) and the other if it falls (short). The payments keep the contract's price near the spot (current market) price. The SFC expects settlement at least once every 24 hours. ³¹

Travel Rule (VA transfers)

The rule that sender and recipient details travel with a transfer. For banks, the HKMA Guideline sets customer due diligence (checks on the customer) for one-off VA transfers of HK\$8,000 or more. It points to AMLO Schedule 2 s.13A. RIs must also take into account the VA parts of Chapter 12 of the SFC AML Guideline. ³²

Unhosted wallet

A VA wallet (software or hardware) through which the owner holds and moves VAs, keeping the private key (the secret code that moves the VAs). The HKMA's May 2025 consultation proposed a check by licensed stablecoin issuers. They would check whether each customer's wallet is custodial (run by a provider) or unhosted. ³³

Suspicious VATPs list

A public SFC list of suspicious trading platforms. It helps the public spot suspicious platforms doing business in Hong Kong. ^{34,35}

Coming VA regimes**VA dealing service**

Dealing in VAs (buying and selling them) as a business. The June 2025 proposal covers this business in Hong Kong. It runs from simple conversion (swapping one asset for another) to brokerage and block trades (very large deals). Banks would register with the SFC, with the HKMA as frontline regulator. ³⁶

VA custodian service

Keeping VAs safe for others as a business. Under the December 2025 conclusions, it means holding, for others, the private keys or similar tools that can move VAs. Trustees or managers that only hand custody to someone else are out of scope. ³⁷

VA advisory / VA management

Advising clients on VAs, and managing VA portfolios for them. Both are proposed licensing regimes. Their scope will match the SFO regimes for advising on securities (Type 4) and asset management (Type 9). ³⁸

Deeming / grandfathering

Letting firms already in business carry on under a new regime, as if licensed, while they apply. None is planned for the VA dealing or VA custodian regimes.^{39,40}

Expedited approval

A faster route to approval. It is promised for SFC-licensed VATPs. It is also promised for LCs and RIs that already provide VA dealing services.⁴¹

MPC (multi-party computation) provider

A technology firm that splits control of a private key among several parties. Whether it needs a custodian licence depends on the facts of each case. The main tests are whether it can move client VAs on its own, and whether clients can always reach their assets independently.⁴²

VA OTC regime

A scheme to license OTC VA trading businesses. The February 2024 proposal was for the Commissioner of Customs and Excise to license spot VA trading (buying and selling for immediate delivery). The proposal also covered shops and crypto cash machines. The June 2025 dealing proposal revised the scheme.^{43,44}

Stablecoins and bank capital**Stablecoins Ordinance (Cap. 656)**

Hong Kong's stablecoin law. Stablecoins are tokens designed to hold a steady value. The law set up licensing for regulated stablecoin activities and came into force on 1 August 2025.⁴⁵

Fiat-referenced stablecoin (FRS)

A stablecoin whose value is tied to one or more fiat currencies (ordinary government-issued money). An HKMA licence is needed to issue one in Hong Kong as a business. A licence is also needed to issue one tied to the Hong Kong dollar as a business, in or outside Hong Kong.^{46,4}

Relevant Stablecoin

A stablecoin issued by an HKMA-licensed issuer under its licence. It is a 'specified stablecoin', a category set out in law.⁴⁷

Register of licensed stablecoin issuers

The HKMA's public list of licensed stablecoin issuers. The HKMA keeps it under s.21 of Cap. 656.⁴⁸

Stablecoin issuer sandbox

A controlled space where would-be stablecoin issuers could test their plans with the HKMA. The HKMA launched it in March 2024 to share its supervisory expectations. Admission was not an HKMA endorsement. Participants had to apply separately for a licence.⁴⁹

Cryptoasset (capital rules)

In the bank capital rules, a digital form of value. It relies mainly on cryptography (code-based security) and DLT or similar technology. It can be used to pay, to invest, or to access goods or services.⁵⁰

Group 1a / 1b

Classes of cryptoasset treated like the traditional asset behind them. Group 1a is tokenised traditional assets. Group 1b is stablecoins with effective stabilisation mechanisms (ways to keep the price steady). Both carry the same capital requirements as the underlying traditional asset. An infrastructure add-on (an extra charge for technology risk) may apply on top.⁵¹

Group 2a / 2b

Cryptoassets with the toughest capital treatment. They are unbacked cryptoassets, and tokenised assets or stablecoins that fail the classification conditions. They are fully capitalised: a 1,250% risk weight times the 8% minimum total capital ratio means the bank holds capital equal to the whole exposure [S:5d0c13e09312, para 2.1.2]. Limited hedging (offsetting positions) is recognised for 2a, and none for 2b.⁵²

CRP-1

The HKMA's guidance on sorting cryptoassets into these groups. It is non-statutory (not issued under a law). If it differs from the Banking (Capital) Rules, the Rules prevail.⁵³

Negative vetting

LegCo's 28-day review of subsidiary legislation (detailed rules made under an existing law). The amendment rules on cryptoasset capital, disclosure and exposure limits completed this review in August 2025.⁵⁴

Tokenisation and digital money**Tokenised deposit**

A commercial bank deposit in digital token form. The bank itself issues it.^{55,56}

Tokenised product (HKMA)

A digital token version of a real-world investment product, recorded on DLT. In HKMA usage, it covers products not regulated under the SFO, and excludes stablecoins. The sales rules for the underlying product generally apply to its tokenised form too. ⁵⁷

Tokenised security (SFC)

A traditional security, such as a share or bond, wrapped in a digital token. The SFC judges whether it is complex by looking through to the underlying security. ⁵⁸

Cash token

A digital token that stands in for cash. In Project Evergreen, the CMU minted (created) each token as a claim on the HKMA for one Hong Kong dollar. ⁵⁹

Non-native issuance

A bond issued first in the normal way, then turned into tokens on a DLT platform. In Project Evergreen, the CMU made its book entries first. The investors' beneficial interests (ownership rights) were then recorded on the ledger. ⁶⁰

CMU / CMU OmniClear

CMU: the Central Moneymarkets Unit, a bond settlement system. CMU OmniClear: the company that runs it for the HKMA. The HKMA owns the CMU. CMU OmniClear Limited is a wholly owned subsidiary of the Exchange Fund (Hong Kong's official reserves), set up in October 2024. ⁶¹

Digital Bond Grant Scheme

An HKMA grant for issuing digital bonds in Hong Kong. It pays up to HK\$2.5 million per eligible digital bond issue. It is open for an initial three years from November 2024. ⁶²

Supervisory Incubator

An HKMA arrangement that lets banks check their DLT risk controls before a full launch. Banks can choose to run live trials. ⁶³

DLT

Distributed ledger technology: a database shared and copied across many computers, such as a blockchain. The HKMA's non-binding considerations expect an AI's board and senior management to take full responsibility for DLT risks. ⁶⁴

CBDC / e-HKD

CBDC: central bank digital currency, meaning money a central bank issues in digital form. The e-HKD is the HKMA's possible digital Hong Kong dollar, for wholesale and retail uses. The HKMA currently gives priority to wholesale use (between banks and other financial institutions). ⁶⁵

Wholesale CBDC (wCBDC)

Central bank digital money used for settlement between banks. It is the basis of Project Ensemble. ⁶⁶

Project e-HKD+

The new name for Project e-HKD from September 2024. The project widened from the e-HKD alone to new forms of digital money, including tokenised deposits. ⁶⁷

Three-rail approach

The HKMA's three-part path for the e-HKD. Rail 1 lays the foundations. Rail 2 covers use cases and pilots. Rail 3 covers implementation planning. ⁶⁸

Project Ensemble / EnsembleTX

Project Ensemble: HKMA work on settling deals in tokenised money. EnsembleTX: its pilot phase using real money, from November 2025. ⁶⁹

Ensemble Architecture Community

A group the HKMA formed in May 2024. Its members are regulators, banks and technology firms. It develops industry standards so that systems can work together (interoperability). ⁷⁰

mBridge

A shared platform for cross-border payments in several central banks' digital currencies. It settles payment-versus-payment (both currencies swap at once), in real time, 24/7. ⁷¹

Off-bridge compliance

Doing compliance checks outside the mBridge platform. Banks meet each jurisdiction's KYC and AML/CFT rules off the platform. ⁷²

PvP / DvP

PvP: payment-versus-payment. DvP: delivery-versus-payment. In PvP, two payments in different currencies settle together. In DvP, an asset and its payment settle together. The Ensemble Sandbox was built to test both for settlement between banks. The SFC describes DvP as a simultaneous exchange of assets that lowers the risk of one side not delivering. ^{73,74}

Atomic settlement

Settling both sides of a deal at the same instant. Each side depends on the other. ⁷⁵

Purpose-bound money

Money with rules attached about how it can be used. It works as a 'wrapper' that sets conditions while leaving the underlying value intact. Phase 2 pilots examined it as an alternative to a natively programmable e-HKD (one with rules built into the money itself). A natively programmable e-HKD could weaken fungibility (every unit being interchangeable). ⁷⁶

Access Enabler

In Project Sela, a new type of go-between that serves retail CBDC users directly. It handles tasks such as onboarding and KYC. It does not hold users' CBDC or its own liquidity (cash reserves). ⁷⁷

e-CNY tier-4 wallet

A basic personal wallet for the digital renminbi. It is opened with a Hong Kong mobile number, without real-name checks. The balance is capped at 10,000 renminbi. It allows retail payments only, not person-to-person transfers. ⁷⁸

Tax and financial-crime data**CARF**

Crypto-Asset Reporting Framework (CARF): an OECD standard for tax authorities to swap crypto-asset tax data automatically each year. ⁷⁹

RCASP / HKRCASP

RCASP: a reporting crypto-asset service provider. HKRCASP: an RCASP that meets a test of its link to Hong Kong. Under the 2026 Bill, an RCASP is a business that carries out crypto exchange transactions for customers. ⁸⁰

CRS / AEOI

CRS: the Common Reporting Standard. AEOI: automatic exchange of information. The CRS is the OECD model for swapping financial account information automatically each year. Hong Kong has run it since 2018. ⁸¹

RFI

Reporting financial institution (RFI): a financial institution that reports account data under the CRS. Under the amended CRS, these institutions report gross proceeds (total sale amounts) from sales of relevant crypto-assets by default. ⁸²

SEMP

Specified electronic money product (SEMP): a type of e-money product. CARF leaves it out, but the amended CRS brings it in. ⁸³

Board of Review

An independent appeal body. Under the 2026 Bill, an RCASP could appeal to it against a CARF financial penalty assessment. ⁸⁴

DATAS / AMLAS

DATAS: the Digital Asset Transaction Analytics System. AMLAS: the Anti-Money Laundering Analytics System. Both are data-analysis systems the Customs and Excise Department has planned (by 2029). ⁸⁵

CrypTech

An SFC technology initiative. Its big-data tools for watching markets and for AML surveillance are to switch on in 2027. ⁸⁶

FATF targeted update

A regular FATF report on how countries apply its standards for VAs and VASPs. The sixth was published on 26 June 2025. ⁸⁷

Policy frameworks**'Same activity, same risks, same regulation'**

Activities with the same risks get the same rules, whatever form they take. The Government has applied this principle to VA activity since 2022. ⁸⁸

LEAP

The four focus areas of Policy Statement 2.0. LEAP stands for Legal streamlining, Expanding tokenised products, Advancing use cases, and People and partnerships. ⁸⁹

ASPIRe

The SFC's 2025 roadmap, with 12 initiatives. ASPIRe stands for its five pillars: Access, Safeguards, Products, Infrastructure and Relationships. ⁹⁰

Fintech 2030

The HKMA's financial technology strategy, with over 40 initiatives. Its four pillars are data and payments, artificial intelligence, resilience, and tokenisation. ⁹¹

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